Notes forming part of Consolidated Financial Statements

- **Foreign currency exchange rate risk**

  The fluctuation in foreign currency exchange rates may have potential impact on the consolidated statement of profit and loss and other comprehensive income and equity, where any transaction references more than one currency or where assets / liabilities are denominated in a currency other than the functional currency of the respective entities. Considering the countries and economic environment in which the Group operates, its operations are subject to risks arising from fluctuations in exchange rates in those countries.

  The Group, as per its risk management policy, uses derivative instruments primarily to hedge foreign exchange. Further, any movement in the functional currencies of the various operations of the Group against major foreign currencies may impact the Group's revenue in international business.

  The Group evaluates the impact of foreign exchange rate fluctuations by assessing its exposure to exchange rate risks. It hedges a part of these risks by using derivative financial instruments in line with its risk management policies.

  The foreign exchange rate sensitivity is calculated by aggregation of the net foreign exchange rate exposure and a simultaneous parallel foreign exchange rates shift of all the currencies by 10% against the respective functional currencies of Tata Consultancy Services Limited and its subsidiaries.

  The following analysis has been worked out based on the net exposures for each of the subsidiaries and Tata Consultancy Services Limited as of the date of balance sheet which could affect the statement of profit and loss and other comprehensive income and equity. Further the exposure as indicated below is mitigated by some of the derivative contracts entered into by the Group as disclosed in note 8(k).

  The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2025:

(₹ crore)

	USD	EUR	GBP	Others
Net financial assets	2,572	429	115	1,963
Net financial liabilities	(3,557)	(8)	(337)	(347)

  10% appreciation / depreciation of the respective functional currency of Tata Consultancy Services Limited and its subsidiaries with respect to various foreign currencies would result in increase / decrease in the Group's profit before taxes by approximately ₹83 crore for the year ended March 31, 2025.

  The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2024:

(₹ crore)

	USD	EUR	GBP	Others
Net financial assets	2,753	518	161	3,508
Net financial liabilities	(7,129)	(253)	(2,185)	(753)

  10% appreciation / depreciation of the respective functional currency of Tata Consultancy Services Limited and its subsidiaries with respect to various foreign currencies would result in increase / decrease in the Group's profit before taxes by approximately ₹338 crore for the year ended March 31, 2024.

- **Interest rate risk**

  The Group's investments are primarily in fixed rate interest bearing investments. Hence, the Group is not significantly exposed to interest rate risk.

Credit risk

Credit risk is the risk of financial loss arising from counterparty failure to repay or service debt according to the contractual terms or obligations. Credit risk encompasses of both, the direct risk of default and the risk of deterioration of creditworthiness as well as concentration of risks. Credit risk is controlled by analysing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit. Refer note 5 for methods, assumptions and information used to measure expected credit losses.

Notes forming part of Consolidated Financial Statements

Financial instruments that are subject to credit risk consist of trade receivables, loans, investments, derivative financial instruments, cash and cash equivalents, bank deposits and other financial assets. Loans include inter-corporate deposits of NIL and ₹170 crore placed with a financial institution having a high credit-rating assigned by credit-rating agencies as at March 31, 2025 and 2024, respectively. Bank deposits include an amount of ₹7,884 crore held with three banks and ₹5,197 crore held with two banks, having high credit rating which are individually in excess of 10% or more of the Company's total bank deposits as at March 31, 2025 and 2024, respectively. None of the other financial instruments of the Company result in material concentration of credit risk.

- **Exposure to credit risk**
  The carrying amount of financial assets and contract assets represents the maximum credit exposure. The maximum exposure to credit risk was ₹1,17,629 crore and ₹1,10,345 crore as at March 31, 2025 and 2024, respectively, being the total of the carrying amount of balances with banks, bank deposits, investments, trade receivables, loans, contract assets and other financial assets.

  The Group's exposure to customers is diversified and no single customer contributes to more than 10% of outstanding trade receivables and contract assets as at March 31, 2025 and 2024.

- **Geographic concentration of credit risk**
  Geographic concentration of trade receivables (gross and net of allowances) and contract assets is as follows:

	As at March 31, 2025		As at March 31, 2024	
	Gross%	Net%	Gross%	Net%
United States of America	35.40	35.87	42.07	42.67
India	22.51	21.38	18.68	17.44
United Kingdom	14.72	14.97	16.56	16.86

Geographical concentration of trade receivables (gross and net of allowances) and contract assets is allocated based on the location of the customers.

The allowance for lifetime expected credit losses on trade receivables for the years ended March 31, 2025 and 2024, was ₹112 crore and ₹98 crore respectively. The reconciliation of allowance for expected credit losses is as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Balance at the beginning of the year	**1,190**	**1,213**
Change during the year	112	98
Bad debts written off	(2)	(118)
Translation exchange difference	4	(3)
Balance at the end of the year	**1,304**	**1,190**

Liquidity risk

Liquidity risk refers to the risk that the Group cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements. The Group consistently generated sufficient cash flows from operations to meet its financial obligations including lease liabilities as and when they fall due.

The tables below provide details regarding the contractual maturities of significant financial liabilities as at:

(₹ crore)

March 31, 2025	Due in 1st year	Due in 2nd year	Due in 3rd to 5th year	Due after 5th year	Total
Non-derivative financial liabilities					
Trade payables	13,909	-	-	-	13,909
Lease liabilities	2,077	1,830	3,782	4,359	12,048
Other financial liabilities	8,385	231	447	1	9,064
	24,371	**2,061**	**4,229**	**4,360**	**35,021**
Derivative financial liabilities	157	-	-	-	157
	24,528	**2,061**	**4,229**	**4,360**	**35,178**

Notes forming part of Consolidated Financial Statements

(₹ crore)

March 31, 2024	Due in 1st year	Due in 2nd year	Due in 3rd to 5th year	Due after 5th year	Total
Non-derivative financial liabilities					
Trade payables	9,981	-	-	-	9,981
Lease liabilities	1,959	1,709	3,364	3,070	10,102
Other financial liabilities	8,255	51	73	245	8,624
	20,195	**1,760**	**3,437**	**3,315**	**28,707**
Derivative financial liabilities	114	-	-	-	114
	20,309	**1,760**	**3,437**	**3,315**	**28,821**

(m) Equity instruments

The authorised, issued, subscribed and fully paid up share capital consist of the following:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Authorised		
460,05,00,000 equity shares of ₹1 each	460	460
(March 31, 2024: 460,05,00,000 equity shares of ₹1 each)		
105,02,50,000 preference shares of ₹1 each	105	105
(March 31, 2024: 105,02,50,000 preference shares of ₹1 each)		
	565	**565**
Issued, Subscribed and Fully paid up		
361,80,87,518 equity shares of ₹1 each	362	362
(March 31, 2024: 361,80,87,518 equity shares of ₹1 each)		
	362	**362**

The Company's objective for capital management is to maximise shareholder value, safeguard business continuity and support the growth of the Company. The Company determines the capital requirement based on annual operating plans and long-term and other strategic investment plans. The funding requirements are met through equity and operating cash flows generated. The Company is not subject to any externally imposed capital requirements.

The Company bought back 4,09,63,855 equity shares for an aggregate amount of ₹17,000 crore being 1.12% of the total paid up equity share capital at ₹4,150 per equity share in the previous year. The equity shares bought back were extinguished on December 13, 2023.

I. Reconciliation of number of shares

	Year ended March 31, 2025		Year ended March 31, 2024	
	Number of shares	Amount (₹ crore)	Number of shares	Amount (₹ crore)
Equity shares				
Opening balance	**361,80,87,518**	**362**	**365,90,51,373**	**366**
Shares extinguished on buy-back	-	-	(4,09,63,855)	(4)
Closing balance	**361,80,87,518**	**362**	**361,80,87,518**	**362**

II. Rights, preferences and restrictions attached to shares

The Company has one class of equity shares having a par value of ₹1 each. Each shareholder is eligible for one vote per share held and carry a right to dividend. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend. In the event of liquidation, the equity shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding.

Notes forming part of Consolidated Financial Statements

III. Shares held by Holding company, its Subsidiaries and Associates

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Equity shares		
Holding company		
259,54,99,419 equity shares (March 31, 2024: 259,54,99,419 equity shares) are held by Tata Sons Private Limited	260	260
Subsidiaries and Associates of Holding company		
7,220 equity shares (March 31, 2024: 7,220 equity shares) are held by Tata Industries Limited*	-	-
10,04,425 equity shares (March 31, 2024: 10,14,172 equity shares) are held by Tata Investment Corporation Limited*	-	-
46,798 equity shares (March 31, 2024: 46,798 equity shares) are held by Tata Steel Limited*	-	-
766 equity shares (March 31, 2024: 766 equity shares) are held by The Tata Power Company Limited*	-	-
	260	**260**

*Equity shares having value less than ₹0.50 crore

IV. Details of shares held by shareholders holding more than 5% of the aggregate shares in the Company

	As at March 31, 2025	As at March 31, 2024
Equity shares		
Tata Sons Private Limited, the holding company	259,54,99,419	259,54,99,419
% of shareholding	71.74%	71.74%

V. Equity shares movement during five years preceding March 31, 2025

- **Equity shares extinguished on buy-back**

  The Company bought back 4,09,63,855 equity shares for an aggregate amount of ₹17,000 crore being 1.12% of the total paid up equity share capital at ₹4,150 per equity share. The equity shares bought back were extinguished on December 13, 2023.

  The Company bought back 4,00,00,000 equity shares for an aggregate amount of ₹18,000 crore being 1.08% of the total paid up equity share capital at ₹4,500 per equity share. The equity shares bought back were extinguished on March 29, 2022.

  The Company bought back 5,33,33,333 equity shares for an aggregate amount of ₹16,000 crore being 1.42% of the total paid up equity share capital at ₹3,000 per equity share. The equity shares bought back were extinguished on January 6, 2021.

VI. Disclosure of Shareholding of Promoters

Disclosure of shareholding of promoters as at March 31, 2025 is as follows:

	Shares held by promoters				% Change during the year
Promoter name	As at March 31, 2025		As at March 31, 2024		
	No. of shares	% of total shares	No. of shares	% of total shares	
Tata Sons Private Limited	259,54,99,419	71.74%	259,54,99,419	71.74%	0.00 %
Total	**259,54,99,419**	**71.74%**	**259,54,99,419**	**71.74%**	**0.00 %**

Notes forming part of Consolidated Financial Statements

Disclosure of shareholding of promoters as at March 31, 2024 is as follows:

Promoter name	Shares held by promoters				% Change during the year
	As at March 31, 2024		As at March 31, 2023		
	No. of shares	% of total shares	No. of shares	% of total shares	
Tata Sons Private Limited	259,54,99,419	71.74%	264,43,17,117	72.27%	(0.53)%
Total	**259,54,99,419**	**71.74%**	**264,43,17,117**	**72.27%**	**(0.53)%**

9) Leases

A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a lessee

The Group accounts for each lease component within the contract as a lease separately from non-lease components of the contract and allocates the consideration in the contract to each lease component on the basis of the relative standalone price of the lease component and the aggregate standalone price of the non-lease components.

The Group recognises right-of-use asset representing its right to use the underlying asset for the lease term at the lease commencement date. The cost of the right-of-use asset measured at inception shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred and an estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset or restoring the underlying asset or site on which it is located. The right-of-use asset is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use asset is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognised in the statement of profit and loss.

The Group measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Group uses incremental borrowing rate. For leases with reasonably similar characteristics, the Group, on a lease-by-lease basis, may adopt either the incremental borrowing rate specific to the lease or the incremental borrowing rate for the portfolio as a whole. The lease payments shall include fixed payments, variable lease payments, residual value guarantees, exercise price of a purchase option where the Group is reasonably certain to exercise that option and payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made and remeasuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in-substance fixed lease payments. The Group recognises the amount of the re-measurement of lease liability due to modification as an adjustment to the right-of-use asset and statement of profit and loss depending upon the nature of modification. Where the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Group recognises any remaining amount of the re-measurement in statement of profit and loss.

The Group has elected not to apply the requirements of Ind AS 116- Leases to short-term leases of all assets that have a lease term of 12 months or less and leases for which the underlying asset is of low value. The lease payments associated with these leases are recognised as an expense on a straight-line basis over the lease term.

Group as a lessor

At the inception of the lease the Group classifies each of its leases as either an operating lease or a finance lease. The Group recognises lease payments received under operating leases as income on a straight-line basis over the lease term. In case of a finance lease, finance income is recognised over the lease term based on a pattern reflecting a constant periodic rate of return on the lessor’s net investment in the lease. When the Group is an intermediate lessor it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies the sub-lease as an operating lease.

Notes forming part of Consolidated Financial Statements

If an arrangement contains lease and non-lease components, the Group applies Ind AS 115- Revenue from contracts with customers to allocate the consideration in the contract.

The details of the right-of-use assets held by the Group are as follows:

(₹ crore)

	Additions for the year ended March 31, 2025	Net carrying amount as at March 31, 2025
Leasehold land	-	918
Buildings	3,238	8,087
Leasehold improvements	41	52
Computer equipment	-	144
Software licences	-	31
Vehicles	19	35
Office equipment	6	6
Furniture and fixtures	-	2
	3,304	**9,275**

(₹ crore)

	Additions for the year ended March 31, 2024	Net carrying amount as at March 31, 2024
Leasehold land	-	929
Buildings	1,928	6,631
Leasehold improvements	-	25
Computer equipment	125	202
Software licences	-	60
Vehicles	18	34
Office equipment	1	3
Furniture and fixtures	2	2
	2,074	**7,886**

Depreciation on right-of-use assets is as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Leasehold land	12	11
Buildings	1,687	1,593
Leasehold improvements	11	8
Computer equipment	60	47
Software licences	29	36
Vehicles	18	18
Office equipment	3	3
Furniture and fixtures	-*	-*
	1,820	**1,716**

*Represents value less than ₹0.50 crore.

Notes forming part of Consolidated Financial Statements

Changes in lease liabilities are as follows:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Balance at the beginning of the year	**8,021**	**7,688**
Additions during the year	3,026	1,854
Repayment of lease liabilities during the year	(1,664)	(1,614)
Other non-cash movement	8	77
Translation Exchange difference	1	16
Balance at the end of the year	**9,392**	**8,021**

Interest on lease liabilities is ₹631 crore and ₹518 crore for the years ended March 31, 2025 and 2024, respectively.

The Group incurred ₹343 crore and ₹353 crore for the years ended March 31, 2025 and 2024, respectively, towards expenses relating to short-term leases and leases of low-value assets.

The total cash outflow for leases is ₹2,715 crore and ₹2,515 crore for the years ended March 31, 2025 and 2024, respectively, including cash outflow for short term leases and leases of low-value assets.

The Group has lease term extension options that are not reflected in the measurement of lease liabilities. The present value of future cash outflows for such extension periods is ₹943 crore and ₹815 crore as at March 31, 2025 and 2024, respectively.

Lease contracts entered by the Group majorly pertain for buildings taken on lease to conduct its business in the ordinary course.

The Group does not have any lease restrictions and commitment towards variable rent as per the contract.

10) Non-financial assets and non-financial liabilities

(a) Property, plant and equipment

The Group recognizes the cost of an item of property, plant and equipment as an asset if, and only if it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can measured reliably.

Property, plant and equipment are stated at cost comprising of purchase price and any initial directly attributable cost of bringing the asset to its working condition for its intended use, less accumulated depreciation (other than freehold land) and impairment loss, if any.

Depreciation is provided for property, plant and equipment on a straight-line basis so as to expense the cost less residual value over their estimated useful lives as prescribed in Schedule II of the Companies Act, 2013 except in respect of certain categories of assets, where the useful life of the assets has been assessed based on a technical evaluation. The estimated useful lives and residual values are reviewed at the end of each reporting period, with the effect of any change in estimate accounted for on a prospective basis.

The estimated useful lives are as mentioned below:

Type of asset	Useful lives
Buildings	20 years*
Leasehold improvements	Lease term
Plant and equipment	10 years*
Computer equipment	4 years*
Vehicles	4 years*
Office equipment	2-5 years*
Electrical installations	4-10 years*
Furniture and fixtures	5 years*

* The Group believes that the technically evaluated useful lives, different from Schedule II of the Companies Act, 2013, best represent the period over which these assets are expected to be used.

Notes forming part of Consolidated Financial Statements

Depreciation is not recorded on capital work-in-progress until construction and installation are complete and the asset is ready for its intended use.

Property, plant and equipment with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

The carrying amount of an item of property, plant and equipment shall be derecognized on disposal or when no future economic benefits are expected from its use or disposal.

Property, plant and equipment consist of the following:

(₹ crore)

	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2024	**354**	**8,280**	**2,777**	**878**	**14,199**	**45**	**2,976**	**2,202**	**2,142**	**33,853**
Additions*	1,600	470	80	118	1,443	11	260	152	172	4,306
Disposals	-	(1)	(50)	(2)	(703)	(3)	(70)	(18)	(22)	(869)
Translation exchange difference	1	3	(17)	(1)	9	-	(6)	(7)	5	(13)
Cost as at March 31, 2025	**1,955**	**8,752**	**2,790**	**993**	**14,948**	**53**	**3,160**	**2,329**	**2,297**	**37,277**
Accumulated depreciation as at April 1, 2024	**-**	**(4,154)**	**(2,036)**	**(539)**	**(11,483)**	**(37)**	**(2,629)**	**(1,748)**	**(1,851)**	**(24,477)**
Depreciation	-	(417)	(171)	(91)	(1,585)	(5)	(188)	(131)	(107)	(2,695)
Disposals	-	1	50	2	700	3	70	18	22	866
Translation exchange difference	-	(2)	18	-	(12)	-	4	4	(5)	7
Accumulated depreciation as at March 31, 2025	**-**	**(4,572)**	**(2,139)**	**(628)**	**(12,380)**	**(39)**	**(2,743)**	**(1,857)**	**(1,941)**	**(26,299)**
Net carrying amount as at March 31, 2025	**1,955**	**4,180**	**651**	**365**	**2,568**	**14**	**417**	**472**	**356**	**10,978**
Capital work-in-progress*										1,546
Total										**12,524**

* Including additions on account of acquisition of assets (Refer note 21).

Notes forming part of Consolidated Financial Statements

(₹ crore)

	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2023	**354**	**8,066**	**2,673**	**828**	**13,435**	**43**	**2,815**	**2,138**	**1,992**	**32,344**
Additions	-	217	195	56	970	6	215	96	168	1,923
Disposals	-	(4)	(98)	(3)	(279)	(4)	(53)	(39)	(22)	(502)
Translation exchange difference	-	1	7	(3)	73	-	(1)	7	4	88
Cost as at March 31, 2024	**354**	**8,280**	**2,777**	**878**	**14,199**	**45**	**2,976**	**2,202**	**2,142**	**33,853**
Accumulated depreciation as at April 1, 2023	**-**	**(3,744)**	**(1,945)**	**(458)**	**(10,025)**	**(36)**	**(2,487)**	**(1,646)**	**(1,773)**	**(22,114)**
Depreciation	-	(413)	(182)	(86)	(1,682)	(4)	(192)	(134)	(97)	(2,790)
Disposals	-	4	98	2	276	3	50	37	22	492
Translation exchange difference	-	(1)	(7)	3	(52)	-	-	(5)	(3)	(65)
Accumulated depreciation as at March 31, 2024	**-**	**(4,154)**	**(2,036)**	**(539)**	**(11,483)**	**(37)**	**(2,629)**	**(1,748)**	**(1,851)**	**(24,477)**
Net carrying amount as at March 31, 2024	**354**	**4,126**	**741**	**339**	**2,716**	**8**	**347**	**454**	**291**	**9,376**
Capital work-in-progress										1,564
Total										**10,940**

Notes forming part of Consolidated Financial Statements

- **Changes in Capital work-in-progress are as follows:**

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Balance at the beginning of the year	**1,564**	**1,233**
Addition during the year*	2,688	2,252
Capitalised during the year	(2,706)	(1,923)
Translation exchange difference	-	2
Balance at the end of the year	**1,546**	**1,564**

* Including additions on account of acquisition of assets (Refer note 21).

Capital work-in-progress

- **Capital work-in-progress ageing**
  Ageing for capital work-in-progress as at March 31, 2025 is as follows:

(₹ crore)

Capital work-in-progress	Amount in Capital work-in-progress for a period of				Total
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Projects in progress	1,075	248	72	151	1,546
	1,075	**248**	**72**	**151**	**1,546**

Ageing for capital work-in-progress as at March 31, 2024 is as follows:

(₹ crore)

Capital work-in-progress	Amount in Capital work-in-progress for a period of				Total
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Projects in progress	1,010	160	58	336	1,564
	1,010	**160**	**58**	**336**	**1,564**

Project execution plans are modulated basis capacity requirement assessment on an annual basis and all the projects are executed as per rolling annual plan.

(b) Goodwill

Goodwill represents the cost of acquired business as established at the date of acquisition of the business in excess of the acquirer's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities less accumulated impairment losses, if any. Goodwill is tested for impairment annually or when events or circumstances indicate that the implied fair value of goodwill is less than its carrying amount.

CGUs to which goodwill has been allocated are tested for impairment annually, or more frequently when there is indication for impairment. The financial projections basis which the future cash flows have been estimated consider economic uncertainties, reassessment of the discount rates, revisiting the growth rates factored while arriving at terminal value and subjecting these variables to sensitivity analysis. If the recoverable amount of a CGU is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata on the basis of the carrying amount of each asset in the unit.

Goodwill consists of the following:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Balance at the beginning of the year	**1,832**	**1,858**
Translation exchange difference	28	(26)
Balance at the end of the year	**1,860**	**1,832**

Notes forming part of Consolidated Financial Statements

Goodwill of ₹706 crore and ₹689 crore as at March 31, 2025 and 2024, respectively, has been allocated to the TCS business in France. The estimated value-in-use of this CGU, as at March 31, 2025 is based on the future cash flows using a 1.50% annual growth rate for periods subsequent to the forecast period of 5 years and discount rate of 9.27%. An analysis of the sensitivity of the computation to a change in key parameters (operating margin, discount rates and long term average growth rate), based on reasonable assumptions, did not identify any probable scenario in which the recoverable amount of the CGU would decrease below its carrying amount.

The remaining amount of goodwill of ₹1,154 crore and ₹1,143 crore as at March 31, 2025 and 2024, respectively, (relating to different CGUs individually immaterial) has been evaluated based on the cash flow forecasts of the related CGUs and the recoverable amounts of these CGUs exceeded their carrying amounts. The estimated value-in-use of these CGUs, as at March 31, 2025 is based on the future cash flows using a range of 0.50%- 10.50% annual growth rate for periods subsequent to the forecast period of 5 years and discount rate in a range of 5.00% to 23.57%.

(c) Other intangible assets

Intangible assets purchased including acquired in business combination, are measured at cost as at the date of acquisition, as applicable, less accumulated amortisation and accumulated impairment, if any.

Intangible assets consist of rights under licensing agreement and software licences and customer-related intangibles.

Following table summarises the nature of intangibles and their estimated useful lives:

Type of asset	Useful lives
Rights under licensing agreement and software licences	Lower of licence period and 1-5 years
Customer-related intangibles	3 years

Intangible assets are amortised on a straight-line basis over the period of its economic useful life.

Intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

Intangible assets consist of the following:

(₹ crore)

	Rights under licensing agreement and software licences	Customer-related intangibles	Total
Cost as at April 1, 2024	**2,004**	**127**	**2,131**
Additions	1,156	-	1,156
Disposals / Derecognised	(159)	-	(159)
Translation exchange difference	4	2	6
Cost as at March 31, 2025	**3,005**	**129**	**3,134**
Accumulated amortisation as at April 1, 2024	**(1,494)**	**(127)**	**(1,621)**
Amortisation	(727)	-	(727)
Disposals / Derecognised	159	-	159
Translation exchange difference	(3)	(2)	(5)
Accumulated amortisation as at March 31, 2025	**(2,065)**	**(129)**	**(2,194)**
Net carrying amount as at March 31, 2025	**940**	**-**	**940**

Notes forming part of Consolidated Financial Statements

(₹ crore)

	Rights under licensing agreement and software licences	Customer-related intangibles	Total
Cost as at April 1, 2023	**1,892**	**126**	**2,018**
Additions	131	-	131
Disposals / Derecognised	(18)	-	(18)
Translation exchange difference	(1)	1	-
Cost as at March 31, 2024	**2,004**	**127**	**2,131**
Accumulated amortisation as at April 1, 2023	**(1,025)**	**(126)**	**(1,151)**
Amortisation	(479)	-	(479)
Disposals / Derecognised	11	-	11
Translation exchange difference	(1)	(1)	(2)
Accumulated amortisation as at March 31, 2024	**(1,494)**	**(127)**	**(1,621)**
Net carrying amount as at March 31, 2024	**510**	**-**	**510**

The estimated amortisation for the years subsequent to March 31, 2025 is as follows:

(₹ crore)

Year ending March 31,	Amortisation expense
2026	749
2027	124
2028	52
2029	15
	940

(d) Other assets

Other assets consist of the following:

Other assets – Non-current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Considered good		
Capital advances	180	88
Advances to related parties	226	196
Contract assets	295	295
Prepaid expenses	2,456	2,557
Contract fulfillment costs	297	247
Others	258	213
	3,712	**3,596**
Advances to related parties, considered good, comprise:		
Tata Realty and Infrastructure Limited	-*	-*
Tata Projects Limited	224	191
Titan Engineering and Automation Limited	2	3
Universal MEP Projects & Engineering Services Limited	-*	2

*Represents value less than ₹0.50 crore.

Notes forming part of Consolidated Financial Statements

Other assets – Current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Considered good		
Advance to suppliers	224	174
Advance to related parties	1,462	967
Contract assets	6,233	5,846
Prepaid expenses	2,383	2,055
Contract fulfillment costs	2,317	1,588
Indirect taxes recoverable	1,811	1,288
Others	354	349
Considered doubtful		
Advance to suppliers	2	2
Other advances	3	4
Less: Allowance for doubtful assets	(5)	(6)
	14,784	**12,267**
Advance to related parties, considered good comprise:		
Tata AIG General Insurance Company Limited	1	7
Titan Company Limited	1	-
Tejas Networks Limited	1,460	960

Non-current – Others includes advance of ₹177 crore and ₹177 crore towards acquiring right-of-use of leasehold land as at March 31, 2025 and 2024, respectively.

Contract fulfillment costs of ₹1,086 crore and ₹838 crore for the years ended March 31, 2025 and 2024, respectively, have been amortised in the consolidated statement of profit and loss. Refer note 11 for changes in contract assets.

(e) Inventories

Inventories consists of a) Raw materials, sub-assemblies and components, b) Work-in-progress, c) Stores and spare parts and d) Finished goods. Inventories are carried at lower of cost and net realisable value. The cost of raw materials, sub-assemblies and components is determined on a weighted average basis. Cost of finished goods produced or purchased by the Group includes direct material and labour cost and a proportion of manufacturing overheads.

Inventories consist of the following:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Raw materials, sub-assemblies and components	20	28
Finished goods and work-in-progress	1	-*
	21	**28**

*Represents value less than ₹0.50 crore.

(f) Other liabilities

Other liabilities consist of the following:

Other liabilities – Current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Advance received from customers	1,896	1,841
Indirect taxes payable and other statutory liabilities	4,817	4,330
Others	475	353
	7,188	**6,524**

Notes forming part of Consolidated Financial Statements

(g) Provisions

Provisions consist of the following:

Provisions – Current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Provision for foreseeable loss	118	97
Other provisions	62	43
	180	**140**

11) Other equity

Other equity consist of the following:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Capital reserve	**75**	**75**
Capital redemption reserve		
Opening balance	**444**	**440**
Transfer from retained earnings	-	4
	444	**444**
Special Economic Zone re-investment reserve		
Opening balance	**16,234**	**11,809**
Transfer from retained earnings	-	9,875
Transfer to retained earnings	(15,149)	(5,450)
	1,085	**16,234**
Retained earnings		
Opening balance	**70,033**	**74,722**
Profit for the year	48,553	45,908
Remeasurement of defined employee benefit plans	(88)	(13)
Expenses for buy-back of equity shares	-	(46)
Tax on buy-back of equity shares	-	(3,959)
Buy-back of equity shares	-	(16,996)
Transfer from Special Economic Zone re-investment reserve	15,149	5,450
Sale of shares of non-controlling interests	7	-
	1,33,654	**1,05,066**
Less: Appropriations		
Dividend on equity shares	44,864	25,137
Transfer to capital redemption reserve	-	4
Transfer to Special Economic Zone re-investment reserve	-	9,875
Transfer from statutory reserve	13	17
	88,777	**70,033**
Statutory reserve		
Opening balance	**160**	**143**
Transfer to retained earnings	13	17
	173	**160**
Investment revaluation reserve		
Opening balance	**235**	**41**
Change during the year (net)	420	194
	655	**235**

Notes forming part of Consolidated Financial Statements

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Cash flow hedging reserve (Refer note 8(k))		
Opening balance	**(9)**	**(20)**
Change during the year (net)	(6)	11
	(15)	**(9)**
Foreign currency translation reserve		
Opening balance	**2,955**	**2,848**
Change during the year (net)	245	107
	3,200	**2,955**
	94,394	**90,127**

12) Revenue recognition

The Group earns revenue primarily from providing IT services, consulting and business solutions. The Group offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions.

Revenue is recognised upon transfer of control of promised products or services to customers in an amount that reflects the consideration which the Group expects to receive in exchange for those products or services.

- Revenue from time and material and job contracts is recognised on output basis measured by units delivered, efforts expended, number of transactions processed, etc.
- Revenue related to fixed price maintenance and support services contracts where the Group is standing ready to provide services is recognised based on time elapsed mode and revenue is straight-lined over the period of performance.
- In respect of other fixed-price contracts, revenue is recognised using percentage-of-completion method ('POC method') of accounting with contract costs incurred determining the degree of completion of the performance obligation. The contract costs used in computing the revenues include cost of fulfilling warranty obligations.
- Revenue from the sale of distinct internally developed software and manufactured systems and third party software is recognised upfront at the point in time when the system / software is delivered to the customer. In cases where implementation and / or customisation services rendered significantly modifies or customises the software, these services and software are accounted for as a single performance obligation and revenue is recognised over time on a POC method.
- Revenue from the sale of distinct third party hardware is recognised at the point in time when control is transferred to the customer.
- The solutions offered by the Group may include supply of third-party equipment or software. In such cases, revenue for supply of such third party products are recorded at gross or net basis depending on whether the Group is acting as the principal or as an agent of the customer. The Group recognises revenue in the gross amount of consideration when it is acting as a principal and at net amount of consideration when it is acting as an agent.

Revenue is measured based on the transaction price, which is the consideration, adjusted for volume discounts, service level credits, performance bonuses, price concessions and incentives, if any, as specified in the contract with the customer. Revenue also excludes taxes collected from customers.

The Group's contracts with customers could include promises to transfer multiple products and services to a customer. The Group assesses the products / services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligation involves judgement to determine the deliverables and the ability of the customer to benefit independently from such deliverables.

Judgement is also required to determine the transaction price for the contract and to ascribe the transaction price to each distinct performance obligation. The transaction price could be either a fixed amount of customer consideration or variable consideration with elements such as volume discounts, service level credits, performance bonuses, price concessions and incentives. The transaction price is also adjusted for the effects of the time value of money if the contract includes a significant financing component.

Notes forming part of Consolidated Financial Statements

Any consideration payable to the customer is adjusted to the transaction price, unless it is a payment for a distinct product or service from the customer. The estimated amount of variable consideration is adjusted in the transaction price only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur and is reassessed at the end of each reporting period. The Group allocates the elements of variable considerations to all the performance obligations of the contract unless there is observable evidence that they pertain to one or more distinct performance obligations.

The Group exercises judgement in determining whether the performance obligation is satisfied at a point in time or over a period of time. The Group considers indicators such as how customer consumes benefits as services are rendered or who controls the asset as it is being created or existence of enforceable right to payment for performance to date and alternate use of such product or service, transfer of significant risks and rewards to the customer, acceptance of delivery by the customer, etc.

Contract fulfilment costs are generally expensed as incurred except for certain software licence costs which meet the criteria for capitalisation. Such costs are amortised over the contractual period or useful life of licence, whichever is less. The assessment of this criteria requires the application of judgement, in particular when considering if costs generate or enhance resources to be used to satisfy future performance obligations and whether costs are expected to be recovered.

Contract assets are recognised when there are excess of revenues earned over billings on contracts. Contract assets are classified as unbilled receivables (only act of invoicing is pending) when there is unconditional right to receive cash, and only passage of time is required, as per contractual terms.

Unearned and deferred revenue (“contract liability”) is recognised when there are billings in excess of revenues.

The billing schedules agreed with customers include periodic performance based payments and / or milestone based progress payments. Invoices are payable within contractually agreed credit period.

In accordance with Ind AS 37, the Group recognises an onerous contract provision when the unavoidable costs of meeting the obligations under a contract exceed the economic benefits to be received.

Contracts are subject to modification to account for changes in contract specification and requirements. The Group reviews modification to contract in conjunction with the original contract, basis which the transaction price could be allocated to a new performance obligation, or transaction price of an existing obligation could undergo a change. In the event transaction price is revised for existing obligation, a cumulative adjustment is accounted for.

The Group disaggregates revenue from contracts with customers by nature of services, industry verticals and geography.

Revenue disaggregation by nature of services is as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Consultancy services	2,52,045	2,38,135
Sale of equipment and software licences	3,279	2,758
	2,55,324	**2,40,893**

Revenue disaggregation by industry vertical and geography has been included in segment information (Refer note 19).

While disclosing the aggregate amount of transaction price yet to be recognised as revenue towards unsatisfied (or partially satisfied) performance obligations, along with the broad time band for the expected time to recognise those revenues, the Group has applied the practical expedient in Ind AS 115. Accordingly, the Group has not disclosed the aggregate transaction price allocated to unsatisfied (or partially satisfied) performance obligations which pertain to contracts where revenue recognised corresponds to the value transferred to customer typically involving time and material, outcome based and event based contracts.

Unsatisfied (or partially satisfied) performance obligations are subject to variability due to several factors such as terminations, changes in scope of contracts, periodic revalidations of the estimates, economic factors (changes in currency rates, tax laws etc). The aggregate value of transaction price allocated to unsatisfied (or partially satisfied) performance obligations is ₹1,84,432 crore out of which 46.03% is expected to be recognised as revenue in the next year and the balance thereafter. No consideration from contracts with customers is excluded from the amount mentioned above.

Notes forming part of Consolidated Financial Statements

Changes in contract assets are as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Balance at the beginning of the year	**6,141**	**5,831**
Invoices raised that were included in the contract assets balance at the beginning of the year	(4,593)	(3,933)
Increase due to revenue recognised during the year, excluding amounts billed during the year	4,843	4,182
Translation exchange difference	137	61
Balance at the end of the year	**6,528**	**6,141**

Changes in unearned and deferred revenue are as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Balance at the beginning of the year	**4,122**	**4,846**
Revenue recognised that was included in the unearned and deferred revenue balance at the beginning of the year	(3,714)	(4,178)
Increase due to invoicing during the year, excluding amounts recognised as revenue during the year	4,140	3,469
Translation exchange difference	(2)	(15)
Balance at the end of the year	**4,546**	**4,122**

Reconciliation of revenue recognised with the contracted price is as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Contracted price	2,59,076	2,44,803
Reductions towards variable consideration components	(3,752)	(3,910)
Revenue recognised	**2,55,324**	**2,40,893**

The reduction towards variable consideration comprises of volume discounts, service level credits, etc.

13) Other income

Dividend income is recorded when the right to receive payment is established. Interest income is recognised using the effective interest method.

Other income consist of the following:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Interest income	3,296	3,781
Dividend income	43	41
Net gain on disposal / fair valuation of investments carried at fair value through profit or loss	258	301
Net gain on sale of investments other than equity shares carried at fair value through OCI	11	11
Net gain on disposal of property, plant and equipment	20	7
Net gain on lease modification	15	7
Net foreign exchange gain	260	223
Rent income	3	-
Other income	56	51
	3,962	**4,422**

TATA

Notes forming part of Consolidated Financial Statements

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Interest income comprise:		
Interest on bank balances and bank deposits	888	751
Interest on financial assets carried at amortised cost	224	398
Interest on financial assets carried at fair value through OCI	2,114	2,198
Other interest (including interest on tax refunds)	70	434
Dividend income comprise:		
Dividend from mutual fund units and other investments	43	41

14) Employee benefits

Defined benefit plans

For defined benefit plans, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuations being carried out at each balance sheet date. Remeasurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling and the return on plan assets (excluding interest), is reflected immediately in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur. Past service cost, both vested and unvested, is recognised as an expense at the earlier of (a) when the plan amendment or curtailment occurs; and (b) when the entity recognises related restructuring costs or termination benefits.

The retirement benefit obligations recognised in the balance sheet represents the present value of the defined benefit obligations reduced by the fair value of scheme assets. Any asset resulting from this calculation is limited to the present value of available refunds and reductions in future contributions to the scheme.

The Group provides benefits such as gratuity, pension and provident fund (Company managed fund) to its employees which are treated as defined benefit plans.

Defined contribution plans

Contributions to defined contribution plans are recognised as expense when employees have rendered services entitling them to such benefits.

The Group provides benefits such as superannuation, provident fund (other than Company managed fund) and foreign defined contribution plans to its employees which are treated as defined contribution plans.

Short-term employee benefits

All employee benefits payable wholly within twelve months of rendering the service are classified as short-term employee benefits. Benefits such as salaries, wages etc. and the expected cost of ex-gratia are recognised in the period in which the employee renders the related service. A liability is recognised for the amount expected to be paid when there is a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Compensated absences

Compensated absences which are expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as undiscounted liability at the balance sheet date. Compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as an actuarially determined liability at the present value of the defined benefit obligations at the balance sheet date using the Projected Unit Credit Method.

Employee benefit expenses consist of the following:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Salaries, incentives and allowances	1,30,035	1,25,432
Contributions to provident and other funds	11,753	10,962
Staff welfare expenses	4,000	3,737
	1,45,788	**1,40,131**

Notes forming part of Consolidated Financial Statements

Employee benefit obligations consist of the following:

Employee benefit obligations – Non-current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Gratuity liability	17	15
Foreign defined benefit plans	548	502
Other employee benefit obligations	276	169
	841	**686**

Employee benefit obligations – Current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Compensated absences	4,839	4,480
Other employee benefit obligations	46	39
	4,885	**4,519**

Employee benefit plans consist of the following:

Gratuity and pension

In accordance with Indian law, Tata Consultancy Services Limited and its subsidiaries in India operate a scheme of gratuity which is a defined benefit plan. The gratuity plan provides for a lump sum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 to 30 days' salary payable for each completed year of service. Vesting occurs upon completion of five continuous years of service. The Company manages the plan through a trust. Trustees administer contributions made to the trust. Certain overseas subsidiaries and branches of the Company also provide for retirement benefit pension plans in accordance with the local laws.

The following table sets out the details of the defined benefit retirement plans and the amounts recognised in the financial statements:

(₹ crore)

	Year ended March 31, 2025					Year ended March 31, 2024				
	Domestic plans funded	Domestic plans unfunded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Domestic plans unfunded	Foreign plans funded	Foreign plans unfunded	Total
Change in benefit obligations										
Benefit obligations, beginning of the year	**5,300**	**3**	**1,898**	**392**	**7,593**	**4,667**	**3**	**1,833**	**294**	**6,797**
Translation exchange difference	-	-	70	(21)	49	-	-	26	13	39
Plan participants' contribution	-	-	21	-	21	-	-	20	-	20
Service cost	540	-	32	64	636	485	-	33	82	600
Interest cost	395	-	61	18	474	363	-	57	18	438
Remeasurement of the defined benefit obligations	319	1	48	17	385	168	-	(16)	10	162
Past service cost	-	-	-	-	-	-	-	6	6	12
Benefits paid	(364)	-	(68)	(35)	(467)	(383)	-	(61)	(31)	(475)
Benefit obligations, end of the year	**6,190**	**4**	**2,062**	**435**	**8,691**	**5,300**	**3**	**1,898**	**392**	**7,593**

Notes forming part of Consolidated Financial Statements

(₹ crore)

	Year ended March 31, 2025					Year ended March 31, 2024				
	Domestic plans funded	Domestic plans unfunded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Domestic plans unfunded	Foreign plans funded	Foreign plans unfunded	Total
Change in plan assets										
Fair value of plan assets, beginning of the year	**7,234**	**-**	**2,078**	**-**	**9,312**	**6,405**	**-**	**1,929**	**-**	**8,334**
Translation exchange difference	-	-	73	-	73	-	-	26	-	26
Plan assumed on insourcing of employees	-	-	-	-	-	-	-	-	-	-
Interest income	529	-	70	-	599	501	-	61	-	562
Employers' contributions	367	-	56	-	423	601	-	53	-	654
Plan participants' contribution	-	-	21	-	21	-	-	20	-	20
Benefits paid	(364)	-	(68)	-	(432)	(383)	-	(61)	-	(444)
Remeasurement- return on plan assets excluding amount included in interest income	140	-	138	-	278	110	-	50	-	160
Fair value of plan assets, end of the year	**7,906**	**-**	**2,368**	**-**	**10,274**	**7,234**	**-**	**2,078**	**-**	**9,312**

(₹ crore)

	As at March 31, 2025					As at March 31, 2024				
	Domestic plans funded	Domestic plans unfunded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Domestic plans unfunded	Foreign plans funded	Foreign plans unfunded	Total
Funded status										
Deficit of plan assets over obligations	(13)	(4)	(113)	(435)	(565)	(12)	(3)	(110)	(392)	(517)
Surplus of plan assets over obligations	1,729	-	419	-	2,148	1,946	-	290	-	2,236
	1,716	**(4)**	**306**	**(435)**	**1,583**	**1,934**	**(3)**	**180**	**(392)**	**1,719**

(₹ crore)

	As at March 31, 2025					As at March 31, 2024				
	Domestic plans funded	Domestic plans unfunded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Domestic plans unfunded	Foreign plans funded	Foreign plans unfunded	Total
Category of assets										
Corporate bonds	2,023	-	77	-	2,100	1,960	-	371	-	2,331
Equity instruments	267	-	-	-	267	201	-	375	-	576
Government bonds and securities	3,559	-	-	-	3,559	3,172	-	-	-	3,172
Insurer managed funds	1,892	-	2,116	-	4,008	1,734	-	607	-	2,341
Bank balances	5	-	3	-	8	22	-	78	-	100
Others	160	-	172	-	332	145	-	647	-	792
	7,906	**-**	**2,368**	**-**	**10,274**	**7,234**	**-**	**2,078**	**-**	**9,312**

Notes forming part of Consolidated Financial Statements

Net periodic gratuity / pension cost, included in employee cost consists of the following components:

(₹ crore)

	Year ended March 31, 2025					Year ended March 31, 2024				
	Domestic plans funded	Domestic plans unfunded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Domestic plans unfunded	Foreign plans funded	Foreign plans unfunded	Total
Service cost	540	-	32	64	636	485	-	33	82	600
Net interest on defined benefit (assets) / obligations	(134)	-	(9)	18	(125)	(138)	-	(4)	18	(124)
Past service cost	-	-	-	-	-	-	-	6	6	12
Net periodic gratuity / pension cost	**406**	**-**	**23**	**82**	**511**	**347**	**-**	**35**	**106**	**488**
Actual return on plan assets	**669**	**-**	**208**	**-**	**877**	**611**	**-**	**111**	**-**	**722**

Remeasurement of the defined benefit (assets) / obligations:

(₹ crore)

	Year ended March 31, 2025				
	Domestic plans funded	Domestic plans unfunded	Foreign plans funded	Foreign plans unfunded	Total
Actuarial losses arising from changes in demographic assumptions	12	-	1	1	14
Actuarial losses arising from changes in financial assumptions	222	1	68	15	306
Actuarial (gains) / losses arising from changes in experience adjustments	85	-	(21)	1	65
Remeasurement of the defined benefit obligations	**319**	**1**	**48**	**17**	**385**
Remeasurement- return on plan assets excluding amount included in interest income	(140)	-	(138)	-	(278)
	179	**1**	**(90)**	**17**	**107**

(₹ crore)

	Year ended March 31, 2024				
	Domestic plans funded	Domestic plans unfunded	Foreign plans funded	Foreign plans unfunded	Total
Actuarial gains arising from changes in demographic assumptions	(2)	-	(4)	(3)	(9)
Actuarial (gains) / losses arising from changes in financial assumptions	67	-	(43)	10	34
Actuarial losses arising from changes in experience adjustments	103	-	31	3	137
Remeasurement of the defined benefit obligations	**168**	**-**	**(16)**	**10**	**162**
Remeasurement- return on plan assets excluding amount included in interest income	(110)	-	(50)	-	(160)
	58	**-**	**(66)**	**10**	**2**

Notes forming part of Consolidated Financial Statements

The assumptions used in accounting for the defined benefit plan are set out below:

	As at March 31, 2025		As at March 31, 2024	
	Domestic plans	Foreign plans	Domestic plans	Foreign plans
Discount rate	6.50%- 6.75%	1.10%- 9.40%	7.00%- 7.25%	1.57%- 9.40%
Rate of increase in compensation levels of covered employees	6.00%- 10.00%	1.25%- 7.00%	5.00%- 10.00%	1.75%- 7.00%
Rate of return on plan assets	6.50%- 6.75%	1.10%- 9.40%	7.00%- 7.25%	1.57%- 9.40%
Weighted average duration of defined benefit obligations	6-12 Years	3-27 Years	2-11 Years	3-27 Years

Future mortality assumptions are taken based on the published statistics by the Insurance Regulatory and Development Authority of India.

The expected benefits are based on the same assumptions as are used to measure Group's defined benefit plan obligations as at March 31, 2025. The Group is expected to contribute ₹40 crore to defined benefit plan obligations funds for the year ending March 31, 2026 comprising domestic component of ₹7 crore and foreign component of ₹33 crore.

The significant actuarial assumptions for the determination of the defined benefit obligations are discount rate and expected salary increase. The sensitivity analysis below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

If the discount rate increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Increase of 0.50%	(318)	(272)
Decrease of 0.50%	350	300

If the expected salary growth increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Increase of 0.50%	198	163
Decrease of 0.50%	(190)	(157)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligations has been calculated using the Projected Unit Credit Method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligations recognised in the balance sheet.

Each year an Asset-Liability matching study is performed in which the consequences of the strategic investment policies are analysed in terms of risk and return profiles. Investment and contribution policies are integrated within this study.

The defined benefit obligations shall mature after year ended March 31, 2025 as follows:

(₹ crore)

Year ending March 31,	Defined benefit obligations
2026	974
2027	847
2028	884
2029	841
2030	788
2031-2035	3,395

Notes forming part of Consolidated Financial Statements

Provident fund

In accordance with Indian law, all eligible employees of Tata Consultancy Services Limited in India are entitled to receive benefits under the provident fund plan in which both the employee and employer (at a determined rate) contribute monthly to a trust set up by the Company to manage the investments and distribute the amounts entitled to employees. This plan is a defined benefit plan as the Company is obligated to provide its members a rate of return which should, at the minimum, meet the interest rate declared by Government administered provident fund. A part of the Company's contribution is transferred to the Government administered pension fund. The contributions made by the Company and the shortfall of interest, if any, are recognised as an expense in profit and loss under employee benefit expenses. In accordance with an actuarial valuation of provident fund liabilities on the basis of guidance issued by Actuarial Society of India and based on the assumptions as mentioned below, there is no deficiency in the interest cost as the present value of the expected future earnings of the fund is greater than the expected amount to be credited to the individual members based on the expected guaranteed rate of interest of Government administered provident fund.

All eligible employees of Indian subsidiaries of the Company are entitled to receive benefits under the provident fund plan in which both the employee and employer (at a determined rate) contribute monthly to the Government administered provident fund plan. A part of the Company's contribution is transferred to the Government administered pension fund. This plan is a defined contribution plan as the obligation of the employer is limited to the monthly contributions made to the fund. The contributions made to the fund are recognised as an expense in profit and loss under employee benefit expenses.

The following table sets out the details of the defined benefit provident fund plan and the amounts recognised in the financial statements:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Change in benefit obligations		
Benefit obligations, beginning of the year	**29,170**	**25,511**
Employee contribution	2,614	2,543
Service cost	967	920
Interest cost	2,387	2,142
Obligations transferred in	653	801
Benefits paid	(2,814)	(2,747)
Benefit obligations, end of the year	**32,977**	**29,170**

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Change in plan assets		
Plan assets, beginning of the year	**29,326**	**25,834**
Interest income	2,387	2,142
Contributions	3,581	3,463
Assets transferred in	653	801
Benefits paid	(2,814)	(2,747)
Remeasurement- return on plan assets excluding amount included in interest income	(116)	(167)
Plan assets, end of the year	**33,017**	**29,326**

Net periodic provident fund cost, included in the employee cost consists of the following components:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Service cost	967	920
Net periodic provident fund cost	**967**	**920**

Notes forming part of Consolidated Financial Statements

The plan asset investment is as per pattern specified by Employee's Provident Fund Organisation with more than 90% of the assets invested in Government bonds and debt instruments.

The assumptions used in determining the present value obligation of interest guarantee under the deterministic approach are as follows:

	As at March 31, 2025	As at March 31, 2024
Discount rate	6.50%	7.25%
Average remaining tenure of investment portfolio	6 Years	6 Years
Guaranteed rate of return	8.25%	8.25%

The Group expensed ₹1,693 crore and ₹1,698 crore for the years ended March 31, 2025 and 2024, respectively, towards provident fund.

Superannuation

All eligible employees on Indian payroll are entitled to benefits under Superannuation, a defined contribution plan. The Group makes monthly contributions until retirement or resignation of the employee. The Group recognises such contributions as an expense when incurred. The Group has no further obligation beyond its monthly contribution.

The Group expensed ₹498 crore and ₹452 crore for the years ended March 31, 2025 and 2024, respectively, towards Employees' Superannuation Fund.

Foreign defined contribution plans

The Group expensed ₹2,768 crore and ₹2,529 crore for the years ended March 31, 2025 and 2024, respectively, towards foreign defined contribution plans.

15) Cost recognition

Costs and expenses are recognised when incurred and have been classified according to their nature.

The costs of the Group are broadly categorised in employee benefit expenses, cost of equipment and software licences, depreciation and amortisation expense and other expenses. Other expenses mainly include fees to external consultants, facility expenses, travel expenses, communication expenses, bad debts and advances written off, allowance for expected credit losses and doubtful advances (net) and other expenses. Other expenses are aggregation of costs which are individually not material such as commission and brokerage, recruitment and training, entertainment, etc.

(a) Cost of equipment and software licences

Cost of equipment and software licences consist of the following:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Raw materials, sub-assemblies and components consumed	49	42
Equipment and software licences purchased	11,600	3,655
	11,649	**3,697**
Finished goods and work-in-progress		
Opening stock	-*	5
Less: Closing stock	1	-*
	(1)	**5**
	11,648	**3,702**

*Represents value less than ₹0.50 crore.

Notes forming part of Consolidated Financial Statements

(b) Other expenses

Other expenses consist of the following:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Fees to external consultants	11,695	15,820
Facility expenses	3,456	3,100
Travel expenses	3,213	2,970
Communication expenses	2,365	2,261
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	128	114
Other expenses	9,624	8,499
	30,481	**32,764**

Other expenses include ₹4,337 crore and ₹4,017 crore for the years ended March 31, 2025 and 2024, respectively, towards project expenses.

The Company made a contribution to an electoral trust of ₹218 crore and NIL for the years ended March 31, 2025 and 2024, respectively, which is included in other expenses.

16) Finance costs

Finance costs consist of the following:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Interest on lease liabilities	632	518
Interest on tax matters	-	30
Other interest costs	164	230
	796	**778**

17) Income taxes

Income tax expense comprises current tax expense and the net change in the deferred tax asset or liability during the year. Current and deferred taxes are recognised in statement of profit and loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity, respectively.

Current income taxes

The current income tax expense includes income taxes payable by the Company and its subsidiaries in India and overseas.

The Company has recognised income tax expenses applying the provisions under section 115BAA of the Income-tax Act, 1961.

Current income tax payable by overseas branches of the Company is computed in accordance with the tax laws applicable in the jurisdiction in which the respective branch operates. The taxes paid are generally available for set off against the Indian income tax liability of the Company's worldwide income.

The current income tax expense for overseas subsidiaries has been computed based on the tax laws applicable to each subsidiary in the respective jurisdiction in which it operates.

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision arising in the same tax jurisdiction and where the relevant tax paying unit intends to settle the asset and liability on a net basis.

Notes forming part of Consolidated Financial Statements

The Organisation for Economic Co-operation and Development (OECD) has published the model rules for global minimum tax (Pillar Two model rules). Pillar Two legislation has been enacted, or substantively enacted, in certain jurisdictions where the Group operates. The Group is within the scope of the OECD Pillar Two model rules and has evaluated the potential exposure to global minimum tax. The Group does not expect any material financial impact for the current period. The evaluation of the potential exposure is based on the most recent country-by-country reporting, and financial statements for the constituent entities in the Group.

Deferred income taxes

Deferred income tax is recognised using the balance sheet approach. Deferred income tax assets and liabilities are recognised for deductible and taxable temporary differences arising between the tax base of assets and liabilities and their carrying amount, except when the deferred income tax arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination, affects neither accounting nor taxable profit or loss at the time of the transaction.

Deferred income tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax liabilities are recognised for all taxable temporary differences except in respect of taxable temporary differences associated with investments in subsidiaries where timing of the reversal of the temporary difference can be controlled and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets and liabilities are measured using substantively enacted tax rates expected to apply to taxable income in the years in which the temporary differences are expected to be received or settled.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

Deferred tax assets include Minimum Alternate Tax (MAT) paid in accordance with the tax laws in India, to the extent it would be available for set off against future current income tax liability. Accordingly, MAT is recognised as deferred tax asset in the balance sheet when the asset can be measured reliably and it is probable that the future economic benefit associated with the asset will be realised.

The income tax expense consists of the following:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Current tax		
Current tax expense for current year	18,113	16,284
Current tax benefit pertaining to prior years	(1,203)	(420)
	16,910	**15,864**
Deferred tax		
Deferred tax expense / (benefit) for current year	(366)	3
Deferred tax expense / (benefit) pertaining to prior years	(10)	31
	(376)	**34**
	16,534	**15,898**

Notes forming part of Consolidated Financial Statements

The reconciliation of estimated income tax expense at Indian statutory income tax rate to income tax expense reported in consolidated statement of profit and loss is as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Profit before tax	65,331	61,997
Indian statutory income tax rate	25.17%	34.94%
Expected income tax expense	16,442	21,664
Tax effect of adjustments to reconcile expected income tax expense to reported income tax expense		
Tax holidays	-	(6,407)
Income exempt from tax	(549)	(522)
Undistributed earnings in branches and subsidiaries	(60)	111
Tax on income at different rates	1,556	891
Tax pertaining to prior years	(1,213)	(389)
Effect of tax rate change under new regime	-	441
Others (net)	358	109
Total income tax expense	**16,534**	**15,898**

Significant components of net deferred tax assets and liabilities for the year ended March 31, 2025 are as follows:

(₹ crore)

	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Exchange difference	Closing balance
Deferred tax assets / (liabilities) in relation to					
Property, plant and equipment and intangible assets	**739**	320	-	(7)	**1,052**
Provision for employee benefits	**1,108**	91	(27)	5	**1,177**
Cash flow hedges	**3**	-	3	-	**6**
Receivables, financial assets at amortised cost	**422**	32	-	(1)	**453**
Branch profit tax	**(100)**	(66)	-	-	**(166)**
Undistributed earnings of subsidiaries	**(680)**	126	-	-	**(554)**
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	**(126)**	-	(149)	-	**(275)**
Lease liabilities and right-of-use assets	**270**	(27)	-	(2)	**241**
Others	**790**	(100)	-	(26)	**664**
	2,426	**376**	**(173)**	**(31)**	**2,598**

Notes forming part of Consolidated Financial Statements

Gross deferred tax assets and liabilities are as follows:

(₹ crore)

As at March 31, 2025	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and intangible assets	1,175	123	1,052
Provision for employee benefits	1,180	3	1,177
Cash flow hedges	6	-	6
Receivables, financial assets at amortised cost	454	1	453
MAT credit entitlement	-	-	-
Branch profit tax	-	166	(166)
Undistributed earnings of subsidiaries	-	554	(554)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(272)	3	(275)
Lease liabilities	1,680	-	1,680
Right-of-use-assets	(1,439)	-	(1,439)
Others	794	130	664
	3,578	**980**	**2,598**

Significant components of net deferred tax assets and liabilities for the year ended March 31, 2024 are as follows:

(₹ crore)

	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Exchange difference	Closing balance
Deferred tax assets / (liabilities) in relation to					
Property, plant and equipment and intangible assets	**686**	52	-	1	**739**
Provision for employee benefits	**1,056**	84	(24)	(8)	**1,108**
Cash flow hedges	**6**	-	(3)	-	**3**
Receivables, financial assets at amortised cost	**438**	(15)	-	(1)	**422**
MAT credit entitlement	**-**	-	-	-	**-**
Branch profit tax	**(135)**	35	-	-	**(100)**
Undistributed earnings of subsidiaries	**(534)**	(146)	-	-	**(680)**
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	**(84)**	(2)	(37)	(3)	**(126)**
Lease liabilities and right-of-use assets	**250**	20	-	-	**270**
Others	**832**	(62)	-	20	**790**
	2,515	**(34)**	**(64)**	**9**	**2,426**

Notes forming part of Consolidated Financial Statements

Gross deferred tax assets and liabilities are as follows:

(₹ crore)

As at March 31, 2024	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and intangible assets	862	123	739
Provision for employee benefits	1,149	41	1,108
Cash flow hedges	3	-	3
Receivables, financial assets at amortised cost	422	-	422
Branch profit tax	-	100	(100)
Undistributed earnings of subsidiaries	-	680	(680)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(124)	2	(126)
Lease liabilities	1,314	-	1,314
Right-of-use-assets	(1,044)		(1,044)
Others	821	31	790
	3,403	**977**	**2,426**

Under the Income-tax Act, 1961, unabsorbed business losses expire 8 years after the year in which they originate. In respect of certain foreign subsidiaries, business losses can be carried forward indefinitely unless there is a substantial change in the ownership.

Unrecognised deferred tax assets relate primarily to business losses and tax credit entitlements which do not qualify for recognition as per the applicable accounting standards. These unabsorbed business losses will expire based on the year of origination as follows:

(₹ crore)

March 31,	Unabsorbed business losses
2027	1
2030	-
Thereafter	35
	36

Deferred tax liability on temporary differences of ₹8,352 crore as at March 31, 2025, associated with investments in subsidiaries, has not been recognised, as it is the intention of Tata Consultancy Services Limited to reinvest the earnings of these subsidiaries for the foreseeable future.

Direct tax contingencies

The Company and its subsidiaries have ongoing disputes with income tax authorities in India and in some of the other jurisdictions where they operate. The disputes relate to tax treatment of certain expenses claimed as deduction, computation or eligibility of tax incentives and allowances and characterisation of fees for services received. Contingent liability in respect of tax demands received from direct tax authorities in India and other jurisdictions is ₹1,073 crore and ₹1,871 crore as at March 31, 2025 and March 31, 2024, respectively. These demand orders are being contested by the Company and its subsidiaries based on the management evaluation and advise of tax consultants. In respect of tax contingencies of ₹318 crore and ₹318 crore as at March 31, 2025 and 2024, respectively, not included above, the Company is entitled to an indemnification from the seller of TCS e-Serve Limited.

The Group periodically receives notices and inquiries from income tax authorities related to the Group's operations in the jurisdictions it operates in. The Group has evaluated these notices and inquiries and has concluded that any consequent income tax claims or demands by the income tax authorities will not succeed on ultimate resolution.

The number of years that are subject to tax assessments varies depending on tax jurisdiction. The major tax jurisdictions of Tata Consultancy Services Limited include India, United States of America and United Kingdom. In India, tax filings from fiscal 2022 are generally subject to examination by the tax authorities. In United States of America, the federal statute of limitation applies to fiscals 2020 and earlier and applicable state statutes of limitation vary by state. In United Kingdom, the statute of limitation generally applies to fiscal 2019 and earlier.

Notes forming part of Consolidated Financial Statements

18) Earnings per share

Basic earnings per share is computed by dividing profit or loss attributable to equity shareholders of the Company by the weighted average number of equity shares outstanding during the period. The Company did not have any potentially dilutive securities in any of the periods presented.

	Year ended March 31, 2025	Year ended March 31, 2024
Profit for the year attributable to shareholders of the Company (₹ crore)	48,553	45,908
Weighted average number of equity shares	361,80,87,518	364,68,51,755
Basic and diluted earnings per share (₹)	134.19	125.88
Face value per equity share (₹)	1	1

19) Segment information

Operating segments are defined as components of an enterprise for which discrete financial information is available that is evaluated regularly by the chief operating decision maker, in deciding how to allocate resources and assessing performance. The Group's chief operating decision maker is the Chief Executive Officer and Managing Director.

The Group has identified business segments ('industry vertical') as reportable segments. The business segments comprise: 1) Banking, Financial Services and Insurance, 2) Manufacturing, 3) Consumer Business, 4) Communication, Media and Technology, 5) Life Sciences and Healthcare and 6) Others such as Energy, Resources and Utilities, s-Governance and Products.

Revenue and expenses directly attributable to segments are reported under each reportable segment. Expenses which are not directly identifiable to each reporting segment have been allocated on the basis of associated revenue of the segment. All other expenses which are not attributable or allocable to segments have been disclosed as unallocable expenses.

The assets and liabilities of the Group are used interchangeably amongst segments. Allocation of such assets and liabilities is not practicable and any forced allocation would not result in any meaningful segregation. Hence assets and liabilities have not been identified to any of the reportable segments.

Summarised segment information for the years ended March 31,2025 and 2024, is as follows:

Year ended March 31, 2025 (₹ crore)

	Banking, Financial Services and Insurance	Manufacturing	Consumer Business	Communication, Media and Technology	Life Sciences and Healthcare	Others	Total
Revenue from operations	**94,597**	**25,170**	**40,197**	**45,893**	**26,456**	**23,011**	**2,55,324**
Segment result	**25,135**	**8,225**	**11,222**	**9,582**	**7,448**	**5,795**	**67,407**
Total unallocable expenses							6,038
Operating income							**61,369**
Other income							3,962
Profit before tax							**65,331**
Tax expense							16,534
Profit for the year							**48,797**
Depreciation and amortisation expense (unallocable)							5,242
Significant non-cash items (allocable)	7	(2)	7	37	(11)	91	**128**

Notes forming part of Consolidated Financial Statements

Year ended March 31, 2024 (₹ crore)

	Banking, Financial Services and Insurance	Manufacturing	Consumer Business	Communication, Media and Technology	Life Sciences and Healthcare	Others	Total
Revenue from operations	**90,928**	**23,491**	**39,357**	**39,391**	**26,745**	**20,981**	**2,40,893**
Segment result	**23,574**	**7,268**	**10,252**	**10,918**	**7,611**	**4,673**	**64,296**
Total unallocable expenses*							6,721
Operating income							**57,575**
Other income							4,422
Profit before tax							**61,997**
Tax expense							15,898
Profit for the year							**46,099**
Depreciation and amortisation expense (unallocable)							4,985
Significant non-cash items (allocable)	(13)	22	3	-	9	92	**113**

*Includes settlement of legal claim of ₹958 crore (Refer note 20).

Information regarding geographical revenue is as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Americas (1)	1,27,870	1,27,939
Europe (2)	79,487	75,624
India	22,060	13,562
Others	25,907	23,768
Total	**2,55,324**	**2,40,893**

Geographical non-current assets (property, plant and equipment, right-of-use assets, goodwill, other intangible assets, income tax assets and other non-current assets) are allocated based on the location of the assets.

Information regarding geographical non-current assets is as follows:

(₹ crore)

Geography	As at March 31, 2025	As at March 31, 2024
Americas (3)	2,520	3,158
Europe (4)	4,059	3,818
India	22,186	18,307
Others	1,122	1,081
Total	**29,886**	**26,364**

(1) includes revenue in the United States of America of ₹113,559 crore and ₹85,628 crore for the years ended March 31, 2025 and 2024, respectively.

(2) includes revenue in the United Kingdom of ₹42,977 crore and ₹29,554 crore for the years ended March 31, 2025 and 2024, respectively.

(3) is substantially related to operations in the United States of America.

(4) includes non-current assets in the United Kingdom of ₹1,524 crore and ₹1,814 crore as at March 31, 2025 and 2024, respectively.

Information about major customers

No single customer represents 10% or more of the Group's total revenue for the year ended March 31, 2025 and 2024, respectively.

Notes forming part of Consolidated Financial Statements

20) Commitments and contingencies

Capital commitments

The Group has contractually committed (net of advances) ₹2,574 crore and ₹2,032 crore as at March 31, 2025 and March 31, 2024, respectively, for purchase of property, plant and equipment.

Contingencies

- **Direct tax matters**

  Refer note 17.

- **Indirect tax matters**

  The Company and its subsidiaries have ongoing disputes with tax authorities mainly relating to treatment of characterisation and classification of certain items. The Company and its subsidiaries have demands amounting to ₹1,190 crore and ₹1,161 crore as at March 31, 2025 and 2024, respectively, from various indirect tax authorities which are being contested by the Company and its subsidiaries based on the management evaluation and advice of tax consultants.

- **Other claims**

  ➢ Claims aggregating ₹248 crore and ₹226 crore as at March 31, 2025 and 2024, respectively, against the Group have not been acknowledged as debts.

  ➢ In April 2019, Computer Sciences Corporation (referred to as CSC) filed a legal claim against the Company in the Court of Northern District of Texas and Dallas Division (trial court) alleging misappropriation of trade secrets and other CSC's confidential information and sought preliminary and permanent injunctive relief, and unspecified monetary damages and disgorgement of profits.

A trial before an advisory jury was held and on November 17, 2023, the jury returned an advisory verdict in favour of CSC, finding that the Company misappropriated CSC's trade secrets and recommended compensation of US $70 million (equivalent to ₹598 crore) and a further punitive damage of US $140 million (equivalent to ₹1,196 crore) to be paid by the Company to CSC. Subsequently, the parties filed their respective written submissions in the matter. On June 13, 2024, the trial court passed a judgement as follows:

1. The Court ordered that the Company is liable to CSC for US $56 million (equivalent to ₹478 crore) in compensatory damages and US $112 million (equivalent to ₹957 crore) in exemplary damages.
2. The Court also assessed that the Company is liable for US $26 million (equivalent to ₹222 crore) in prejudgment interest through June 13, 2024.
3. The Court also passed certain injunction and other reliefs against the Company.

   Pursuant to US Court procedures, a Letter of Credit has been made available to CSC for ₹2,136 crore (US $250 million) as financial security in order to stay execution of the judgement pending appeal proceedings and conclusion.

   The Company, based on external opinion and legal assessment, believes that it has a strong case and would defend its position vigorously and pursue legal remedies to overturn the adverse judgement of the trial court.

  ➢ In October 2014, Epic Systems Corporation (referred to as Epic) filed a legal claim against the Company in the Court of Western District Madison, Wisconsin alleging unauthorised access to and download of their confidential information and use thereof in the development of the Company's product MedMantra. Pursuant to unfavourable judgment from the District Court and Appeals Court which awarded US $140 million as compensatory damages and US $140 million as punitive damages, Epic invoked payment of US $140 million out of US $440 million Letter of Credit provided as security, towards compensatory damages in April 2022. The Company's petition to the Supreme Court to review the entire judgement including both the compensatory and punitive damages re-affirmed by the Appeals Court was rejected by the Supreme Court on November 20, 2023, pursuant to which, punitive damages of US $140 million was paid on December 1, 2023. The Company provided the balance punitive damages amount of US $115 million (equivalent to ₹958 crore) in its financial statements for the year ended March 31, 2024 and disclosed the same as an "exceptional item" in the consolidated statement of profit and loss.

- **Letter of comfort**

  The Company has given letter of comfort to banks for credit facilities availed by its subsidiaries. As per the terms of letter of comfort, the Company undertakes not to divest its ownership interest directly or indirectly in the subsidiary and provide such managerial, technical and financial assistance to ensure continued successful operations of the subsidiary.

The amounts assessed as contingent liability do not include interest that could be claimed by counter parties.

Notes forming part of Consolidated Financial Statements

21) Statement of net assets, profit and loss and other comprehensive income attributable to owners and non-controlling interests

Name of the entity	Country of incorporation	% of voting power as at March 31, 2025	% of voting power as at March 31, 2024	Net assets, i.e. total assets minus total liabilities		Share in Profit or loss		Share in other comprehensive income		Share in total comprehensive income	
				As % of consolidated net assets	Amount (₹ crore)	As % of consolidated profit or loss	Amount (₹ crore)	As % of consolidated other comprehensive income	Amount (₹ crore)	As % of total comprehensive income	Amount (₹ crore)
Tata Consultancy Services Limited	India	-	-	73.95	75,617	85.90	48,057	94.70	304	85.95	48,361
Subsidiaries											
Indian											
APTOnline Limited	India	89.00	89.00	0.13	137	0.04	25	-	-	0.04	25
C-Edge Technologies Limited	India	51.00	51.00	0.50	515	0.28	154	-	-	0.27	154
MP Online Limited	India	89.00	89.00	0.15	154	0.06	31	-	-	0.06	31
TCS e-Serve International Limited	India	100.00	100.00	0.65	662	0.33	187	(0.31)	(1)	0.33	186
MahaOnline Limited	India	74.00	74.00	0.08	83	0.01	4	-	-	0.01	4
TRIL Bengaluru Real Estate Five Limited	India	100.00	-	0.16	167	-	-	-	-	-	-
TRIL Bengaluru Real Estate Six Limited	India	100.00	-	0.87	885	-	-	-	-	-	-
TCS Foundation	India	100.00	100.00	1.41	1,448	0.25	141	-	-	0.25	141
Foreign											
Tata America International Corporation	U.S.A.	100.00	100.00	0.91	926	1.90	1,065	(7.48)	(24)	1.84	1,041
Tata Consultancy Services Canada Inc.	Canada	100.00	100.00	1.78	1,825	2.15	1,204	-	-	2.13	1,204
Tata Consultancy Services Argentina S.A.	Argentina	100.00	100.00	0.01	14	0.03	15	-	-	0.03	15
Tata Consultancy Services Chile S.A.	Chile	100.00	100.00	0.39	398	0.05	29	-	-	0.05	29
Tata Consultancy Services De Mexico, S.A. De C.V.	Mexico	100.00	100.00	0.70	714	0.82	456	(0.93)	(3)	0.81	453
Tata Consultancy Services Do Brasil Ltda.	Brazil	100.00	100.00	0.44	451	0.27	152	-	-	0.27	152
TCS Iberoamerica S.A.	Uruguay	100.00	100.00	1.81	1,858	1.47	826	-	-	1.46	826
TCS Inversiones Chile Limitada	Chile	100.00	100.00	0.29	300	0.03	15	-	-	0.03	15

Notes forming part of Consolidated Financial Statements

Name of the entity	Country of incorporation	% of voting power as at March 31, 2025	% of voting power as at March 31, 2024	Net assets, i.e. total assets minus total liabilities		Share in Profit or loss		Share in other comprehensive income		Share in total comprehensive income	
				As % of consolidated net assets	Amount (₹ crore)	As % of consolidated profit or loss	Amount (₹ crore)	As % of consolidated other comprehensive income	Amount (₹ crore)	As % of total comprehensive income	Amount (₹ crore)
TCS Solution Center S.A.	Uruguay	100.00	100.00	0.27	271	0.20	110	(2.18)	(7)	0.18	103
Tatasolution Center S.A.	Ecuador	100.00	100.00	0.14	140	0.10	54	(0.62)	(2)	0.09	52
MGDC S.C.	Mexico	100.00	100.00	0.03	26	0.01	4	-	-	0.01	4
TCS Uruguay S.A.	Uruguay	100.00	100.00	0.22	224	0.28	156	-	-	0.28	156
Tata Consultancy Services Guatemala, S.A.	Guatemala	100.00	100.00	0.03	34	0.02	10	-	-	0.02	10
Tata Consultancy Services Belgium	Belgium	100.00	100.00	0.49	500	0.07	38	-	-	0.07	38
Tata Consultancy Services De Espana S.A.	Spain	100.00	100.00	0.16	160	0.05	26	-	-	0.05	26
Tata Consultancy Services Deutschland GmbH	Germany	100.00	100.00	0.83	847	0.10	57	(0.93)	(3)	0.10	54
Tata Consultancy Services Italia S.R.L.	Italy	100.00	100.00	0.11	113	0.05	30	-	-	0.05	30
Tata Consultancy Services Netherlands B.V.	Netherlands	100.00	100.00	3.28	3,350	0.99	552	-	-	0.98	552
Tata Consultancy Services Sverige Aktiebolag	Sweden	100.00	100.00	1.06	1,079	0.47	265	-	-	0.47	265
Tata Consultancy Services (Portugal), Unipessoal	Portugal	100.00	100.00	0.07	74	0.03	18	-	-	0.03	18
Diligenta Limited	U.K.	100.00	100.00	1.82	1,863	0.45	253	-	-	0.46	253
Tata Consultancy Services Luxembourg S.A.	Capellen (G.D. de Luxembourg)	100.00	100.00	0.12	126	0.10	54	-	-	0.10	54
Tata Consultancy Services Switzerland Ltd	Switzerland	100.00	100.00	0.91	946	0.40	223	0.30	1	0.40	224
Tata Consultancy Services France	France	100.00	100.00	(0.23)	(232)	0.09	53	(0.93)	(3)	0.09	50
Tata Consultancy Services Saudi Arabia	Saudi Arabia	100.00	100.00	0.32	328	0.29	165	(0.62)	(2)	0.29	163
Tata Consultancy Services U.K. Limited	U.K.	100.00	100.00	0.04	42	0.01	7	-	-	0.01	7

Notes forming part of Consolidated Financial Statements

Name of the entity	Country of incorporation	% of voting power as at March 31, 2025	% of voting power as at March 31, 2024	Net assets, i.e. total assets minus total liabilities		Share in Profit or loss		Share in other comprehensive income		Share in total comprehensive income	
				As % of consolidated net assets	Amount (₹ crore)	As % of consolidated profit or loss	Amount (₹ crore)	As % of consolidated other comprehensive income	Amount (₹ crore)	As % of total comprehensive income	Amount (₹ crore)
TCS Business Services GmbH	Germany	100.00	100.00	0.10	103	0.01	3	0.31	1	0.01	4
Tata Consultancy Services Bulgaria EOOD	Bulgaria	100.00	100.00	0.05	55	0.04	22	-	-	0.04	22
Tata Consultancy Services Ireland Limited	Ireland	100.00	100.00	0.42	433	0.27	152	-	-	0.27	152
TCS Technology Solutions GmbH	Germany	100.00	100.00	0.86	880	(0.12)	(67)	18.38	59	(0.01)	(8)
Tata Consultancy Services Osterreich GmbH	Austria	100.00	100.00	0.02	17	0.02	12	-	-	0.02	12
Diligenta (Europe) B.V.	Netherlands	100.00	100.00	-	-	-	-	-	-	-	-
Tata Consultancy Services Asia Pacific Pte. Ltd.	Singapore	100.00	100.00	1.07	1,117	0.67	381	-	-	0.68	381
Tata Consultancy Services Malaysia Sdn. Bhd.	Malaysia	100.00	100.00	0.12	126	0.09	52	-	-	0.09	52
TCS FNS Pty Limited	Australia	100.00	100.00	0.14	139	0.08	44	-	-	0.07	44
TCS Financial Solutions Australia Pty Ltd	Australia	100.00	100.00	0.14	87	0.14	78	-	-	0.14	78
Tata Consultancy Services Indonesia, PT	Indonesia	100.00	100.00	0.03	32	0.01	5	-	-	0.01	5
Tata Consultancy Services (China) Co., Ltd.	China	100.00	100.00	0.40	414	0.16	88	-	-	0.16	88
TCS Financial Solutions (Beijing) Co., Ltd.	China	-	100.00	-	-	-	2	-	-	-	2
Tata Consultancy Services (Thailand) Limited	Thailand	100.00	100.00	0.03	27	0.02	10	-	-	0.02	10
Tata Consultancy Services (Philippines) Inc.	Philippines	100.00	100.00	0.22	228	0.30	167	0.31	1	0.30	168
Tata Consultancy Services Japan, Ltd.	Japan	66.00	66.00	2.04	2,086	0.86	479	-	-	0.84	479
Tata Consultancy Services (Africa) (Proprietary) Limited	South Africa	100.00	100.00	0.03	34	0.09	49	-	-	0.09	49
Tata Consultancy Services (South Africa) (Proprietary) Limited	South Africa	70.00	100.00	0.07	69	0.05	26	-	-	0.05	26

Notes forming part of Consolidated Financial Statements

Name of the entity	Country of incorporation	% of voting power as at March 31, 2025	% of voting power as at March 31, 2024	Net assets, i.e. total assets minus total liabilities		Share in Profit or loss		Share in other comprehensive income		Share in total comprehensive income	
				As % of consolidated net assets	Amount (₹ crore)	As % of consolidated profit or loss	Amount (₹ crore)	As % of consolidated other comprehensive income	Amount (₹ crore)	As % of total comprehensive income	Amount (₹ crore)
Tata Consultancy Services Qatar	Qatar	100.00	100.00	0.05	51	-	(2)	-	-	-	(2)
Trusts	India	-	-	0.31	313	0.01	6	-	-	0.01	6
TOTAL				**100.00**	**1,02,260**	**100.00**	**55,943**	**100.00**	**321**	**100.00**	**56,264**
a) Adjustments arising out of consolidation					**(6,489)**		**(7,146)**		**268**		**(6,878)**
b) Non-controlling interests											
Indian subsidiaries											
APTOnline Limited					(15)		(3)		-		(3)
C-Edge Technologies Limited					(252)		(76)		-		(76)
MP Online Limited					(17)		(3)		-		(3)
MahaOnline Limited					(21)		(1)		-		(1)
Foreign subsidiaries											
Tata Consultancy Services Japan, Ltd.					(690)		(161)		(18)		(179)
Tata Consultancy Services (South Africa) (Proprietary) Limited					(20)		-		-		-
					(1,015)		**(244)**		**(18)**		**(262)**
TOTAL					**94,756**		**48,553**		**571**		**49,124**

Notes:

1. TCS Financial Solutions (Beijing) Co., Ltd. merged with Tata Consultancy Services (China) Co. Ltd. w.e.f. July 1, 2024.

2. On December 20, 2024, Tata Consultancy Services (Africa) (Proprietary) Limited (TCS Africa), a wholly owned subsidiary of the Company, and Tata Consultancy Services (South Africa) (Proprietary) Limited (TCS SA), a step down wholly owned subsidiary of the Company, had entered into an agreement with Isisekelo Sethu Trust (Trust) to sell and dispose off 30% of shares held by TCS Africa in TCS SA to comply with the Broad-Based Black Economic Empowerment (B-BBEE) guidelines in South Africa. Accordingly, 30% of shares held by TCS Africa in TCS SA were sold to the Trust for a consideration of ZAR 61 million (equivalent to ₹28 crore) on December 20, 2024. Consequent to the above transaction, TCS SA ceased to be a wholly owned step-down subsidiary of TCS. The Trust is a registered trust in South Africa which is formed for the purpose of, inter alia, facilitating the empowerment and development of previously disadvantaged and economically marginalized people in accordance with Broad Based Black Economic Empowerment Act (B-BBEE Act). It is an independent entity and the Group neither controls nor exercises significant influence over the Trust.

Notes forming part of Consolidated Financial Statements

3. On January 29, 2025, the Share Purchase and Securities Purchase Agreement (SSPA) has been executed between Tata Consultancy Services Limited (Company), Tata Realty and Infrastructure Limited (TRIL), TRIL Bengaluru Real Estate Five Limited (TBRF) and TRIL Bengaluru Real Estate Six Limited (TBRS) for acquisition of 100% equity shares and optionally redeemable convertible debentures of TBRF and TBRS held by TRIL, in two tranches at a consideration of ₹1,593 crore. The acquisition of TBRF and TBRS does not meet the definition of 'business' in accordance with Ind AS- 103 Business Combinations and is treated as acquisition of assets. The fair value of freehold land as determined by independent valuation is ₹1,600 crore. The fair value of capital work-in-progress is ₹25 crore, inter-corporate deposits is ₹27 crore and the balance is towards the other assets and liabilities taken over. Based on the terms of the SSPA, on January 29, 2025 the Company paid ₹1,036 crore and recognised a financial liability of ₹557 crore (towards consideration payable at a future date for 35% stake) to acquire the entire stake in equity shares and optionally redeemable convertible debentures in TBRF and TBRS. Consequently, TBRF and TBRS have become wholly owned subsidiaries of the Company from that date.

22) Related party transactions

The Company's principal related parties consist of its holding company Tata Sons Private Limited and its subsidiaries, its own subsidiaries, affiliates and key managerial personnel. The Group's material related party transactions and outstanding balances are with related parties with whom the Group routinely enter into transactions in the ordinary course of business.

Transactions and balances with its own subsidiaries are eliminated on consolidation.

Transactions with related parties are as follows:

(₹ crore)

	Year ended March 31, 2025				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	69	1,201	5,549	-	6,819
Rent income	-	3	-	-	3
Interest income	-	20	-	-	20
Purchases of goods and services (including reimbursements)	1	8,178	212	-	8,391
Brand equity contribution	348	-	-	-	348
Facility expenses	1	13	75	-	89
Lease rental	-	49	60	-	109
Bad debts and advances written off, allowance for doubtful trade receivables and advances (net)	-	8	2	-	10
Contribution and advance to post employment benefit plans	-	-	-	4,173	4,173
Purchase of property, plant and equipment	-	501	19	-	520
Loans and advances given	-	577	31	-	608
Loans and advances recovered	-	50	5	-	55
Dividend paid	32,184	12	4	-	32,200
Guarantees given	-	-	2	-	2
Purchase of investments	-	498	-	-	498
Acquisition of assets (Refer note 21)	-	1,620	-	-	1,620

Notes forming part of Consolidated Financial Statements

(₹ crore)

	Year ended March 31, 2024				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	50	1,025	4,495	-	5,570
Purchases of goods and services (including reimbursements)	2	1,390	250	-	1,642
Brand equity contribution	352	-	-	-	352
Facility expenses	1	20	73	-	94
Lease rental	-	49	46	-	95
Bad debts and advances written off, allowance for doubtful trade receivables and advances (net)	-	7	(1)	-	6
Contribution and advance to post employment benefit plans	-	-	-	3,783	3,783
Purchase of property, plant and equipment	-	108	98	-	206
Loans and advances given	-	1,013	98	-	1,111
Loans and advances recovered	-	8	4	-	12
Loans and advances taken	-	27	1	-	28
Dividend paid	18,177	8	2	-	18,187
Buy-back of shares	10,548	4	3	-	10,555

Balances receivable from related parties are as follows:

(₹ crore)

	As at March 31, 2025				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	17	250	1,710	-	1,977
Investments, other financial assets and other assets	2	2,263	35	-	2,300
	19	**2,513**	**1,745**	**-**	**4,277**

(₹ crore)

	As at March 31, 2024				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	5	411	1,509	-	1,925
Investments, other financial assets and other assets	2	1,238	9	-	1,249
	7	**1,649**	**1,518**	**-**	**3,174**

Notes forming part of Consolidated Financial Statements

Balances payable to related parties are as follows:

(₹ crore)

	As at March 31, 2025				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	333	5,268	306	-	5,907
Commitments	-	1,012	52	-	1,064

(₹ crore)

	As at March 31, 2024				
	Tata Sons Private Limited	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	355	1,003	428	-	1,786
Commitments	-	1,412	13	-	1,425

Material related party transactions are as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Revenue from operations		
Jaguar Land Rover Limited	3,661	2,902
Tata Steel IJmuiden BV	429	599
Purchases of goods and services (including reimbursements) and net of cost recovery		
Tejas Networks Limited	7,508	754
Advances given		
Tejas Networks Limited	500	960
Contribution and advance to post employment benefit plans		
Tata Consultancy Services Employees' Provident Fund	3,870	3,485
Acquisition of assets		
Tata Realty and Infrastructure Limited	1,620	-

Notes forming part of Consolidated Financial Statements

Material related party balances are as follows:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Trade receivables and contract assets		
Jaguar Land Rover Limited	1,028	898
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities		
Tejas Networks Limited	4,317	607
Tata Realty and Infrastructure Limited	557	-
Investments, other financial assets and other assets		
Tejas Networks Limited	1,460	960
Tata Capital Limited	498	-
Commitments		
Tata Projects Limited	946	1,388

Transactions with key management personnel are as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Short-term benefits	45	57
Dividend paid during the year	1	1
Post-employment benefits	1	2
	47	**60**

The remuneration of directors and key executives is determined by the nomination and remuneration committee having regard to the performance of individuals and market trends.

23) No funds have been advanced / loaned / invested (from borrowed funds or from share premium or from any other sources / kind of funds) by the Group to any other person(s) or entity(ies), including foreign entities (Intermediaries), with the understanding (whether recorded in writing or otherwise) that the Intermediary shall (i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Group (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

No funds have been received by the Group from any person(s) or entity(ies), including foreign entities (Funding Parties), with the understanding (whether recorded in writing or otherwise) that the Group shall (i) directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

24) The sitting fees and commission paid to non-executive directors is ₹12 crore and ₹15 crore as at March 31, 2025 and 2024, respectively.

25) The Board of Directors approved post-employment benefits, payable to the retiring COO and Executive Director, which have been actuarially valued. Accordingly, the Company has recorded an expense of ₹22 crore during the year ended March 31, 2025.

26) The Indian Parliament has approved the Code on Social Security, 2020 which would impact the contributions by the company towards Provident Fund and Gratuity. The Ministry of Labour and Employment had released draft rules for the Code on Social Security, 2020 on November 13, 2020. The Company and its Indian subsidiaries will assess the impact and its evaluation once the subject rules are notified. The Company and its Indian subsidiaries will give appropriate impact in its financial statements in the period in which, the Code becomes effective and the related rules to determine the financial impact are published.

Notes forming part of Consolidated Financial Statements

27) Dividends

Dividends paid during the year ended March 31, 2025 include an amount of ₹28.00 per equity share towards final dividend for the year ended March 31, 2024 and an amount of ₹96.00 per equity share towards interim dividends (including special dividend) for the year ended March 31, 2025. Dividends paid during the year ended March 31, 2024 include an amount of ₹24.00 per equity share towards final dividend for the year ended March 31, 2023 and an amount of ₹45.00 per equity share towards interim dividends (including special dividend) for the year ended March 31, 2024.

Dividends declared by the Company are based on profits available for distribution. On April 10, 2025, the Board of Directors of the Company have proposed a final dividend of ₹30.00 per equity share in respect of the year ended March 31, 2025 subject to the approval of shareholders at the Annual General Meeting, and if approved, would result in cash outflow of approximately ₹10,854 crore.

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, April 10, 2025

For and on behalf of the Board

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Director
DIN: 07121802

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, April 10, 2025

Standalone Financial Statements

Independent Auditor's Report

To the Members of
Tata Consultancy Services Limited

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the standalone financial statements of Tata Consultancy Services Limited (the "Company") which comprise the standalone balance sheet as at 31 March 2025, and the standalone statement of profit and loss (including other comprehensive income), standalone statement of changes in equity and standalone statement of cash flows for the year then ended, and notes to the standalone financial statements, including material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2025, and its profit and other comprehensive income, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those SAs are further described in the Auditor's Responsibilities for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the standalone financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone financial statements of the current period. These matters were addressed in the context of our audit of the standalone financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

<table>
<tr><th colspan="2">Revenue recognition-Fixed price contracts where revenue is recognised using percentage of completion method</th></tr>
<tr><td colspan="2">Refer Note 4(a) and 10 to standalone financial statements</td></tr>
<tr><th>The key audit matter</th><th>How the matter was addressed in our audit</th></tr>
<tr><td>The Company inter alia engages in Fixed-price contracts, wherein, revenue is recognised using the percentage of completion computed as per the input method based on the Company's estimate of contract costs.

We identified revenue recognition of fixed price contracts where the percentage of completion is used as a key audit matter since-

• there is an inherent risk and presumed fraud risk around the accuracy and existence of revenues recognised considering the customised and complex nature of these contracts and significant inputs of IT systems;

• application of revenue recognition using percentage of completion under accounting standard (Ind AS 115, Revenue from Contracts with customers) is complex and involves estimating the future cost-to-completion of these contracts, which is used to measure the stage of completion of the relevant performance obligation;

• these contracts may involve onerous obligations which requires critical assessment of foreseeable losses to be made by the Company; and

• at year-end, significant amount of contract assets, unearned and deferred revenue balances related to these contracts are recognised on the balance sheet.</td><td>Our audit procedures included the following:

• Obtained an understanding of the systems, processes and controls implemented by the Company for recording and computing revenue and the associated contract assets, unearned and deferred revenue balances.

• Involved our Information technology ('IT') specialists, as required and assessed the IT environment in which the business systems operate.

• Evaluated the design and implementation and tested operating effectiveness of Company's key manual and automated internal financial controls over:
➢ Computation of revenue recognition;
➢ Cost and revenue reports generated by the system;
➢ Allocation of resources and budgeting systems which prevent the unauthorised recording/changes to costs incurred; and
➢ Estimation of contract costs required to complete the respective projects.

• On specific and statistically selected samples of contracts, we tested that the revenue recognised is in accordance with the revenue recognition accounting standard. This includes testing the Company's computation of the estimation of contract costs and onerous obligations, if any, where we:
➢ assessed that the estimates of costs to complete were reviewed and approved by appropriate designated management personnel;
➢ performed a retrospective analysis of costs incurred with estimated costs to identify significant variations and challenged whether those variations are required to be considered in estimating the remaining costs to complete the contract;
➢ assessed the appropriateness of contract assets, unearned and deferred revenue on balance sheet date by evaluating the progress of underlying contracts and milestones achieved to identify possible changes in estimated costs to complete the remaining performance obligations; and
➢ inspected underlying documents and performed substantive procedures over cost budget changes to determine reasonableness of contract costs.

• Tested details of a sample of journal entries related to revenue recognised from percentage of completion method throughout the reporting period, using risk-based criteria, with the relevant underlying documentation.

• Assessed the appropriateness of the related disclosures in the standalone financial statements.</td></tr>
</table>

Other Information

The Company's Management and Board of Directors are responsible for the other information. The other information comprises the information included in the Company's annual report, but does not include the financial statements and auditor's report thereon. The Company's annual report is expected to be made available to us after the date of this auditor's report.

Our opinion on the standalone financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the Company's annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take necessary actions, as applicable under the relevant laws and regulations.

Management's and Board of Directors' Responsibilities for the Standalone Financial Statements

The Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the state of affairs, profit/ loss and other comprehensive income, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, the Management and Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management and Board of Directors.

- Conclude on the appropriateness of the Management and Board of Directors use of the going concern basis of accounting in preparation of standalone financial statements and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of Section 143(11) of the Act, we give in the "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

2. A. As required by Section 143(3) of the Act, we report that:

   a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

   b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books except for the matter stated in the paragraph 2(B)(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.

   c. The standalone balance sheet, the standalone statement of profit and loss (including other comprehensive income), the standalone statement of changes in equity and the standalone statement of cash flows dealt with by this Report are in agreement with the books of account.

   d. In our opinion, the aforesaid standalone financial statements comply with the Ind AS specified under Section 133 of the Act.

   e. On the basis of the written representations received from the directors as on 1 April 2025 to 8 April 2025 taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2025 from being appointed as a director in terms of Section 164(2) of the Act.

   f. The modifications relating to the maintenance of accounts and other matters connected therewith are as stated in the paragraph 2A(b) above on reporting under Section 143(3)(b) of the Act and paragraph 2B(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.

   g. With respect to the adequacy of the internal financial controls with reference to standalone financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B".

   B. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

   a. The Company has disclosed the impact of pending litigations as at 31 March 2025 on its financial position in its standalone financial statements- Refer income tax liabilities disclosed in the balance sheet along with Note 19 to the standalone financial statements.

   b. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

   c. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company.

   d. (i) The management has represented that, to the best of its knowledge and belief, as disclosed in the Note 21 to the standalone financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

   (ii) The management has represented that, to the best of its knowledge and belief, as disclosed in the Note 21 to the standalone financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the

Company shall directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Parties (“Ultimate Beneficiaries”) or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(iii) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (i) and (ii) above, contain any material misstatement.

e. The interim dividend declared and paid by the Company during the year and until the date of this audit report is in accordance with Section 123 of the Act.

The final dividend paid by the Company during the year, in respect of the same declared for the previous year, is in accordance with Section 123 of the Act to the extent it applies to payment of dividend.

As stated in Note 26 to the standalone financial statements, the Board of Directors of the Company has proposed final dividend for the year which is subject to the approval of the members at the ensuing Annual General Meeting. The dividend declared is in accordance with Section 123 of the Act to the extent it applies to declaration of dividend.

f. Based on our examination which included test checks, except for the instances mentioned below, the Company has used accounting softwares for maintaining its books of account, which have a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the respective software:

i. In case of an accounting software used for maintaining general ledger, the feature of recording audit trail (edit log) facility was not enabled for a part of the year for certain fields/tables at the application layer since it was enabled in a phased manner from 17 April 2024 to 17 July 2024.

ii. In case of an accounting software used for maintaining books of account relating to payroll, the feature of recording audit trail (edit log) facility was not enabled for a part of the year for certain master data since it was enabled in a phased manner from 21 May 2024 to 29 March 2025 and was not enabled for direct changes to data when using certain privilege access.

Further, for the periods where audit trail (edit log) facility was enabled and operated for the respective accounting software, we did not come across any instance of the audit trail feature being tampered with and the audit trail has been preserved by the Company as per the statutory requirements for record retention.

C. With respect to the matter to be included in the Auditor’s Report under Section 197(16) of the Act:

In our opinion and according to the information and explanations given to us, the remuneration paid by the Company to its directors during the current year is in accordance with the provisions of Section 197 of the Act. The remuneration paid to any director is not in excess of the limit laid down under Section 197 of the Act. The Ministry of Corporate Affairs has not prescribed other details under Section 197(16) of the Act which are required to be commented upon by us.

For **B S R & Co. LLP**
Chartered Accountants
Firm’s Registration No.:101248W/W-100022

Aniruddha Godbole
Partner
Membership No.: 105149
ICAI UDIN:25105149BMLWYK9210

Place: Mumbai
Date: 10 April 2025

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Tata Consultancy Services Limited for the year ended 31 March 2025

(Referred to in paragraph 1 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

(i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment.

(B) The Company has maintained proper records showing full particulars of intangible assets.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has a regular programme of physical verification of its Property, Plant and Equipment by which all property, plant and equipment are verified in a phased manner over a period of three years. In accordance with this programme, certain property, plant and equipment were verified during the year. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets. No material discrepancies were noticed on such verification.

(c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the title deeds of immovable properties (other than immovable properties where the Company is the lessee and the lease agreements are duly executed in favour of the lessee) disclosed in the standalone financial statements are held in the name of the Company.

(d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not revalued its Property, Plant and Equipment (including Right of Use assets) or intangible assets or both during the year.

(e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no proceedings initiated or pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.

(ii) (a) The inventory, has been physically verified by the management during the year. In our opinion, the frequency of such verification is reasonable and procedures and coverage as followed by management were appropriate. No discrepancies were noticed on verification between the physical stocks and the book records that were more than 10% in the aggregate of each class of inventory.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks on the basis of security of current assets. In our opinion, the quarterly returns or statements filed by the Company with such banks are in agreement with the books of account of the Company. The Company has not been sanctioned any working capital limit from financial institutions.

(iii) According to the information and explanations given to us and on the basis of our examination of the records, the Company has made investments in companies and other parties, granted unsecured loans to companies and other parties (employees) and granted unsecured advances in the nature of loans to other parties (employees) during the year, in respect of which the requisite information is as below. The Company has not made any investments or granted any unsecured loans to firms or limited liability partnerships during the year. The Company has not provided any guarantee or security or granted any secured loans or secured advances in the nature of loans to companies, firms or limited liability partnerships or any other parties during the year. The Company has not granted any unsecured advances in the nature of loans to companies, firms or limited liability partnerships during the year.

(a) A. Based on the audit procedures carried on by us and as per the information and explanations given to us, the Company has provided loans to subsidiaries as listed below. The Company has not given any advances in the nature of loans or stood guarantee or provided security to subsidiaries. Further, the Company does not hold any investment in any joint ventures or associates.

B. Based on the audit procedures carried on by us and as per the information and explanations given to us, the Company has given unsecured loans and unsecured advances in the nature of loans to parties other than subsidiaries as listed below. The Company has not stood guarantee or provided security to parties other than subsidiaries.

(₹ in crores)

Particulars	Guarantees	Security	Loans	Advances in nature of loans
Aggregate amount during the year				
Subsidiaries*	-	-	36	-
Joint ventures*	-	-	-	-
Associates*	-	-	-	-
Others	-	-	7	594
Balance outstanding as at balance sheet date				
Subsidiaries*	-	-	36	-
Joint ventures*	-	-	-	-
Associates*	-	-	-	-
Others	-	-	8	154

*As per the Companies Act, 2013

(b) According to the information and explanations given to us and based on the audit procedures conducted by us, in our opinion the investments made and the terms and conditions of the grant of loans and advances in the nature of loans during the year are not prejudicial to the interest of the Company.

(c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, in the case of interest free loans and advances in the nature of loans given, the repayment of principal has been stipulated and the repayments or receipts have been regular. In case of interest bearing loans given, the schedule of repayment of principal and payment of interest has been stipulated, and the repayments or receipts have been regular.

(d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there is no overdue amount for more than ninety days in respect of loans given and advances in the nature of loans given.

(e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there is no loan or advance in the nature of loan granted falling due during the year, which has been renewed or extended or fresh loans granted to settle the overdues of existing loans given to same parties.

(f) According to the information and explanations given to us and on the basis of our examination of the records of the Company, in our opinion the Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment except for the following loans to its related parties as defined in Clause (76) of Section 2 of the Companies Act, 2013 ("the Act"):

(₹ in crores)

	All Parties	Promoters	Related Parties
Aggregate of loans/ advances in nature of loan			
- Repayable on demand (A)	36	-	36
- Agreement does not specify any terms or period of Repayment (B)	-	-	-
Total (A+B)	**36**	**-**	**36**
Percentage of loans/advances in nature of loan to the total loans	81.81	-	81.81

(iv) According to the information and explanations given to us and on the basis of our examination of records of the Company, the Company has not provided any guarantee and security as specified under Section 186 of the Companies Act, 2013 ("the Act"). In respect of investments made and loans given by the Company, in our opinion the provisions of Section 185 and 186 of the Companies Act, 2013 ("the Act") have been complied with.

(v) The Company has not accepted any deposits or amounts which are deemed to be deposits from the public. Accordingly, clause 3(v) of the Order is not applicable.

(vi) According to the information and explanations given to us, the Central Government has not prescribed the maintenance of cost records under Section 148(1) of the Act for the products manufactured by it (and/or services provided by it). Accordingly, clause 3(vi) of the Order is not applicable.

vii. (a) The Company does not have liability in respect of Service tax, Duty of excise, Sales tax and Value added tax during the year since effective 1 July 2017, these statutory dues has been subsumed into GST.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, in our opinion, the undisputed statutory dues including Goods and Service Tax, Provident Fund, Employees State Insurance, Income-Tax, Duty of Customs or Cess or other statutory dues have been regularly deposited by the Company with the appropriate authorities.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, no undisputed amounts payable in respect of Goods and Service Tax, Provident Fund, Employees State Insurance, Income-Tax, Duty of Customs or Cess or other statutory dues were in arrears as at 31 March 2025 for a period of more than six months from the date they became payable.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no statutory dues relating to Goods and Service Tax, Provident Fund, Employees' State Insurance, Income-tax, Sales tax, Service tax, Duty of Customs, Value added tax, Cess or other statutory dues which have not been deposited on account of any dispute except for following:

Name of the statute	Nature of the dues	Amount (₹ in crores)**	Period to which the amount relates	Forum where dispute is pending	Remarks, if any
The Income Tax Act, 1961	Income Tax (including interest and penalty)	1,461	Assessment years 2011-12, 2016-17, 2018-19 and 2021-22	Commissioner of Income tax	
		193	Assessment year 2006-07	Income Tax Appellate Tribunal	
The Goods and Services Tax Act, 2017	Goods and Services Tax (including interest and penalty)	69	Financial years 2017-18, 2018-19, 2019-20, 2020-21 and 2021-22	Commissioner Appeals	
The Central Sales Tax Act, 1956 and Value Added Tax Act	Sales Tax (including interest and penalty)	2	Financial years 1995-96, 1997-98, 2004-05, 2011-12, 2016-17 and 2017-18	Assistant Commissioner	
		2	Financial years 2008-09, 2010-11, 2015-16 and 2016-17	Deputy Commissioner	
		233	Financial years 1994-95, 2004-05, 2007-08, 2008-09, 2009-10, 2010-11, 2011-12, 2012-13, 2013-14, 2014-15, 2015-16, 2016-17 and 2017-18	High Court	
		17	Financial years 1997-98, 2005-06, 2013-14, 2014-15, 2015-16, 2016-17 and 2017-18	Joint Commissioner	
		9	Financial years 1990-91, 2002-03, 2003-04, 2004-05, 2005-06, 2006-07, 2011-12, 2012-13 and 2013-14	Sales Tax Tribunal of various states	
The Finance Act, 1994	Service tax (including interest and penalty)	2	Financial years 2002-03, 2003-04, 2004-05 and 2011-12	Commissioner Appeals	
		269	Financial years 2006-07, 2007-08, 2008-09, 2009-10, 2010-11, 2011-12, 2012-13, 2013-14, 2014-15, 2015-16, 2016-17 and 2017-18	Customs, Excise and Service Tax Appellate Tribunal (CESTAT)	
The Customs Act, 1962	Customs Duty (including penalty)	1	Financial years 2019-20, 2020-21, 2021-22 and 2022-23	Customs, Excise and Service Tax Appellate Tribunal (CESTAT)	

** Net of amount paid under protest in respect of Income Tax ₹307 crores, Goods and Service Tax ₹4 crores, Sales Tax ₹14 crores and Service Tax ₹5 crores.

(viii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not surrendered or disclosed any transactions, previously unrecorded as income in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year.

ix. (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not defaulted in repayment of loans and borrowing or in the payment of interest thereon to any lender.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not been declared a wilful defaulter by any bank or financial institution or government or government authority.

(c) In our opinion and according to the information and explanations given to us by the management, the Company has not obtained any term loans. Accordingly, clause 3(ix)(c) of the Order is not applicable.

(d) According to the information and explanations given to us and on an overall examination of the standalone financial statements of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.

(e) According to the information and explanations given to us and on an overall examination of the standalone financial statements of the Company, we report that the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries as defined under the Act. The Company does not hold any investment in any associate or joint venture (as defined under the Act) during the year ended 31 March 2025.

(f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiaries (as defined under the Act). The Company does not hold any investment in any associate or joint venture (as defined under the Act) during the year ended 31 March 2025.

(x) (a) The Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments). Accordingly, clause 3(x)(a) of the Order is not applicable.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year. Accordingly, clause 3(x)(b) of the Order is not applicable.

(xi) (a) During the course of our examination of the books and records of the Company and according to the information and explanations given to us, considering the principles of materiality outlined in Standards on Auditing, we report that no fraud by the Company or on the Company has been noticed or reported during the year.

(b) According to the information and explanations given to us, no report under sub-section (12) of Section 143 of the Act has been filed by the auditors in Form ADT-4 as prescribed under Rule 13 of the Companies (Audit and Auditors) Rules, 2014 with the Central Government.

(c) We have taken into consideration the whistle blower complaints received by the Company during the year while determining the nature, timing and extent of our audit procedures.

(xii) According to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, clause 3(xii) of the Order is not applicable.

(xiii) In our opinion and according to the information and explanations given to us, the transactions with related parties are in compliance with Section 177 and 188 of the Act, where applicable, and the details of the related party transactions have been disclosed in the standalone financial statements as required by the applicable accounting standards.

(xiv) (a) Based on information and explanations provided to us and our audit procedures, in our opinion, the Company has an internal audit system commensurate with the size and nature of its business.

(b) We have considered the internal audit reports of the Company issued till date for the period under audit.

(xv) In our opinion and according to the information and explanations given to us, the Company has not entered into any non-cash transactions with its directors or persons connected to its directors and hence, provisions of Section 192 of the Act are not applicable to the Company.

(xvi) (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(a) of the Order is not applicable.

(b) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(b) of the Order is not applicable.

(c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, clause 3(xvi)(c) of the Order is not applicable.

(d) According to the information and explanations provided to us, the Group (as per the provisions of the Core Investment Companies (Reserve Bank) Directions, 2016) has more than one CIC as part of the Group. The Group has five CICs which are registered with the Reserve Bank of India and one CIC which is not required to be registered with the Reserve Bank of India.

(xvii) The Company has not incurred cash losses in the current and in the immediately preceding financial year.

(xviii) There has been no resignation of the statutory auditors during the year. Accordingly, clause 3(xviii) of the Order is not applicable.

(xix) According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

Also refer to the Other Information paragraph of our main audit report which explains that the other information comprising the information included in Company's annual report is expected to be made available to us after the date of this auditor's report.

(xx) (a) In our opinion and according to the information and explanations given to us, there is no unspent amount under sub-section (5) of Section 135 of the Act pursuant to any project other than ongoing projects. Accordingly, clause 3(xx)(a) of the Order is not applicable.

(b) In our opinion and according to the information and explanations given to us and based on an independent legal opinion obtained by the Company, upon irrevocable transfer of funds by the Company to implementing agencies for designated multiyear projects undertaken through them, there is no unspent amount under sub-section (5) of Section 135 of the Act pursuant to ongoing projects. Accordingly, clause 3(xx)(b) of the Order is not applicable.

For **B S R & Co. LLP**
Chartered Accountants
Firm's Registration No.:101248W/W-100022

Aniruddha Godbole
Partner
Membership No.: 105149
ICAI UDIN:25105149BMLWYK9210

Place: Mumbai
Date: 10 April 2025

Annexure B to the Independent Auditor’s Report on the standalone financial statements of Tata Consultancy Services Limited for the year ended 31 March 2025

Report on the internal financial controls with reference to the aforesaid standalone financial statements under Clause (i) of Sub-section 3 of Section 143 of the Act

(Referred to in paragraph 2(A)(g) under ‘Report on Other Legal and Regulatory Requirements’ section of our report of even date)

Opinion

We have audited the internal financial controls with reference to financial statements of Tata Consultancy Services Limited (“the Company”) as of 31 March 2025 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to financial statements and such internal financial controls were operating effectively as at 31 March 2025, based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the “Guidance Note”).

Management’s and Board of Directors’ Responsibilities for Internal Financial Controls

The Company’s Management and the Board of Directors are responsible for establishing and maintaining internal financial controls based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company’s policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor’s Responsibility

Our responsibility is to express an opinion on the Company’s internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing, prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor’s judgement, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company’s internal financial controls with reference to financial statements.

Meaning of Internal Financial Controls with Reference to Financial Statements

A company’s internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company’s internal financial controls with reference to financial statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company’s assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with Reference to Financial Statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For **B S R & Co. LLP**
Chartered Accountants
Firm’s Registration No.:101248W/W-100022

Aniruddha Godbole
Partner
Membership No.: 105149
ICAI UDIN:25105149BMLWYK9210

Place: Mumbai
Date: 10 April 2025

Standalone Balance Sheet

(₹ crore)

	Note	As at March 31, 2025	As at March 31, 2024
ASSETS			
Non-current assets			
Property, plant and equipment	8(a)	8,346	8,336
Capital work-in-progress	8(a)	1,318	1,450
Right-of-use assets	7	7,601	6,154
Intangible assets	8(b)	878	463
Financial assets			
Investments	6(a)	3,999	2,405
Trade receivables			
Billed	6(b)	91	127
Unbilled		44	65
Loans	6(e)	2	2
Other financial assets	6(f)	657	626
Deferred tax assets (net)	15	2,658	2,524
Income tax assets (net)		1,131	1,062
Other assets	8(c)	2,900	3,016
Total non-current assets		**29,625**	**26,230**
Current assets			
Inventories	8(d)	20	27
Financial assets			
Investments	6(a)	28,803	29,840
Trade receivables			
Billed	6(b)	44,392	38,591
Unbilled		7,375	7,477
Cash and cash equivalents	6(c)	2,610	3,644
Other balances with banks	6(d)	4,542	2,955
Loans	6(e)	42	317
Other financial assets	6(f)	2,455	1,559
Income tax assets (net)		226	111
Other assets	8(c)	12,698	10,397
Total current assets		**1,03,163**	**94,918**
TOTAL ASSETS		**1,32,788**	**1,21,148**
EQUITY AND LIABILITIES			
Equity			
Share capital	6(n)	362	362
Other equity	9	75,255	71,758
Total equity		**75,617**	**72,120**
Liabilities			
Non-current liabilities			
Financial liabilities			
Lease liabilities		6,486	5,128
Other financial liabilities	6(i)	626	315
Employee benefit obligations	12	186	144
Deferred tax liabilities (net)	15	202	154
Unearned and deferred revenue		489	226
Total non-current liabilities		**7,989**	**5,967**
Current liabilities			
Financial liabilities			
Lease liabilities		1,091	1,017
Trade payables			
Dues of small enterprises and micro enterprises	6(h)	156	79
Dues of creditors other than small enterprises and micro enterprises	6(h)	17,327	14,520
Other financial liabilities	6(i)	6,551	6,286
Unearned and deferred revenue		3,377	2,811
Other liabilities	8(e)	5,110	4,458
Provisions	8(f)	92	71
Employee benefit obligations	12	3,621	3,332
Income tax liabilities (net)		11,857	10,487
Total current liabilities		**49,182**	**43,061**
TOTAL EQUITY AND LIABILITIES		**1,32,788**	**1,21,148**

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, April 10, 2025

For and on behalf of the Board

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Director
DIN: 07121802

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, April 10, 2025

Standalone Statement of Profit and Loss

(₹ crore)

	Note	Year ended March 31, 2025	Year ended March 31, 2024
Revenue from operations	10	2,14,853	2,02,359
Other income	11	9,642	7,273
TOTAL INCOME		**2,24,495**	**2,09,632**
Expenses			
Employee benefit expenses	12	1,07,300	1,03,139
Cost of equipment and software licences	13(a)	11,372	3,347
Finance costs	14	703	673
Depreciation and amortisation expense		4,220	3,887
Other expenses	13(b)	38,252	40,026
TOTAL EXPENSES		**1,61,847**	**1,51,072**
PROFIT BEFORE EXCEPTIONAL ITEM AND TAX		**62,648**	**58,560**
Exceptional item			
Settlement of legal claim	19	-	958
PROFIT BEFORE TAX		**62,648**	**57,602**
Tax expense			
Current tax	15	14,823	14,178
Deferred tax	15	(232)	(135)
TOTAL TAX EXPENSE		**14,591**	**14,043**
PROFIT FOR THE YEAR		**48,057**	**43,559**
OTHER COMPREHENSIVE INCOME (OCI)			
Items that will not be reclassified subsequently to profit or loss			
Remeasurement of defined employee benefit plans		(180)	(60)
Income tax on items that will not be reclassified subsequently to profit or loss		45	13
Items that will be reclassified subsequently to profit or loss			
Net change in fair values of investments other than equity shares carried at fair value through OCI		593	237
Net change in intrinsic value of derivatives designated as cash flow hedges		1	1
Net change in time value of derivatives designated as cash flow hedges		(9)	13
Income tax on items that will be reclassified subsequently to profit or loss		(146)	(39)
TOTAL OTHER COMPREHENSIVE INCOME / (LOSSES)		**304**	**165**
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		**48,361**	**43,724**
Earnings per equity share:- Basic and diluted (₹)	16	132.83	119.44
Weighted average number of equity shares		361,80,87,518	364,68,51,755

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, April 10, 2025

For and on behalf of the Board

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Director
DIN: 07121802

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, April 10, 2025

Standalone Statement of Changes in Equity

A. EQUITY SHARE CAPITAL

(₹ crore)

Balance as at April 1, 2024	Changes in equity share capital due to prior period errors	Restated balance as at April 1, 2024	Changes in equity share capital during the year	Balance as at March 31, 2025
362	-	362	-	362

(₹ crore)

Balance as at April 1, 2023	Changes in equity share capital due to prior period errors	Restated balance as at April 1, 2023	Changes in equity share capital during the year*	Balance as at March 31, 2024
366	-	366	(4)	362

*Refer note 6(n)

B. OTHER EQUITY

(₹ crore)

	Reserves and surplus				Items of other comprehensive income			Total equity
	Capital reserve*	Capital redemption reserve	Special Economic Zone re-investment reserve	Retained earnings	Investment revaluation reserve	Cash flow hedging reserve		
						Intrinsic value	Time value	
Balance as at April 1, 2024	**-**	**21**	**16,234**	**55,173**	**339**	**9**	**(18)**	**71,758**
Profit for the year	-	-	-	48,057	-	-	-	48,057
Other comprehensive income / (losses)	-	-	-	(135)	445	-	(6)	304
Total comprehensive income	**-**	**-**	**-**	**47,922**	**445**	**-**	**(6)**	**48,361**
Dividend	-	-	-	(44,864)	-	-	-	(44,864)
Transfer from Special Economic Zone re-investment reserve	-	-	(15,149)	15,149	-	-	-	-
Balance as at March 31, 2025	**-**	**21**	**1,085**	**73,380**	**784**	**9**	**(24)**	**75,255**
Balance as at April 1, 2023	**-**	**17**	**11,809**	**62,228**	**138**	**8**	**(28)**	**74,172**
Profit for the year	-	-	-	43,559	-	-	-	43,559
Other comprehensive income / (losses)	-	-	-	(47)	201	1	10	165
Total comprehensive income	**-**	**-**	**-**	**43,512**	**201**	**1**	**10**	**43,724**
Dividend	-	-	-	(25,137)	-	-	-	(25,137)
Expenses for buy-back of equity shares	-	-	-	(46)	-	-	-	(46)
Tax on buy-back of equity shares	-	-	-	(3,959)	-	-	-	(3,959)
Buy-back of equity shares	-	4	-	(17,000)	-	-	-	(16,996)
Transfer to Special Economic Zone re-investment reserve	-	-	9,875	(9,875)	-	-	-	-
Transfer from Special Economic Zone re-investment reserve	-	-	(5,450)	5,450	-	-	-	-
Balance as at March 31, 2024	**-**	**21**	**16,234**	**55,173**	**339**	**9**	**(18)**	**71,758**

*Represents value less than ₹0.50 crore.

Loss of ₹135 crore and ₹47 crore on remeasurement of defined employee benefit plans (net of tax) is recognised as a part of retained earnings for the years ended March 31, 2025 and 2024, respectively.

Nature and purpose of reserves

(a) Capital reserve

The Company recognises profit and loss on purchase, sale, issue or cancellation of the Company's own equity instruments to capital reserve.

(b) Capital redemption reserve

As per Companies Act, 2013, capital redemption reserve is created when company purchases its own shares out of free reserves or securities premium. A sum equal to the nominal value of the shares so purchased is transferred to capital redemption reserve. The reserve is utilised in accordance with the provisions of section 69 of the Companies Act, 2013.

(c) Special Economic Zone re-investment reserve

The Special Economic Zone (SEZ) re-investment reserve is created out of the profit of eligible SEZ units in terms of the provisions of section 10AA(1)(ii) of the Income-tax Act, 1961. The reserve will be utilised by the Company for acquiring new assets for the purpose of its business as per the terms of section 10AA(2) of Income-tax Act, 1961.

(d) Retained earnings

This reserve represents undistributed accumulated earnings of the Company as on the balance sheet date.

(e) Investment revaluation reserve

This reserve represents the cumulative gains and losses arising on the revaluation of equity and debt instruments on the balance sheet date measured at fair value through other comprehensive income. The reserves accumulated will be reclassified to retained earnings and statement of profit and loss respectively, when such instruments are disposed.

(f) Cash flow hedging reserve

The cash flow hedging reserve represents the cumulative effective portion of gains or losses arising on changes in fair value of designated portion of hedging instruments entered into for cash flow hedges. Such gains or losses will be reclassified to statement of profit and loss in the period in which the underlying hedged transaction occurs.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, April 10, 2025

For and on behalf of the Board

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Director
DIN: 07121802

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, April 10, 2025

Standalone Statement of Cash Flows

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit for the year	48,057	43,559
Adjustments for:		
Depreciation and amortisation expense	4,220	3,887
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	78	97
Tax expense	14,591	14,043
Net gain on lease modification	(10)	(2)
Unrealised foreign exchange gain	(18)	(11)
Net gain on disposal of property, plant and equipment	(20)	(8)
Net gain on disposal / fair valuation of investments	(225)	(264)
Interest income	(2,865)	(3,382)
Dividend income (including exchange impact)	(6,133)	(3,288)
Finance costs	703	673
Operating profit before working capital changes	**58,378**	**55,304**
Net change in		
Inventories	7	-
Trade receivables		
Billed	(5,828)	(3,145)
Unbilled	123	(82)
Loans and other financial assets	(732)	(291)
Other assets	(2,238)	(3,125)
Trade payables	2,884	831
Unearned and deferred revenue	829	(567)
Other financial liabilities	(17)	(698)
Other liabilities and provisions	1,002	1,498
Cash flows generated from operations	**54,408**	**49,725**
Taxes paid (net of refunds)	(13,592)	(10,583)
Net cash flows generated from operating activities	**40,816**	**39,142**
CASH FLOWS FROM INVESTING ACTIVITIES		
Bank deposits placed	(8,842)	(6,489)
Inter-corporate deposits placed	(36)	-
Purchase of investments	(1,32,458)	(1,28,764)
Payment for purchase of property, plant and equipment	(2,388)	(1,720)
Payment including advances for acquiring right-of-use assets	(94)	(17)
Payment for purchase of intangible assets	(902)	(411)
Acquisition of subsidiaries (Refer note 6(a))	(1,036)	-
Proceeds from bank deposits	7,262	6,605
Proceeds from disposal / redemption of investments	1,34,383	1,35,375
Proceeds from sub-lease receivable	10	10
Proceeds from disposal of property, plant and equipment	23	14

Standalone Statement of Cash Flows

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Interest received	2,770	2,670
Dividend received from subsidiaries	6,133	3,534
Net cash flows generated from investing activities	**4,825**	**10,807**
CASH FLOWS FROM FINANCING ACTIVITIES		
Repayment of lease liabilities[1]	(1,112)	(1,061)
Interest paid	(748)	(590)
Dividend paid	(44,864)	(25,137)
Transfer of funds to buy-back escrow account	-	(425)
Transfer of funds from buy-back escrow account	-	425
Expenses for buy-back of equity shares	-	(46)
Tax on buy-back of equity shares	-	(3,959)
Buy-back of equity shares	-	(17,000)
Net cash flows used in financing activities	**(46,724)**	**(47,793)**
Net change in cash and cash equivalents	**(1,083)**	**2,156**
Cash and cash equivalents at the beginning of the year	3,644	1,462
Exchange difference on translation of foreign currency cash and cash equivalents	49	26
Cash and cash equivalents at the end of the year	**2,610**	**3,644**
Components of cash and cash equivalents		
Balances with banks		
In current accounts	1,890	1,359
In deposit accounts	712	2,285
Cheques on hand	-*	-*
Cash on hand	-*	-*
Remittances in transit	8	-*
	2,610	**3,644**

*Represents value less than ₹0.50 crore.

[1] Changes in lease liabilities including both changes arising from cash flows and non-cash changes are given in note 7.

Refer note 13(c) for amount spent during the years ended March 31, 2025 and 2024 on construction / acquisition of any asset and other purposes relating to CSR activities.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, April 10, 2025

For and on behalf of the Board

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Director
DIN: 07121802

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, April 10, 2025

Notes forming part of Standalone Financial Statements

1) Corporate information

Tata Consultancy Services Limited (referred to as "TCS Limited" or "the Company") provides IT services, consulting and business solutions and has been partnering with many of the world's largest businesses in their transformation journeys. The Company offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions. This is delivered through its unique Location-Independent Agile delivery model recognised as a benchmark of excellence in software development.

The Company is a public limited company incorporated and domiciled in India. The address of its corporate office is TCS House, Raveline Street, Fort, Mumbai- 400001. As at March 31, 2025, Tata Sons Private Limited, the holding company owned 71.74% of the Company's equity share capital.

The Board of Directors approved the standalone financial statements for the year ended March 31, 2025 and authorised for issue on April 10, 2025.

2) Statement of compliance

These standalone financial statements have been prepared in accordance with the Indian Accounting Standards (referred to as "Ind AS") as prescribed under section 133 of the Companies Act, 2013 read with the Companies (Indian Accounting Standards) Rules as amended from time to time.

3) Basis of preparation

These standalone financial statements have been prepared on historical cost basis except for certain financial instruments and defined benefit plans which are measured at fair value or amortised cost at the end of each reporting period. Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. All assets and liabilities have been classified as current and non-current as per the Company's normal operating cycle. Based on the nature of services rendered to customers and time elapsed between deployment of resources and the realisation in cash and cash equivalents of the consideration for such services rendered, the Company has considered an operating cycle of 12 months.

The statement of cash flows has been prepared under indirect method, whereby profit or loss is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and items of income or expense associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Company are segregated. The Company considers all highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value to be cash equivalents.

These standalone financial statements have been prepared in Indian Rupee (₹) which is the functional currency of the Company. Foreign currency transactions are recorded at exchange rates prevailing on the date of the transaction. Foreign currency denominated monetary assets and liabilities are retranslated at the exchange rate prevailing on the balance sheet dates and exchange gains and losses arising on settlement and restatement are recognised in the statement of profit and loss. Non-monetary assets and liabilities that are measured in terms of historical cost in foreign currencies are not retranslated.

The material accounting policy information related to preparation of the standalone financial statements have been discussed in the respective notes.

4) Use of estimates and judgements

The preparation of standalone financial statements in conformity with the recognition and measurement principles of Ind AS requires management of the Company to make estimates and judgements that affect the reported balances of assets and liabilities, disclosures of contingent liabilities as at the date of standalone financial statements and the reported amounts of income and expenses for the periods presented.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and future periods are affected.

The Company uses the following critical accounting judgements, estimates and assumptions in preparation of its standalone financial statements:

(a) Revenue recognition

Revenue for fixed-price contracts is recognised using percentage-of-completion method. The Company estimates the future cost-to-completion of the contracts which is used to determine degree of completion of the performance obligation.

The Company exercises judgement for identification of performance obligations, determination of transaction price, ascribing the transaction price to each distinct performance obligation and in determining whether the performance obligation is satisfied at a point in time or over a period of time. These judgements have been explained in detail under the revenue recognition note (Refer note 10).

(b) Useful lives of property, plant and equipment

The Company reviews the useful life of property, plant and equipment at the end of each reporting period. This reassessment may result in change in depreciation expense in future periods (Refer note 8(a)).

(c) Impairment of investments in subsidiaries

The Company reviews its carrying value of investments carried at cost (net of impairment, if any) annually, or more frequently when there is indication for

Notes forming part of Standalone Financial Statements

impairment. If the recoverable amount is less than its carrying amount, the impairment loss is accounted for in the statement of profit and loss.

(d) Fair value measurement of financial instruments

When the fair value of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the Discounted Cash Flow model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

(e) Impairment of financial assets (other than at fair value)

Measurement of impairment of financial assets require use of estimates, which have been explained in the note on financial assets, financial liabilities and equity instruments, under impairment of financial assets (other than at fair value) (Refer note 6).

(f) Deferred tax assets

A deferred tax asset is recognised to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilised. Accordingly, the Company exercises its judgement to reassess the carrying amount of deferred tax assets at the end of each reporting period.

(g) Provisions and contingent liabilities

The Company estimates the provisions that have present obligations as a result of past events and it is probable that outflow of resources will be required to settle the obligations. These provisions are reviewed at the end of each reporting period and are adjusted to reflect the current best estimates.

The Company uses significant judgements to assess contingent liabilities. Contingent liabilities are disclosed when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount cannot be made. Contingent assets are neither recognised nor disclosed in the standalone financial statements.

(h) Employee benefits

The accounting of employee benefit plans in the nature of defined benefit requires the Company to use assumptions. These assumptions have been explained under employee benefits note (Refer note 12).

(i) Leases

The Company evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116. Identification of a lease requires significant judgement. The Company uses significant judgement in assessing the lease term (including anticipated renewals) and the applicable discount rate.

The Company determines the lease term as the non-cancellable period of a lease, together with both periods covered by an option to extend the lease if the Company is reasonably certain to exercise that option; and periods covered by an option to terminate the lease if the Company is reasonably certain not to exercise that option. In assessing whether the Company is reasonably certain to exercise an option to extend a lease, or not to exercise an option to terminate a lease, it considers all relevant facts and circumstances that create an economic incentive for the Company to exercise the option to extend the lease, or not to exercise the option to terminate the lease. The Company revises the lease term if there is a change in the non-cancellable period of a lease.

The discount rate is generally based on the incremental borrowing rate specific to the lease being evaluated or for a portfolio of leases with similar characteristics.

5) Recent pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. For the year ended March 31, 2025, MCA has notified Ind AS – 117 Insurance Contracts and amendments to Ind AS 116 – Leases, relating to sale and leaseback transactions, applicable to the Company w.e.f. April 1, 2024. The Company has reviewed the new pronouncements and based on its evaluation has determined that it does not have any significant impact in its financial statements.

6) Financial assets, financial liabilities and equity instruments

Financial assets and liabilities are recognised when the Company becomes a party to the contractual provisions of the instrument. Financial assets and liabilities are initially measured at fair value, except for trade receivables which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value measured on initial recognition of financial asset or financial liability.

The Company derecognises a financial asset only when the contractual rights to the cash flows from the asset expire,

Notes forming part of Standalone Financial Statements

or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or have expired.

Cash and cash equivalents
The Company considers all highly liquid investments, which are readily convertible into known amounts of cash that are subject to an insignificant risk of change in value, to be cash equivalents. Cash and cash equivalents consist of balances with banks and which are unrestricted for withdrawal and usage.

Financial assets at amortised cost
Financial assets are subsequently measured at amortised cost if these financial assets are held within a business whose objective is to hold these assets in order to collect contractual cash flows and the contractual terms of the financial assets give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at fair value through other comprehensive income
Financial assets are measured at fair value through other comprehensive income if these financial assets are held within a business whose objective is achieved by both collecting contractual cash flows on specified dates that are solely payments of principal and interest on the principal amount outstanding and selling financial assets.

The Company has made an irrevocable election to present subsequent changes in the fair value of equity investments not held for trading in other comprehensive income.

Financial assets at fair value through profit or loss
Financial assets are measured at fair value through profit or loss unless they are measured at amortised cost or at fair value through other comprehensive income on initial recognition. The transaction costs directly attributable to the acquisition of financial assets and liabilities at fair value through profit or loss are immediately recognised in statement of profit and loss.

Investment in subsidiaries
Investment in subsidiaries are measured at cost less impairment loss, if any.

Financial liabilities
Financial liabilities are measured at amortised cost using the effective interest method.

Equity instruments
An equity instrument is a contract that evidences residual interest in the assets of the Company after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received net of direct issue cost.

Derivative accounting

- **Instruments in hedging relationship**
  The Company designates certain foreign exchange forward, currency options and futures contracts as hedge instruments in respect of foreign exchange risks. These hedges are accounted for as cash flow hedges.

  The Company uses hedging instruments that are governed by the financial risk management policy as approved by the Risk Management Committee. The policy provides principles on the use of such financial derivatives consistent with the risk management strategy of the Company. While determining the appropriate hedge ratio, the Company takes into consideration the prevailing macro-economic conditions, the availability and liquidity of the hedging instruments, tolerance levels for hedge ineffectiveness and the costs of hedging. The hedging activities are reviewed by the Risk Management Committee every quarter and future course of action is determined.

  The hedge instruments are designated and documented as hedges at the inception of the contract. The Company determines the existence of an economic relationship between the hedging instrument and hedged item based on the currency, amount and timing of their respective cash flows. The effectiveness of hedge instruments to reduce the risk associated with the exposure being hedged is assessed and measured at inception and on an ongoing basis. If the hedged future cash flows are no longer expected to occur, then the amounts that have been accumulated in other equity are immediately reclassified in net foreign exchange gains in the statement of profit and loss.

  The effective portion of change in the fair value of the designated hedging instrument is recognised in the other comprehensive income and accumulated under the heading cash flow hedging reserve.

  The Company separates the intrinsic value and time value of an option and designates as hedging instruments only the change in intrinsic value of the option. The change in fair value of the intrinsic value and time value of an option is recognised in the other comprehensive income and accounted as a separate component of equity. Such amounts are reclassified into the statement of profit and loss when the related hedged items affect profit and loss.

  Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or no longer qualifies for hedge accounting. Any gain or loss recognised in other comprehensive income and accumulated in equity till that time remains and is recognised in the statement of profit and loss when the forecasted transaction ultimately affects profit and loss. Any gain or loss is recognised immediately in the statement of profit and loss when the hedge becomes ineffective.

Notes forming part of Standalone Financial Statements

- **Instruments not in hedging relationship**
  The Company enters into contracts that are effective as hedges from an economic perspective, but they do not qualify for hedge accounting. The change in the fair value of such instrument is recognised in the statement of profit and loss.

Impairment of financial assets (other than at fair value)
The Company assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Company recognises lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. In determining the allowance for expected credit losses, the Company has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit loss allowance is based on the ageing of the receivables that are due and allowance rates used in the provision matrix. For all other financial assets, expected credit losses are measured at an amount equal to the 12-months expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

(a) Investments
Investments consist of the following:

Investments – Non-current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Investment in subsidiaries		
Fully paid equity shares (unquoted)	2,423	2,405
Optionally redeemable convertible debentures (unquoted)	1,576	-
Investments designated at fair value through OCI		
Fully paid equity shares (unquoted)		
Taj Air Limited	19	19
Less: Impairment in value of investments	(19)	(19)
	3,999	**2,405**

Investments – Current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Investments carried at fair value through profit or loss		
Mutual fund units (quoted)	1,030	749
Investments carried at fair value through OCI		
Government bonds and securities (quoted)	23,844	24,746
Corporate bonds and debentures (quoted)	3,929	3,406
Investments carried at amortised cost		
Commercial papers (quoted)	-	939
	28,803	**29,840**

Government bonds and securities includes bonds pledged with bank for credit facility amounting to ₹2,700 crore and NIL as at March 31, 2025 and 2024, respectively.

Aggregate value of quoted and unquoted investments is as follows:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Aggregate value of quoted investments	28,803	29,840
Aggregate value of unquoted investments (net of impairment)	3,999	2,405
Aggregate market value of quoted investments	28,803	29,841
Aggregate value of impairment of investments	19	19

Notes forming part of Standalone Financial Statements

Market value of quoted investments carried at amortised cost is as follows:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Commercial papers	-	940

Carrying value of investment in equity instruments is as follows:

(₹ crore)

In numbers	Currency	Face value per share	Investment in subsidiaries	As at March 31, 2025	As at March 31, 2024
			Fully paid equity shares (unquoted)		
212,27,83,424	UYU	1	TCS Iberoamerica S.A.	461	461
15,75,300	INR	10	APTOnline Limited	-	-
1,300	EUR	-	Tata Consultancy Services Belgium	1	1
66,000	EUR	1,000	Tata Consultancy Services Netherlands B.V.	403	403
1,000	SEK	100	Tata Consultancy Services Sverige Aktiebolag	19	19
1	EUR	-	Tata Consultancy Services Deutschland GmbH	2	2
20,000	USD	10	Tata America International Corporation	453	453
75,82,820	SGD	1	Tata Consultancy Services Asia Pacific Pte. Ltd.	19	19
3,72,58,815	AUD	1	TCS FNS Pty Limited	212	212
10,00,001	GBP	1	Diligenta Limited	429	429
1,000	USD	-	Tata Consultancy Services Canada Inc.	-*	-*
100	CAD	70,653.61	Tata Consultancy Services Canada Inc.	31	31
51,00,000	INR	10	C-Edge Technologies Limited	5	5
8,90,000	INR	10	MP Online Limited	1	1
1,40,00,000	ZAR	1	Tata Consultancy Services (Africa) (Proprietary) Limited	66	66
18,89,005	INR	10	MahaOnline Limited	2	2
-	QAR	-	Tata Consultancy Services Qatar	2	2
10,00,000	INR	100	TCS e-Serve International Limited	10	10
1,00,500	GBP	0.00001	Tata Consultancy Services UK Limited	66	66
2,50,00,000	EUR	1	Tata Consultancy Services Ireland Limited	224	224
10,00,000	INR	10	TCS Foundation	-	-
11,41,725	INR	10	TRIL Bengaluru Real Estate Five Limited[1]	2	-
	INR		TRIL Bengaluru Real Estate Five Limited[1]	1	-
60,67,490	INR	10	TRIL Bengaluru Real Estate Six Limited[1]	9	-
	INR		TRIL Bengaluru Real Estate Six Limited[1]	5	-
			Optionally redeemable convertible debentures (unquoted)		
10,71,79,020	INR	10	TRIL Bengaluru Real Estate Five Limited[1]	162	-
	INR		TRIL Bengaluru Real Estate Five Limited[1]	87	-
56,98,70,925	INR	10	TRIL Bengaluru Real Estate Six Limited[1]	863	-
	INR		TRIL Bengaluru Real Estate Six Limited[1]	464	-
				3,999	**2,405**

Notes forming part of Standalone Financial Statements

(₹ crore)

In Numbers	Currency	Face value per share	Equity instruments designated at fair value through OCI	As at March 31, 2025	As at March 31, 2024
			Fully paid equity shares (unquoted)		
1,90,00,000	INR	10	Taj Air Limited	19	19
			Less : Impairment in value of investments	(19)	(19)
				-	-

*Represents value less than ₹0.50 crore.

Notes:

1. On January 29, 2025, the Share Purchase and Securities Purchase Agreement (SSPA) has been executed between Tata Consultancy Services Limited (Company), Tata Realty and Infrastructure Limited (TRIL), TRIL Bengaluru Real Estate Five Limited (TBRF) and TRIL Bengaluru Real Estate Six Limited (TBRS) for acquisition of 100% equity shares and optionally redeemable convertible debentures of TBRF and TBRS held by TRIL, in two tranches at a consideration of ₹1,593 crore.

   Based on the terms of the SSPA, on January 29, 2025 the Company paid ₹1,036 crore and recognised a financial liability of ₹557 crore (towards consideration payable at a future date for 35% stake) to acquire the entire stake in equity shares and optionally redeemable convertible debentures in TBRF and TBRS. Consequently, TBRF and TBRS have become wholly owned subsidiaries of the Company from that date.

   The movement in fair value of investments carried / designated at fair value through OCI is as follows:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Balance at the beginning of the year	**339**	**138**
Net gain arising on revaluation of investments other than equities carried at fair value through other comprehensive income	603	248
Deferred tax relating to net gain arising on revaluation of investments other than equities carried at fair value through other comprehensive income	(152)	(39)
Net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	(10)	(11)
Deferred tax relating to net cumulative gain reclassified to statement of profit and loss on sale of investments other than equities carried at fair value through other comprehensive income	4	3
Balance at the end of the year	**784**	**339**

(b) Trade receivables - Billed

Trade receivables- Billed (unsecured) consist of the following:

Trade receivables - Billed – Non-current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Trade receivables- Billed	784	760
Less: Allowance for expected credit losses	(693)	(633)
Considered good	**91**	**127**

Notes forming part of Standalone Financial Statements

Ageing for trade receivables – non-current outstanding as at March 31, 2025 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	-	-	-	3	145	606	754
Disputed trade receivables – considered good	-	-	-	1	2	27	30
	-	**-**	**-**	**4**	**147**	**633**	**784**
Less: Allowance for expected credit losses							**(693)**
							91
Trade receivables - Unbilled							**44**
							135

Ageing for trade receivables – non-current outstanding as at March 31, 2024 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	-	-	-	55	86	585	726
Disputed trade receivables – considered good	-	-	-	2	-	32	34
	-	**-**	**-**	**57**	**86**	**617**	**760**
Less: Allowance for expected credit losses							**(633)**
							127
Trade receivables - Unbilled							**65**
							192

Trade receivables - Billed – Current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Trade receivables- Billed	44,591	38,856
Less: Allowance for expected credit losses	(279)	(320)
Considered good	**44,312**	**38,536**
Trade receivables- Billed	259	190
Less: Allowance for expected credit losses	(179)	(135)
Credit impaired	**80**	**55**
	44,392	**38,591**

Notes forming part of Standalone Financial Statements

Ageing for trade receivables- billed – current outstanding as at March 31, 2025 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	31,886	9,944	2,483	181	25	1	44,520
Undisputed trade receivables – credit impaired	-	7	20	51	63	118	259
Disputed trade receivables – considered good	13	42	16	-	-	-	71
	31,899	**9,993**	**2,519**	**232**	**88**	**119**	**44,850**
Less: Allowance for expected credit losses							**(458)**
							44,392
Trade receivables - Unbilled							**7,375**
							51,767

Ageing for trade receivables- billed – current outstanding as at March 31, 2024 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade receivables - Billed							
Undisputed trade receivables – considered good	30,928	6,787	933	18	52	113	38,831
Undisputed trade receivables – credit impaired	-	6	15	53	12	104	190
Disputed trade receivables – considered good	-	-	-	-	-	25	25
	30,928	**6,793**	**948**	**71**	**64**	**242**	**39,046**
Less: Allowance for expected credit losses							**(455)**
							38,591
Trade receivables - Unbilled							**7,477**
							46,068

Above balances of trade receivables- billed include balances with related parties (Refer note 20).

(c) Cash and cash equivalents

Cash and cash equivalents consist of the following:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Balances with banks		
In current accounts	1,890	1,359
In deposit accounts	712	2,285
Cheques on hand	-*	-*
Cash on hand	-*	-*
Remittances in transit	8	-*
	2,610	**3,644**

*Represents value less than ₹0.50 crore.

The quarterly returns / statements filed by the Company with banks from whom the Company has been sanctioned working capital limits, are in agreement with the books of account of the Company.

Notes forming part of Standalone Financial Statements

(d) Other balances with banks

Other balances with banks consist of the following:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Earmarked balances with banks	862	455
Short-term bank deposits	3,680	2,500
	4,542	**2,955**

Earmarked balances with banks primarily relate to margin money for purchase of investments and unclaimed dividends.

(e) Loans

Loans (unsecured) consist of the following:

Loans – Non-current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Considered good		
Loans to employees	2	2
	2	**2**

Loans – Current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Considered good		
Inter-corporate deposits	36	-
Loans to employees	6	317
	42	**317**

Inter-corporate deposits, repayable on demand with fixed interest rate has been placed with subsidiaries.

Disclosures pursuant to Regulation 34(3) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and Section 186 of the Companies Act, 2013

Type of borrower	Purpose	As at March 31, 2025			Maximum amount outstanding during the year ended March 31, 2025	As at March 31, 2024			Maximum amount outstanding during the year ended March 31, 2024
		Interest rate	Amount outstanding (₹ crore)	% of Total		Interest rate	Amount outstanding (₹ crore)	% of Total	
Related Parties									
- Loans repayable on demand									
TRIL Bengaluru Real Estate Five Limited	For managing working capital requirements	8.50%	5	11.36	5	-	-	-	-
TRIL Bengaluru Real Estate Six Limited	For managing working capital requirements	8.50%	31	70.45	31	-	-	-	-
Total			**36**	**81.81**			**-**	**-**	

Notes forming part of Standalone Financial Statements

(f) Other financial assets

Other financial assets consist of the following:

Other financial assets – Non-current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Security deposits	617	600
Long-term bank deposits	12	12
Interest receivable	1	-
Others	27	14
	657	**626**

Other financial assets – Current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Security deposits	323	320
Fair value of foreign exchange derivative assets	390	113
Interest receivable	652	665
Advances to employees	240	261
Less: Allowance for advances to employees	(50)	(41)
Others	900	241
	2,455	**1,559**

(g) Dues of small enterprises and micro enterprises

The disclosure pursuant to the Micro, Small and Medium Enterprises Development Act, 2006, (MSMED Act) for dues to micro enterprises and small enterprises as at March 31, 2025 and 2024 is as under:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Dues remaining unpaid to any supplier		
Principal	160	79
Interest on the above	-	-
Amount of interest paid in terms of section 16 of the MSMED Act, 2006, along with the amount of the payment made to the supplier beyond the appointed day during each accounting year	18	24
Amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under the MSMED Act, 2006	-	-
Amount of interest accrued and remaining unpaid	-	-
Amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance as a deductible expenditure under section 23 of MSMED Act, 2006	-	-

Notes forming part of Standalone Financial Statements

(h) Trade Payables

Ageing for trade payables outstanding as at March 31, 2025 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment				Total
		Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade payables						
MSME*	156	-	-	-	-	156
Others	3,394	8,401	430	12	58	12,295
Disputed dues- Others	-	-	-	-	29	29
	3,550	**8,401**	**430**	**12**	**87**	**12,480**
Accrued expenses						**5,003**
						17,483

*MSME as per the Micro, Small and Medium Enterprises Development Act, 2006.

Ageing for trade payables outstanding as at March 31, 2024 is as follows:

(₹ crore)

Particulars	Not due	Outstanding for following periods from due date of payment				Total
		Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Trade payables						
MSME*	79	-	-	-	-	79
Others	3,269	5,729	18	5	42	9,063
Disputed dues- Others	2	2	-	-	30	34
	3,350	**5,731**	**18**	**5**	**72**	**9,176**
Accrued expenses						**5,423**
						14,599

*MSME as per the Micro, Small and Medium Enterprises Development Act, 2006.

(i) Other financial liabilities

Other financial liabilities consist of the following:

Other financial liabilities – Non-current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Capital creditors	60	69
Liabilities towards customer contracts	316	-
Others	250	246
	626	**315**

Others include advance taxes paid of ₹226 crore and ₹226 crore as at March 31, 2025 and 2024, respectively, by the seller of TCS e-Serve Limited (merged with the Company) which, on refund by tax authorities is payable to the seller.

Other financial liabilities – Current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Accrued payroll	3,728	3,957
Unclaimed dividends	60	53
Fair value of foreign exchange derivative liabilities	146	109
Capital creditors	660	582
Liabilities towards customer contracts	1,231	1,419
Liabilities towards acquisition of subsidiaries (Refer note 6(a))	557	-
Others	169	166
	6,551	**6,286**

Notes forming part of Standalone Financial Statements

(j) Financial instruments by category

The carrying value of financial instruments by categories as at March 31, 2025 is as follows:

(₹ crore)

	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	2,610	2,610
Bank deposits	-	-	-	-	3,692	3,692
Earmarked balances with banks	-	-	-	-	862	862
Investments (other than in subsidiary)	1,030	27,773	-	-	-	28,803
Trade receivables						
Billed	-	-	-	-	44,483	44,483
Unbilled	-	-	-	-	7,419	7,419
Loans	-	-	-	-	44	44
Other financial assets	-	-	33	357	2,710	3,100
	1,030	**27,773**	**33**	**357**	**61,820**	**91,013**
Financial liabilities						
Trade payables	-	-	-	-	17,483	17,483
Lease liabilities	-	-	-	-	7,577	7,577
Other financial liabilities	-	-	-	146	7,031	7,177
	-	**-**	**-**	**146**	**32,091**	**32,237**

Loans include inter-corporate deposits of ₹36 crore, with original maximum maturity of one year.

The carrying value of financial instruments by categories as at March 31, 2024 is as follows:

(₹ crore)

	Fair value through profit or loss	Fair value through other comprehensive income	Derivative instruments in hedging relationship	Derivative instruments not in hedging relationship	Amortised cost	Total carrying value
Financial assets						
Cash and cash equivalents	-	-	-	-	3,644	3,644
Bank deposits	-	-	-	-	2,500	2,500
Earmarked balances with banks	-	-	-	-	455	455
Investments (other than in subsidiary)	749	28,152	-	-	939	29,840
Trade receivables						
Billed	-	-	-	-	38,718	38,718
Unbilled	-	-	-	-	7,542	7,542
Loans	-	-	-	-	319	319
Other financial assets	-	-	46	67	2,072	2,185
	749	**28,152**	**46**	**67**	**56,189**	**85,203**
Financial liabilities						
Trade payables	-	-	-	-	14,599	14,599
Lease liabilities	-	-	-	-	6,145	6,145
Other financial liabilities	-	-	-	109	6,492	6,601
	-	**-**	**-**	**109**	**27,236**	**27,345**

Notes forming part of Standalone Financial Statements

Carrying amounts of cash and cash equivalents, trade receivables, loans and trade payables as at March 31, 2025 and 2024, approximate the fair value due to their nature. Carrying amounts of bank deposits, earmarked balances with banks, other financial assets and other financial liabilities which are subsequently measured at amortised cost also approximate the fair value due to their nature in each of the periods presented. Fair value measurement of lease liabilities is not required. Fair value of investments carried at amortised cost is NIL and ₹940 crore as at March 31, 2025 and 2024 respectively.

(k) Fair value hierarchy

The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:

- Level 1 – Inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 – Inputs are other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 – Inputs are not based on observable market data (unobservable inputs). Fair values are determined in whole or in part using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

The cost of unquoted investments included in Level 3 of fair value hierarchy approximate their fair value because there is a wide range of possible fair value measurements and the cost represents estimate of fair value within that range.

The following table summarises financial assets and liabilities measured at fair value on a recurring basis and financial assets that are not measured at fair value on a recurring basis (but fair value disclosures are required):

(₹ crore)

As at March 31, 2025	Level 1	Level 2	Level 3	Total
Financial assets				
Mutual fund units	1,030	-	-	1,030
Equity shares	-	-	-	-
Government bonds and securities	23,844	-	-	23,844
Corporate bonds and debentures	3,929	-	-	3,929
Fair value of foreign exchange derivative assets	-	390	-	390
	28,803	**390**	**-**	**29,193**
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	146	-	146
	-	**146**	**-**	**146**

(₹ crore)

As at March 31, 2024	Level 1	Level 2	Level 3	Total
Financial assets				
Mutual fund units	749	-	-	749
Equity shares	-	-	-	-
Government bonds and securities	24,746	-	-	24,746
Corporate bonds and debentures	3,406	-	-	3,406
Commercial papers	940	-	-	940
Fair value of foreign exchange derivative assets	-	113	-	113
	29,841	**113**	**-**	**29,954**
Financial liabilities				
Fair value of foreign exchange derivative liabilities	-	109	-	109
	-	**109**	**-**	**109**

Notes forming part of Standalone Financial Statements

(l) Derivative financial instruments and hedging activity

The Company's revenue is denominated in various foreign currencies. Given the nature of the business, a large portion of the costs are denominated in Indian Rupee. This exposes the Company to currency fluctuations.

The Board of Directors has constituted a Risk Management Committee (RMC) to frame, implement and monitor the risk management plan of the Company which inter-alia covers risks arising out of exposure to foreign currency fluctuations. Under the guidance and framework provided by the RMC, the Company uses various derivative instruments such as foreign exchange forward, currency options and futures contracts in which the counter party is generally a bank.

The following are outstanding currency options contracts, which have been designated as cash flow hedges:

Foreign currency	As at March 31, 2025			As at March 31, 2024		
	No. of contracts	Notional amount of contracts (In million)	Fair value (₹ crore)	No. of contracts	Notional amount of contracts (In million)	Fair value (₹ crore)
US Dollar	-	-	-	19	475	6
Great Britain Pound	23	220	18	29	230	24
Euro	25	235	15	28	235	16

The movement in cash flow hedging reserve for derivatives designated as cash flow hedges is as follows:

(₹ crore)

	Year ended March 31, 2025		Year ended March 31, 2024	
	Intrinsic value	Time value	Intrinsic value	Time value
Balance at the beginning of the year	**9**	**(18)**	**8**	**(28)**
(Gain) / loss transferred to profit and loss on occurrence of forecasted hedge transactions	(193)	234	(139)	241
Deferred tax on (gain) / loss transferred to profit and loss on occurrence of forecasted hedge transactions	48	(60)	31	(55)
Change in the fair value of effective portion of cash flow hedges	194	(243)	140	(228)
Deferred tax on change in the fair value of effective portion of cash flow hedges	(49)	63	(31)	52
Balance at the end of the year	**9**	**(24)**	**9**	**(18)**

The Company has entered into derivative instruments not in hedging relationship by way of foreign exchange forward, currency options and futures contracts. As at March 31, 2025 and 2024, the notional amount of outstanding contracts aggregated to ₹51,859 crore and ₹49,180 crore, respectively, and the respective fair value of these contracts have a net gain of ₹211 crore and net loss of ₹42 crore.

Exchange loss of ₹316 crore and gain of ₹30 crore on foreign exchange forward, currency options and futures contracts that do not qualify for hedge accounting have been recognised in the standalone statement of profit and loss for the years ended March 31, 2025 and 2024, respectively.

Net foreign exchange gain / (loss) include loss of ₹41 crore and ₹102 crore transferred from cash flow hedging reserve for the years ended March 31, 2025 and 2024, respectively.

Net loss on derivative instruments of ₹15 crore recognised in cash flow hedging reserve as at March 31, 2025, is expected to be transferred to the statement of profit and loss by March 31, 2026. The maximum period over which the exposure to cash flow variability has been hedged is through calendar year 2025.

Notes forming part of Standalone Financial Statements

Following table summarises approximate gain / (loss) on the Company's other comprehensive income on account of appreciation / depreciation of the underlying foreign currencies:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
10% appreciation of the underlying foreign currencies	-	-
10% depreciation of the underlying foreign currencies	437	910

(m) Financial risk management

The Company is exposed primarily to fluctuations in foreign currency exchange rates, credit, liquidity and interest rate risks, which may adversely impact the fair value of its financial instruments. The Company has a risk management policy which covers risks associated with the financial assets and liabilities. The risk management policy is approved by the Board of Directors. The focus of the risk management committee is to assess the unpredictability of the financial environment and to mitigate potential adverse effects on the financial performance of the Company.

Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Such changes in the values of financial instruments may result from changes in the foreign currency exchange rates, interest rates, credit, liquidity and other market changes. The Company's exposure to market risk is primarily on account of foreign currency exchange rate risk.

- **Foreign currency exchange rate risk**

  The fluctuation in foreign currency exchange rates may have potential impact on the statement of profit and loss and other comprehensive income and equity, where any transaction references more than one currency or where assets / liabilities are denominated in a currency other than the functional currency of the Company. Considering the countries and economic environment in which the Company operates, its operations are subject to risks arising from fluctuations in exchange rates in those countries.

  The Company, as per its risk management policy, uses derivative instruments primarily to hedge foreign exchange. Further, any movement in the functional currency of the various operations of the Company against major foreign currencies may impact the Company's revenue in international business.

  The Company evaluates the impact of foreign exchange rate fluctuations by assessing its exposure to exchange rate risks. It hedges a part of these risks by using derivative financial instruments in line with its risk management policies.

  The foreign exchange rate sensitivity is calculated by aggregation of the net foreign exchange rate exposure and a simultaneous parallel foreign exchange rates shift of all the currencies by 10% against the functional currency of the Company.

  The following analysis has been worked out based on the net exposures of the Company as of the date of balance sheet which could affect the statement of profit and loss and other comprehensive income and equity. Further the exposure as indicated below is mitigated by some of the derivative contracts entered into by the Company as disclosed in note 6(l).

  The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2025:

(₹ crore)

	USD	EUR	GBP	Others
Net financial assets	7,508	533	526	2,327
Net financial liabilities	(10,726)	(350)	(376)	(862)

10% appreciation / depreciation of the functional currency of the Company with respect to various foreign currencies would result in increase / decrease in the Company's profit before taxes by approximately ₹142 crore for the year ended March 31, 2025.

Notes forming part of Standalone Financial Statements

The following table sets forth information relating to unhedged foreign currency exposure as at March 31, 2024:

(₹ crore)

	USD	EUR	GBP	Others
Net financial assets	4,243	507	379	2,143
Net financial liabilities	(11,238)	(760)	(2,215)	(1,530)

10% appreciation / depreciation of the functional currency of the Company with respect to various foreign currencies would result in increase / decrease in the Company's profit before taxes by approximately ₹847 crore for the year ended March 31, 2024.

- **Interest rate risk**
  The Company's investments are primarily in fixed rate interest bearing investments. Hence, the Company is not significantly exposed to interest rate risk.

Credit risk

Credit risk is the risk of financial loss arising from counterparty failure to repay or service debt according to the contractual terms or obligations. Credit risk encompasses of both, the direct risk of default and the risk of deterioration of creditworthiness as well as concentration of risks. Credit risk is controlled by analysing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit. Refer note 4 for methods, assumptions and information used to measure expected credit losses.

Financial instruments that are subject to credit risk consist of trade receivables, loans, investments, derivative financial instruments, cash and cash equivalents, bank deposits and other financial assets. Loans include Inter-corporate deposits of ₹36 crore placed with two subsidiaries as at March 31, 2025 and NIL as at March 31, 2024, respectively. Bank deposits include an amount of ₹3,692 crore held with two banks and ₹2,500 crore held with two banks, having high credit rating which are individually in excess of 10% or more of the Company's total bank deposits as at March 31, 2025 and 2024, respectively. None of the other financial instruments of the Company result in material concentration of credit risk.

- **Exposure to credit risk**
  The carrying amount of financial assets and contract assets represents the maximum credit exposure. The maximum exposure to credit risk was ₹96,535 crore and ₹90,407 crore as at March 31, 2025 and 2024, respectively, being the total of the carrying amount of balances with banks, bank deposits, investments excluding equity and preference investments, trade receivables, loans, contract assets and other financial assets.

  The Company's exposure to customers is diversified. As at March 31, 2025, a single customer held more than 10% of the outstanding of trade receivables and contract assets at 10.28%. As at March 31, 2024, no single customer held more than 10% of outstanding of trade receivables and contract assets.

- **Geographic concentration of credit risk**
  Geographic concentration of trade receivables (gross and net of allowances) and contract assets is as follows:

	As at March 31, 2025		As at March 31, 2024	
	Gross%	Net%	Gross%	Net%
United States of America	45.08	45.80	52.31	53.20
India	21.98	20.68	13.22	11.68
United Kingdom	15.62	15.88	16.47	16.78

Geographic concentration of trade receivables (gross and net of allowances) and contract assets is allocated based on the location of the customers.

Notes forming part of Standalone Financial Statements

The allowance for lifetime expected credit losses on trade receivables for the years ended March 31, 2025 and 2024 was ₹62 crore and ₹88 crore, respectively. The reconciliation of allowance for expected credit losses is as follows:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Balance at the beginning of the year	**1,088**	**1,099**
Change during the year	62	88
Bad debts written off	-	(98)
Translation exchange difference	1	(1)
Balance at the end of the year	**1,151**	**1,088**

Liquidity risk

Liquidity risk refers to the risk that the Company cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements. The Company consistently generated sufficient cash flows from operations to meet its financial obligations including lease liabilities as and when they fall due.

The tables below provide details regarding the contractual maturities of significant financial liabilities as at:

(₹ crore)

March 31, 2025	Due in 1st year	Due in 2nd year	Due in 3rd to 5th year	Due after 5th year	Total
Non-derivative financial liabilities					
Trade payables	17,483	-	-	-	17,483
Lease liabilities	1,602	1,401	3,255	4,019	10,277
Other financial liabilities	6,418	217	409	-	7,044
	25,503	**1,618**	**3,664**	**4,019**	**34,804**
Derivative financial liabilities	146	-	-	-	146
	25,649	**1,618**	**3,664**	**4,019**	**34,950**

(₹ crore)

March 31, 2024	Due in 1st year	Due in 2nd year	Due in 3rd to 5th year	Due after 5th year	Total
Non-derivative financial liabilities					
Trade payables	14,599	-	-	-	14,599
Lease liabilities	1,421	1,264	2,671	2,696	8,052
Other financial liabilities	6,182	39	262	19	6,502
	22,202	**1,303**	**2,933**	**2,715**	**29,153**
Derivative financial liabilities	109	-	-	-	109
	22,311	**1,303**	**2,933**	**2,715**	**29,262**

TATA

Notes forming part of Standalone Financial Statements

(n) Equity instruments

The authorised, issued, subscribed and fully paid up share capital consist of the following:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Authorised		
460,05,00,000 equity shares of ₹1 each	460	460
(March 31, 2024: 460,05,00,000 equity shares of ₹1 each)		
105,02,50,000 preference shares of ₹1 each	105	105
(March 31, 2024: 105,02,50,000 preference shares of ₹1 each)		
	565	**565**
Issued, Subscribed and Fully paid up		
361,80,87,518 equity shares of ₹1 each	362	362
(March 31, 2024: 361,80,87,518 equity shares of ₹1 each)		
	362	**362**

The Company's objective for capital management is to maximise shareholder value, safeguard business continuity and support the growth of the Company. The Company determines the capital requirement based on annual operating plans and long-term and other strategic investment plans. The funding requirements are met through equity and operating cash flows generated. The Company is not subject to any externally imposed capital requirements.

The Company bought back 4,09,63,855 equity shares for an aggregate amount of ₹17,000 crore being 1.12% of the total paid up equity share capital at ₹4,150 per equity share in the previous year. The equity shares bought back were extinguished on December 13, 2023.

I. Reconciliation of number of shares

	Year ended March 31, 2025		Year ended March 31, 2024	
	Number of shares	Amount (₹ crore)	Number of shares	Amount (₹ crore)
Equity shares				
Opening balance	**361,80,87,518**	**362**	**365,90,51,373**	**366**
Shares extinguished on buy-back	-	-	(4,09,63,855)	(4)
Closing balance	**361,80,87,518**	**362**	**361,80,87,518**	**362**

II. Rights, preferences and restrictions attached to shares

The Company has one class of equity shares having a par value of ₹1 each. Each shareholder is eligible for one vote per share held and carry a right to dividend. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend. In the event of liquidation, the equity shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to their shareholding.

Notes forming part of Standalone Financial Statements

III. Shares held by Holding Company, its Subsidiaries and Associates

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Equity shares		
Holding company		
259,54,99,419 equity shares (March 31, 2024: 259,54,99,419 equity shares) are held by Tata Sons Private Limited	260	260
Subsidiaries and Associates of Holding company		
7220 equity shares (March 31, 2024: 7,220 equity shares) are held by Tata Industries Limited*	-	-
10,04,425 equity shares (March 31, 2024: 10,04,425 equity shares) are held by Tata Investment Corporation Limited*	-	-
46,798 equity shares (March 31, 2024: 46,798 equity shares) are held by Tata Steel Limited*	-	-
766 equity shares (March 31, 2024: 766 equity shares) are held by The Tata Power Company Limited*	-	-
	260	**260**

*Equity shares having value less than ₹0.50 crore.

IV. Details of shares held by shareholders holding more than 5% of the aggregate shares in the Company

	As at March 31, 2025	As at March 31, 2024
Equity shares		
Tata Sons Private Limited, the holding company	259,54,99,419	259,54,99,419
% of shareholding	71.74%	71.74%

V. Equity shares movement during five years preceding March 31, 2025

Equity shares extinguished on buy-back

The Company bought back 4,09,63,855 equity shares for an aggregate amount of ₹17,000 crore being 1.12% of the total paid up equity share capital at ₹4,150 per equity share. The equity shares bought back were extinguished on December 13, 2023.

The Company bought back 4,00,00,000 equity shares for an aggregate amount of ₹18,000 crore being 1.08% of the total paid up equity share capital at ₹4,500 per equity share. The equity shares bought back were extinguished on March 29, 2022.

The Company bought back 5,33,33,333 equity shares for an aggregate amount of ₹16,000 crore being 1.42% of the total paid up equity share capital at ₹3,000 per equity share. The equity shares bought back were extinguished on January 6, 2021.

VI. Disclosure of Shareholding of Promoters

Disclosure of shareholding of promoters as at March 31, 2025 is as follows:

Promoter name	Shares held by promoters				% Change during the year
	As at March 31, 2025		As at March 31, 2024		
	No. of shares	% of total shares	No. of shares	% of total shares	
Tata Sons Private Limited	259,54,99,419	71.74%	259,54,99,419	71.74%	-
Total	**259,54,99,419**	**71.74%**	**259,54,99,419**	**71.74%**	**-**

Notes forming part of Standalone Financial Statements

Disclosure of shareholding of promoters as at March 31, 2024 is as follows:

Promoter name	Shares held by promoters				% Change during the year
	As at March 31, 2024		As at March 31, 2023		
	No. of shares	% of total shares	No. of shares	% of total shares	
Tata Sons Private Limited	259,54,99,419	71.74%	264,43,17,117	72.27%	(0.53)%
Total	**259,54,99,419**	**71.74%**	**264,43,17,117**	**72.27%**	**(0.53)%**

7) Leases

A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Company as a lessee

The Company accounts for each lease component within the contract as a lease separately from non-lease components of the contract and allocates the consideration in the contract to each lease component on the basis of the relative standalone price of the lease component and the aggregate standalone price of the non-lease components.

The Company recognises right-of-use asset representing its right to use the underlying asset for the lease term at the lease commencement date. The cost of the right-of-use asset measured at inception shall comprise of the amount of the initial measurement of the lease liability adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred and an estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset or restoring the underlying asset or site on which it is located. The right-of-use asset is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use asset is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognised in the statement of profit and loss.

The Company measures the lease liability at the present value of the lease payments that are not paid at the commencement date of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Company uses incremental borrowing rate. For leases with reasonably similar characteristics, the Company, on a lease-by-lease basis, may adopt either the incremental borrowing rate specific to the lease or the incremental borrowing rate for the portfolio as a whole. The lease payments shall include fixed payments, variable lease payments, residual value guarantees, exercise price of a purchase option where the Company is reasonably certain to exercise that option and payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made and remeasuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in-substance fixed lease payments. The Company recognises the amount of the re-measurement of lease liability due to modification as an adjustment to the right-of-use asset and statement of profit and loss depending upon the nature of modification. Where the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Company recognises any remaining amount of the re-measurement in statement of profit and loss.

The Company has elected not to apply the requirements of Ind AS 116- Leases to short-term leases of all assets that have a lease term of 12 months or less and leases for which the underlying asset is of low value. The lease payments associated with these leases are recognised as an expense on a straight-line basis over the lease term.

Company as a lessor

At the inception of the lease the Company classifies each of its leases as either an operating lease or a finance lease. The Company recognises lease payments received under operating leases as income on a straight-line basis over the lease term. In case of a finance lease, finance income is recognised over the lease term based on a pattern reflecting a constant periodic rate of return on the lessor's net investment in the lease. When the Company is an intermediate lessor it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Company applies the exemption described above, then it classifies the sub-lease as an operating lease.

If an arrangement contains lease and non-lease components, the Company applies Ind AS 115- Revenue from contracts with customers to allocate the consideration in the contract.

Notes forming part of Standalone Financial Statements

The details of the right-of-use assets held by the Company is as follows:

(₹ crore)

	Additions for the year ended March 31, 2025	Net carrying amount as at March 31, 2025
Leasehold land	-	917
Buildings	2,736	6,494
Leasehold improvement	41	38
Computer equipment	-	117
Software licences	-	31
Vehicles	1	2
Furniture and fixtures	-	2
	2,778	**7,601**

(₹ crore)

	Additions for the year ended March 31, 2024	Net carrying amount as at March 31, 2024
Leasehold land	-	928
Buildings	1,489	5,010
Leasehold improvement	-	1
Computer equipment	124	152
Software licences	-	60
Vehicles	1	1
Furniture and fixtures	2	2
	1,616	**6,154**

Depreciation on right-of-use assets is as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Leasehold land	11	11
Buildings	1,201	1,079
Leasehold improvement	4	1
Computer equipment	35	21
Software licences	29	36
Vehicles	-*	-*
Furniture and fixtures	-*	-*
	1,280	**1,148**

*Represents value less than ₹0.50 crore.

Changes in lease liabilities are as follows:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Balance as at beginning of the year	**6,145**	**5,659**
Additions during the year	2,548	1,543
Repayment of lease liabilities during the year	(1,112)	(1,061)
Other non-cash movements	(35)	(11)
Translation exchange difference	31	15
Balance as at end of the year	**7,577**	**6,145**

Notes forming part of Standalone Financial Statements

Interest on lease liabilities is ₹556 crore and ₹438 crore for the years ended March 31, 2025 and 2024, respectively.

The Company incurred ₹199 crore and ₹221 crore for the years ended March 31, 2025 and 2024, respectively, towards expenses relating to short-term leases and leases of low-value assets.

The total cash outflow for leases is ₹1,961 crore and ₹1,737 crore for the years ended March 31, 2025 and 2024, respectively, including cash outflow for short term leases and leases of low-value assets.

The Company has lease term extension options that are not reflected in the measurement of lease liabilities. The present value of future cash outflows for such extension periods is ₹943 crore and ₹815 crore as at March 31, 2025 and 2024, respectively.

Lease contracts entered by the Company majorly pertain for buildings taken on lease to conduct its business in the ordinary course.

The Company does not have any lease restrictions and commitment towards variable rent as per the contract.

8) Non-financial assets and non-financial liabilities

(a) Property, plant and equipment

The Company recognises the cost of an item of property, plant and equipment as an asset if, and only if it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can measured reliably.

Property, plant and equipment are stated at cost comprising of purchase price and any initial directly attributable cost of bringing the asset to its working condition for its intended use, less accumulated depreciation (other than freehold land) and impairment loss, if any.

Depreciation is provided for property, plant and equipment on a straight-line basis so as to expense the cost less residual value over their estimated useful lives as prescribed in Schedule II of the Companies Act, 2013 except in respect of certain categories of assets, where the useful life of the assets has been assessed based on a technical evaluation. The estimated useful lives and residual values are reviewed at the end of each reporting period, with the effect of any change in estimate accounted for on a prospective basis.

The estimated useful lives are as mentioned below:

Type of asset	Useful lives
Buildings	20 years*
Leasehold improvements	Lease term
Plant and equipment	10 years*
Computer equipment	4 years*
Vehicles	4 years*
Office equipment	2-5 years*
Electrical installations	4-10 years*
Furniture and fixtures	5 years*

*The Company believes that the technically evaluated useful lives, different from Schedule II of the Companies Act, 2013, best represent the period over which these assets are expected to be used.

Depreciation is not recorded on capital work-in-progress until construction and installation are complete and the asset is ready for its intended use.

Property, plant and equipment with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

The carrying amount of an item of property, plant and equipment shall be derecognised on disposal or when no future economic benefits are expected from its use or disposal.

Notes forming part of Standalone Financial Statements

Property, plant and equipment consist of the following:

(₹ crore)

	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2024	**323**	**8,163**	**1,968**	**861**	**11,435**	**43**	**2,611**	**1,968**	**1,690**	**29,062**
Additions	-	467	46	118	1,085	11	225	149	153	2,254
Disposals	-	(1)	(21)	-	(619)	(3)	(45)	(13)	(10)	(712)
Cost as at March 31, 2025	**323**	**8,629**	**1,993**	**979**	**11,901**	**51**	**2,791**	**2,104**	**1,833**	**30,604**
Accumulated depreciation as at April 1, 2024	**-**	**(4,078)**	**(1,408)**	**(526)**	**(9,287)**	**(35)**	**(2,332)**	**(1,576)**	**(1,484)**	**(20,726)**
Depreciation	-	(412)	(112)	(88)	(1,271)	(5)	(146)	(121)	(86)	(2,241)
Disposals	-	1	21	-	616	3	45	13	10	709
Accumulated depreciation as at March 31, 2025	**-**	**(4,489)**	**(1,499)**	**(614)**	**(9,942)**	**(37)**	**(2,433)**	**(1,684)**	**(1,560)**	**(22,258)**
Net carrying amount as at March 31, 2025	**323**	**4,140**	**494**	**365**	**1,959**	**14**	**358**	**420**	**273**	**8,346**
Capital work-in-progress										1,318
Total										**9,664**

(₹ crore)

	Freehold land	Buildings	Leasehold improvements	Plant and equipment	Computer equipment	Vehicles	Office equipment	Electrical installations	Furniture and fixtures	Total
Cost as at April 1, 2023	**323**	**7,966**	**1,925**	**808**	**10,947**	**40**	**2,492**	**1,926**	**1,553**	**27,980**
Additions	-	201	94	55	718	6	154	79	143	1,450
Disposals	-	(4)	(51)	(2)	(230)	(3)	(35)	(37)	(6)	(368)
Cost as at March 31, 2024	**323**	**8,163**	**1,968**	**861**	**11,435**	**43**	**2,611**	**1,968**	**1,690**	**29,062**
Accumulated depreciation as at April 1, 2023	**-**	**(3,675)**	**(1,340)**	**(444)**	**(8,179)**	**(34)**	**(2,217)**	**(1,488)**	**(1,417)**	**(18,794)**
Depreciation	-	(407)	(119)	(83)	(1,336)	(4)	(149)	(123)	(73)	(2,294)
Disposals	-	4	51	1	228	3	34	35	6	362
Accumulated depreciation as at March 31, 2024	**-**	**(4,078)**	**(1,408)**	**(526)**	**(9,287)**	**(35)**	**(2,332)**	**(1,576)**	**(1,484)**	**(20,726)**
Net carrying amount as at March 31, 2024	**323**	**4,085**	**560**	**335**	**2,148**	**8**	**279**	**392**	**206**	**8,336**
Capital work-in-progress										1,450
Total										**9,786**

Notes forming part of Standalone Financial Statements

Capital work-in-progress

- **Changes in capital work-in-progress are as follows:**

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Balance at the beginning of the year	**1,450**	**1,103**
Additions during the year	2,122	1,797
Capitalised during the year	(2,254)	(1,450)
Balance at the end of the year	**1,318**	**1,450**

- **Capital work-in-progress ageing**

Ageing for capital work-in-progress as at March 31, 2025 is as follows:

(₹ crore)

Capital work-in-progress	Amount in Capital work-in-progress for a period of				Total
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Projects in progress	878	222	70	148	1,318
	878	**222**	**70**	**148**	**1,318**

Ageing for capital work-in-progress as at March 31, 2024 is as follows:

(₹ crore)

Capital work-in-progress	Amount in Capital work-in-progress for a period of				Total
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Projects in progress	919	145	53	333	1,450
	919	**145**	**53**	**333**	**1,450**

Project execution plans are modulated basis capacity requirement assessment on an annual basis and all the projects are executed as per rolling annual plan.

(b) Intangible assets

Intangible assets purchased are measured at cost as at the date of acquisition, as applicable, less accumulated amortisation and accumulated impairment, if any.

Intangible assets consist of rights under licensing agreement and software licences which are amortised over licence period which equates the economic useful life ranging between 1-5 years on a straight-line basis over the period of its economic useful life.

Intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

Notes forming part of Standalone Financial Statements

Intangible assets consist of the following:

(₹ crore)

	Rights under licensing agreement and software licences
Cost as at April 1, 2024	**1,818**
Additions	1,114
Disposals / Derecognised	(158)
Cost as at March 31, 2025	**2,774**
Accumulated amortisation as at April 1, 2024	**(1,355)**
Amortisation	(699)
Disposals / Derecognised	158
Accumulated amortisation as at March 31, 2025	**(1,896)**
Net carrying amount as at March 31, 2025	**878**

(₹ crore)

	Rights under licensing agreement and software licences
Cost as at April 1, 2023	**1,727**
Additions	99
Disposals / Derecognised	(8)
Cost as at March 31, 2024	**1,818**
Accumulated amortisation as at April 1, 2023	**(918)**
Amortisation	(445)
Disposals / Derecognised	8
Accumulated amortisation as at March 31, 2024	**(1,355)**
Net carrying amount as at March 31, 2024	**463**

The estimated amortisation for the years subsequent to March 31, 2025 is as follows:

(₹ crore)

Year ending March 31,	Amortisation expense
2026	727
2027	105
2028	38
2029	8
	878

Notes forming part of Standalone Financial Statements

(c) Other assets

Other assets consist of the following:

Other assets – Non-current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Considered good		
Capital advances	180	88
Advances to related parties	226	196
Contract assets	171	206
Prepaid expenses	2,013	2,223
Contract fulfillment costs	132	129
Others	178	174
	2,900	**3,016**
Advances to related parties, considered good, comprise:		
Tata Realty and Infrastructure Limited	-*	-*
Tata Projects Limited	224	191
Titan Engineering and Automation Limited	2	3
Universal MEP Projects & Engineering Services Limited	-*	2

*Represents value less than ₹0.50 crore.

Other assets – Current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Considered good		
Advance to suppliers	152	109
Advance to related parties	1,560	1,023
Contract assets	5,351	4,998
Prepaid expenses	2,136	1,839
Contract fulfillment costs	1,557	995
Indirect taxes recoverable	1,700	1,152
Others	242	281
Considered doubtful		
Advance to suppliers	2	2
Other advances	2	2
Less: Allowance for doubtful assets	(4)	(4)
	12,698	**10,397**
Advance to related parties, considered good comprise:		
Tata AIG General Insurance Company Limited	1	7
Titan Company Limited	1	-
Tejas Networks Limited	1,460	960
Tata Consultancy Services Deutschland GmbH	18	12
Tata Consultancy Services De Mexico, S.A. De C.V.	5	3
Tata Consultancy Services (South Africa) (Proprietary) Limited	1	1
Tata Consultancy Services Do Brasil Ltda.	2	1
Tata Consultancy Services Italia S.R.L.	1	1
Tata Consultancy Services Japan, Ltd.	7	2
Tata America International Corporation	62	35
Tata Consultancy Services (China) Co., Ltd.	2	1

Non-current – Others includes advance of ₹177 crore and ₹174 crore towards acquiring right-of-use of leasehold land as at March 31, 2025 and 2024, respectively.

Notes forming part of Standalone Financial Statements

Contract fulfillment costs of ₹659 crore and ₹464 crore for the years ended March 31, 2025 and 2024 respectively, have been amortised in the standalone statement of profit and loss. Refer note 10 for the changes in contract assets.

(d) Inventories

Inventories consists of a) Raw materials, sub-assemblies and components, b) Work-in-progress, c) Stores and spare parts and d) Finished goods. Inventories are carried at lower of cost and net realisable value. The cost of raw materials, sub-assemblies and components is determined on a weighted average basis. Cost of finished goods produced or purchased by the Company includes direct material and labour cost and a proportion of manufacturing overheads.

Inventories consist of the following:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Raw materials, sub-assemblies and components	19	27
Finished goods and work-in-progress	1	-*
	20	**27**

*Represents value less than ₹0.50 crore.

(e) Other liabilities

Other liabilities consist of the following:

Other liabilities – Current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Advance received from customers	1,815	1,757
Indirect taxes payable and other statutory liabilities	2,826	2,350
Others	469	351
	5,110	**4,458**

(f) Provisions

Provisions consist of the following:

Provisions – Current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Provision for foreseeable loss	91	70
Other provisions	1	1
	92	**71**

Notes forming part of Standalone Financial Statements

9) Other equity

Other equity consist of the following:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Capital reserve*	**-**	**-**
Capital redemption reserve		
Opening balance	**21**	**17**
Transfer from retained earnings	-	4
	21	**21**
Special Economic Zone re-investment reserve		
Opening balance	**16,234**	**11,809**
Transfer from retained earnings	-	9,875
Transfer to retained earnings	(15,149)	(5,450)
	1,085	**16,234**
Retained earnings		
Opening balance	**55,173**	**62,228**
Profit for the year	48,057	43,559
Remeasurement of defined employee benefit plans	(135)	(47)
Expenses for buy-back of equity shares	-	(46)
Tax on buy-back of equity shares	-	(3,959)
Buy-back of equity shares	-	(16,996)
Transfer from Special Economic Zone re-investment reserve	15,149	5,450
	1,18,244	**90,189**
Less: Appropriations		
Dividend on equity shares	44,864	25,137
Transfer to capital redemption reserve	-	4
Transfer to Special Economic Zone re-investment reserve	-	9,875
	73,380	**55,173**
Investment revaluation reserve		
Opening balance	**339**	**138**
Change during the year (net)	445	201
	784	**339**
Cash flow hedging reserve (Refer note 6(l))		
Opening balance	**(9)**	**(20)**
Change during the year (net)	(6)	11
	(15)	**(9)**
	75,255	**71,758**

*Represents value less than ₹0.50 crore.

10) Revenue recognition

The Company earns revenue primarily from providing IT services, consulting and business solutions. The Company offers a consulting-led, cognitive powered, integrated portfolio of IT, business and engineering services and solutions.

Revenue is recognised upon transfer of control of promised products or services to customers in an amount that reflects the consideration which the Company expects to receive in exchange for those products or services.

- Revenue from time and material and job contracts is recognised on output basis measured by units delivered, efforts expended, number of transactions processed, etc.

Notes forming part of Standalone Financial Statements

- Revenue related to fixed price maintenance and support services contracts where the Company is standing ready to provide services is recognised based on time elapsed mode and revenue is straight-lined over the period of performance.
- In respect of other fixed-price contracts, revenue is recognised using percentage-of-completion method ('POC method') of accounting with contract costs incurred determining the degree of completion of the performance obligation. The contract costs used in computing the revenues include cost of fulfilling warranty obligations.
- Revenue from the sale of distinct internally developed software and manufactured systems and third party software is recognised upfront at the point in time when the system / software is delivered to the customer. In cases where implementation and / or customisation services rendered significantly modifies or customises the software, these services and software are accounted for as a single performance obligation and revenue is recognised over time on a POC method.
- Revenue from the sale of distinct third party hardware is recognised at the point in time when control is transferred to the customer.
- The solutions offered by the Company may include supply of third-party equipment or software. In such cases, revenue for supply of such third party products are recorded at gross or net basis depending on whether the Company is acting as the principal or as an agent of the customer. The Company recognises revenue in the gross amount of consideration when it is acting as a principal and at net amount of consideration when it is acting as an agent.

Revenue is measured based on the transaction price, which is the consideration, adjusted for volume discounts, service level credits, performance bonuses, price concessions and incentives, if any, as specified in the contract with the customer. Revenue also excludes taxes collected from customers.

The Company's contracts with customers could include promises to transfer multiple products and services to a customer. The Company assesses the products / services promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligation involves judgement to determine the deliverables and the ability of the customer to benefit independently from such deliverables.

Judgement is also required to determine the transaction price for the contract and to ascribe the transaction price to each distinct performance obligation. The transaction price could be either a fixed amount of customer consideration or variable consideration with elements such as volume discounts, service level credits, performance bonuses, price concessions and incentives. The transaction price is also adjusted for the effects of the time value of money if the contract includes a significant financing component. Any consideration payable to the customer is adjusted to the transaction price, unless it is a payment for a distinct product or service from the customer. The estimated amount of variable consideration is adjusted in the transaction price only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur and is reassessed at the end of each reporting period. The Company allocates the elements of variable considerations to all the performance obligations of the contract unless there is observable evidence that they pertain to one or more distinct performance obligations.

The Company exercises judgement in determining whether the performance obligation is satisfied at a point in time or over a period of time. The Company considers indicators such as how customer consumes benefits as services are rendered or who controls the asset as it is being created or existence of enforceable right to payment for performance to date and alternate use of such product or service, transfer of significant risks and rewards to the customer, acceptance of delivery by the customer, etc.

Revenue from subsidiaries is recognised based on transaction price which is at arm's length.

Contract fulfilment costs are generally expensed as incurred except for certain software licence costs which meet the criteria for capitalisation. Such costs are amortised over the contractual period or useful life of licence, whichever is less. The assessment of this criteria requires the application of judgement, in particular when considering if costs generate or enhance resources to be used to satisfy future performance obligations and whether costs are expected to be recovered.

Contract assets are recognised when there are excess of revenues earned over billings on contracts. Contract assets are classified as unbilled receivables (only act of invoicing is pending) when there is unconditional right to receive cash, and only passage of time is required, as per contractual terms.

Unearned and deferred revenue ("contract liability") is recognised when there are billings in excess of revenues.

The billing schedules agreed with customers include periodic performance based payments and / or milestone based progress payments. Invoices are payable within contractually agreed credit period.

Notes forming part of Standalone Financial Statements

In accordance with Ind AS 37, the Company recognises an onerous contract provision when the unavoidable costs of meeting the obligations under a contract exceed the economic benefits to be received.

Contracts are subject to modification to account for changes in contract specification and requirements. The Company reviews modification to contract in conjunction with the original contract, basis which the transaction price could be allocated to a new performance obligation, or transaction price of an existing obligation could undergo a change. In the event transaction price is revised for existing obligation, a cumulative adjustment is accounted for.

The Company disaggregates revenue from contracts with customers by nature of services, industry verticals and geography.

Revenue disaggregation by nature of services is as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Consultancy services	2,12,130	2,00,054
Sale of equipment and software licences	2,723	2,305
	2,14,853	**2,02,359**

Revenue disaggregation by industry vertical is as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Banking, Financial Services and Insurance	74,290	71,349
Manufacturing	20,077	18,854
Consumer Business	35,145	34,612
Communication, Media and Technology	41,641	35,061
Life Sciences and Healthcare	23,848	24,352
Others	19,852	18,131
	2,14,853	**2,02,359**

Revenue disaggregation by geography is as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Americas (1)	1,15,880	1,16,065
Europe (2)	59,339	56,330
India	21,471	13,105
Others	18,163	16,859
	2,14,853	**2,02,359**

Geographical revenue is allocated based on the location of the customers.

- (1) includes revenue in the United States of America of ₹1,11,607 crore and ₹1,11,862 crore for the years ended March 31, 2025 and 2024, respectively.
- (2) includes revenue in the United Kingdom of ₹38,104 crore and ₹35,625 crore for the years ended March 31, 2025 and 2024, respectively.

Information about major customers
No single customer represents 10% or more of the Company's total revenue during the years ended March 31, 2025 and 2024.

While disclosing the aggregate amount of transaction price yet to be recognised as revenue towards unsatisfied (or partially satisfied) performance obligations, along with the broad time band for the expected time to recognise those revenues, the Company has applied the practical expedient in Ind AS 115. Accordingly, the Company has not disclosed the aggregate transaction price allocated to unsatisfied (or partially satisfied) performance obligations which pertain to contracts where revenue recognised corresponds to the value transferred to customer typically involving time and material, outcome based and event based contracts.

Notes forming part of Standalone Financial Statements

Unsatisfied (or partially satisfied) performance obligations are subject to variability due to several factors such as terminations, changes in scope of contracts, periodic revalidations of the estimates, economic factors (changes in currency rates, tax laws etc). The aggregate value of transaction price allocated to unsatisfied (or partially satisfied) performance obligations is ₹1,55,554 crore out of which 46.47% is expected to be recognised as revenue in the next year and the balance thereafter. No consideration from contracts with customers is excluded from the amount mentioned above.

Changes in contract assets are as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Balance at the beginning of the year	**5,204**	**4,831**
Invoices raised that were included in the contract assets balance at the beginning of the year	(3,834)	(3,278)
Increase due to revenue recognised during the year, excluding amounts billed during the year	4,046	3,595
Translation exchange difference	106	56
Balance at the end of the year	**5,522**	**5,204**

Changes in unearned and deferred revenue are as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Balance at the beginning of the year	**3,037**	**3,604**
Revenue recognised that was included in the contract liability balance at the beginning of the year	(2,779)	(3,110)
Increase due to invoicing during the year, excluding amounts recognised as revenue during the year	3,593	2,541
Translation exchange difference	15	2
Balance at the end of the year	**3,866**	**3,037**

Reconciliation of revenue recognised with the contracted price is as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Contracted price	2,18,138	2,05,717
Reductions towards variable consideration components	(3,285)	(3,358)
Revenue recognised	**2,14,853**	**2,02,359**

The reduction towards variable consideration comprises of volume discounts, service level credits, etc.

Notes forming part of Standalone Financial Statements

11) Other income

Dividend income is recorded when the right to receive payment is established. Interest income is recognised using the effective interest method.

Other income consist of the following:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Interest income	2,865	3,382
Dividend income	6,132	3,296
Net gain on disposal / fair valuation of investments carried at fair value through profit or loss	215	253
Net gain on sale of investments other than equity shares carried at fair value through OCI	10	11
Net gain on disposal of property, plant and equipment	20	8
Net gain on lease modification	10	2
Net foreign exchange gain	314	243
Rent income	23	25
Other income	53	53
	9,642	**7,273**
Interest income comprise:		
Interest on bank balances and bank deposits	496	412
Interest on financial assets carried at amortised cost	192	347
Interest on financial assets carried at fair value through OCI	2,114	2,198
Other interest (including interest on tax refunds)	63	425
Dividend income comprise:		
Dividend from subsidiaries	6,132	3,296

12) Employee benefits

Defined benefit plans

For defined benefit plans, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuations being carried out at each balance sheet date. Remeasurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling and the return on plan assets (excluding interest), is reflected immediately in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur. Past service cost, both vested and unvested, is recognised as an expense at the earlier of (a) when the plan amendment or curtailment occurs; and (b) when the entity recognises related restructuring costs or termination benefits.

The retirement benefit obligations recognised in the balance sheet represents the present value of the defined benefit obligations reduced by the fair value of scheme assets. Any asset resulting from this calculation is limited to the present value of available refunds and reductions in future contributions to the scheme.

The Company provides benefits such as gratuity, pension and provident fund (Company managed fund) to its employees which are treated as defined benefit plans.

Defined contribution plans

Contributions to defined contribution plans are recognised as expense when employees have rendered services entitling them to such benefits.

The Company provides benefits such as superannuation and foreign defined contribution plans to its employees which are treated as defined contribution plans.

Notes forming part of Standalone Financial Statements

Short-term employee benefits

All employee benefits payable wholly within twelve months of rendering the service are classified as short-term employee benefits. Benefits such as salaries, wages etc. and the expected cost of ex-gratia are recognised in the period in which the employee renders the related service. A liability is recognised for the amount expected to be paid when there is a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Compensated absences

Compensated absences which are expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as undiscounted liability at the balance sheet date. Compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as an actuarially determined liability at the present value of the defined benefit obligations at the balance sheet date using the Projected Unit Credit Method.

Employee benefit expenses consist of the following:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Salaries, incentives and allowances	96,537	93,257
Contributions to provident and other funds	7,646	7,099
Staff welfare expenses	3,117	2,783
	1,07,300	**1,03,139**

Employee benefit obligations consist of the following:

Employee benefit obligations – Non-current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Foreign defined benefit plans	34	29
Other employee benefit obligations	152	115
	186	**144**

Employee benefit obligations – Current

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Compensated absences	3,581	3,300
Other employee benefit obligations	40	32
	3,621	**3,332**

Employee benefit plans consist of the following:

Gratuity and pension

In accordance with Indian law, the Company operates a scheme of gratuity which is a defined benefit plan. The gratuity plan provides for a lump sum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 to 30 days' salary payable for each completed year of service. Vesting occurs upon completion of five continuous years of service. The Company manages the plan through a trust. Trustees administer contributions made to the trust. Certain overseas branches of the Company also provide for retirement benefit plans in accordance with the local laws.

Notes forming part of Standalone Financial Statements

The following table sets out the details of the defined benefit retirement plans and the amounts recognised in the financial statements:

(₹ crore)

	Year ended March 31, 2025				Year ended March 31, 2024			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Change in benefit obligations								
Benefit obligations, beginning of the year	**5,273**	**1**	**29**	**5,303**	**4,643**	**1**	**28**	**4,672**
Translation exchange difference	-	-	1	1	-	-	-	-
Changes due to inter-company transfers	-	-	-	-	1	-	-	1
Service cost	532	-	4	536	481	-	4	485
Interest cost	392	-	2	394	361	-	1	362
Remeasurement of the defined benefit obligations	318	-	3	321	168	-	2	170
Benefits paid	(362)	-	(5)	(367)	(381)	-	(6)	(387)
Benefit obligations, end of the year	**6,153**	**1**	**34**	**6,188**	**5,273**	**1**	**29**	**5,303**

(₹ crore)

	Year ended March 31, 2025				Year ended March 31, 2024			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Change in plan assets								
Fair value of plan assets, beginning of the year	**7,214**	**1**	**-**	**7,215**	**6,389**	**1**	**-**	**6,390**
Changes due to inter-company transfers	-	-	-	-	1	-	-	1
Interest income	527	-	-	527	500	-	-	500
Employers' contributions	361	-	-	361	595	-	-	595
Benefits paid	(362)	-	-	(362)	(381)	-	-	(381)
Remeasurement- return on plan assets excluding amount included in interest income	141	-	-	141	110	-	-	110
Fair value of plan assets, end of the year	**7,881**	**1**	**-**	**7,882**	**7,214**	**1**	**-**	**7,215**

(₹ crore)

	As at March 31, 2025				As at March 31, 2024			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Funded status								
Deficit of plan assets over obligations	-	-	(34)	(34)	-	-	(29)	(29)
Surplus of plan assets over obligations	1,728	-	-	1,728	1,941	-	-	1,941
	1,728	**-**	**(34)**	**1,694**	**1,941**	**-**	**(29)**	**1,912**

Notes forming part of Standalone Financial Statements

(₹ crore)

	As at March 31, 2025				As at March 31, 2024			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Category of assets								
Corporate bonds	2,023	-	-	2,023	1,960	-	-	1,960
Equity instruments	267	-	-	267	201	-	-	201
Government bonds and securities	3,559	-	-	3,559	3,172	-	-	3,172
Insurer managed funds	1,871	1	-	1,872	1,729	1	-	1,730
Bank balances	4	-	-	4	10	-	-	10
Others	157	-	-	157	142	-	-	142
	7,881	**1**	**-**	**7,882**	**7,214**	**1**	**-**	**7,215**

Net periodic gratuity cost, included in employee cost consists of the following components:

(₹ crore)

	Year ended March 31, 2025				Year ended March 31, 2024			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Service cost	532	-	4	536	481	-	4	485
Net interest on defined benefit (assets) / obligations	(135)	-	2	(133)	(139)	-	1	(138)
Net periodic gratuity cost	**397**	**-**	**6**	**403**	**342**	**-**	**5**	**347**
Actual return on plan assets	**668**	**-**	**-**	**668**	**610**	**-**	**-**	**610**

Remeasurement of the net defined benefit (assets) / obligations:

(₹ crore)

	Year ended March 31, 2025			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Actuarial losses arising from changes in demographic assumptions	12	-	-	12
Actuarial losses arising from changes in financial assumptions	221	-	-	221
Actuarial losses arising from changes in experience adjustments	85	-	3	88
Remeasurement of the defined benefit obligations	**318**	**-**	**3**	**321**
Remeasurement- return on plan assets excluding amount included in interest income	(141)	-	-	(141)
	177	**-**	**3**	**180**

Notes forming part of Standalone Financial Statements

(₹ crore)

	Year ended March 31, 2024			
	Domestic plans funded	Foreign plans funded	Foreign plans unfunded	Total
Actuarial gains arising from changes in demographic assumptions	(2)	-	-	(2)
Actuarial losses arising from changes in financial assumptions	66	-	-	66
Actuarial losses arising from changes in experience adjustments	104	-	2	106
Remeasurement of the defined benefit obligations	**168**	**-**	**2**	**170**
Remeasurement- return on plan assets excluding amount included in interest income	(110)	-	-	(110)
	58	**-**	**2**	**60**

The assumptions used in accounting for the defined benefit plan are set out below:

	As at March 31, 2025		As at March 31, 2024	
	Domestic plans	Foreign plans	Domestic plans	Foreign plans
Discount rate	6.50%	3.30%-4.50%	7.25%	3.50%-4.80%
Rate of increase in compensation levels of covered employees	6.00%	2.56%-3.87%	6.00%	2.68%-3.63%
Rate of return on plan assets	6.50%	3.30%-4.50%	7.25%	3.50%-4.80%
Weighted average duration of defined benefit obligations	6 Years	3-6 Years	6 Years	3-6 Years

Future mortality assumptions are taken based on the published statistics by the Insurance Regulatory and Development Authority of India.

The expected benefits are based on the same assumptions as are used to measure the Company's defined benefit plan obligations as at March 31, 2025. The Company does not expect to contribute to defined benefit plan obligations funds for year ending March 31, 2026 in view of adequate surplus plan assets as at March 31, 2025.

The significant actuarial assumptions for the determination of the defined benefit obligations are discount rate and expected salary increase. The sensitivity analysis below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

If the discount rate increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Increase of 0.50%	(155)	(123)
Decrease of 0.50%	163	129

If the expected salary growth increases / decreases by 0.50%, the defined benefit obligations would increase / (decrease) as follows:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Increase of 0.50%	163	130
Decrease of 0.50%	(156)	(125)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Notes forming part of Standalone Financial Statements

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligations has been calculated using the Projected Unit Credit Method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligations recognised in the balance sheet.

Each year an Asset- Liability matching study is performed in which the consequences of the strategic investment policies are analysed in terms of risk and return profiles. Investment and contribution policies are integrated within this study.

The defined benefit obligations shall mature after the year ended March 31, 2025 as follows:

(₹ crore)

Year ending March 31,	Defined benefit obligations
2026	823
2027	736
2028	768
2029	721
2030	669
2031-2035	2,619

Provident fund

In accordance with Indian law, all eligible employees of the Company in India are entitled to receive benefits under the provident fund plan in which both the employee and employer (at a determined rate) contribute monthly to a trust set up by the Company to manage the investments and distribute the amounts entitled to employees. This plan is a defined benefit plan as the Company is obligated to provide its members a rate of return which should, at the minimum, meet the interest rate declared by Government administered provident fund. A part of the Company's contribution is transferred to the Government administered pension fund. The contributions made by the Company and the shortfall of interest, if any, are recognised as an expense in statement of profit and loss under employee benefit expenses. In accordance with an actuarial valuation of provident fund liabilities on the basis of guidance issued by Actuarial Society of India and based on the assumptions as mentioned below, there is no deficiency in the interest cost as the present value of the expected future earnings of the fund is greater than the expected amount to be credited to the individual members based on the expected guaranteed rate of interest of Government administered provident fund.

The following table sets out the details of the defined benefit provident fund plan and the amounts recognised in the financial statements:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Change in benefit obligations		
Benefit obligations, beginning of the year	**29,170**	**25,511**
Employee contribution	2,614	2,543
Service cost	967	920
Interest cost	2,387	2,142
Obligations transferred in	653	801
Benefits paid	(2,814)	(2,747)
Benefit obligations, end of the year	**32,977**	**29,170**

Notes forming part of Standalone Financial Statements

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Change in plan assets		
Plan assets, beginning of the year	**29,326**	**25,834**
Interest income	2,387	2,142
Contributions	3,581	3,463
Assets transferred in	653	801
Benefits paid	(2,814)	(2,747)
Remeasurement- return on plan assets excluding amount included in interest income	(116)	(167)
Plan assets, end of the year	**33,017**	**29,326**

Net periodic provident fund cost, included in the employee cost consists of the following components:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Service cost	967	920
Net periodic provident fund cost	**967**	**920**

The plan asset investment is as per pattern specified by Employee's Provident Fund Organisation with more than 90% of the assets invested in Government bonds and debt instruments.

The assumptions used in determining the present value obligations of interest guarantee under the deterministic approach are as follows:

	As at March 31, 2025	As at March 31, 2024
Discount rate	6.50%	7.25%
Average remaining tenure of investment portfolio	6 Years	6 Years
Guaranteed rate of return	8.25%	8.25%

The Company expensed ₹1,676 crore and ₹1,681 crore for the years ended March 31, 2025 and 2024, respectively, towards provident fund.

Superannuation

All eligible employees on Indian payroll are entitled to benefits under Superannuation, a defined contribution plan. The Company makes monthly contributions until retirement or resignation of the employee. The Company recognises such contributions as an expense when incurred. The Company has no further obligation beyond its monthly contribution.

The Company expensed ₹291 crore and ₹286 crore for the years ended March 31, 2025 and 2024, respectively, towards Employees' Superannuation Fund.

Foreign defined contribution plan

The Company expensed ₹1,458 crore and ₹1,316 crore for the years ended March 31, 2025 and 2024, respectively, towards foreign defined contribution plans.

13) Cost recognition

Costs and expenses are recognised when incurred and have been classified according to their nature.

The costs of the Company are broadly categorised in employee benefit expenses, cost of equipment and software licences, depreciation and amortisation expense and other expenses. Other expenses mainly include fees to external consultants, facility expenses, travel expenses, communication expenses, bad debts and advances written off, allowance for expected credit losses and doubtful advances (net) and other expenses. Other expenses are aggregation of costs which are individually not material such as commission and brokerage, recruitment and training, entertainment, etc.

Notes forming part of Standalone Financial Statements

(a) Cost of equipment and software licences

Cost of equipment and software licences consist of the following:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Raw materials, sub-assemblies and components consumed	49	42
Equipment and software licences purchased	11,324	3,300
	11,373	**3,342**
Finished goods and work-in-progress		
Opening stock	-*	5
Less: Closing stock	1	-*
	(1)	**5**
	11,372	**3,347**

*Represents value less than ₹0.50 crore.

(b) Other expenses

Other expenses consist of the following:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Fees to external consultants	19,617	22,539
Facility expenses	2,793	2,511
Travel expenses	2,581	2,340
Communication expenses	1,589	1,528
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	78	97
Other expenses	11,594	11,011
	38,252	**40,026**

Other expenses include ₹4,722 crore and ₹5,118 crore for the years ended March 31, 2025 and 2024, respectively, towards sales, marketing and advertisement expenses and ₹3,089 crore and ₹3,655 crore for the years ended March 31, 2025 and 2024, respectively, towards project expenses.

The Company made a contribution to an electoral trust of ₹218 crore and NIL for the years ended March 31, 2025 and 2024, respectively, which is included in other expenses.

(c) Corporate Social Responsibility (CSR) expenditure

(₹ crore)

		Year ended March 31, 2025	Year ended March 31, 2024
1	Amount required to be spent by the company during the year	954	818
2	Amount approved by the Board	962	862
3	Amount of expenditure incurred on:		
	(i) Construction/acquisition of any asset	-	-
	(ii) On purposes other than (i) above	960	827
4	Shortfall at the end of the year	-	-
5	Total of previous years shortfall	-	-
6	Reason for shortfall	Not Applicable	Not Applicable
7	Nature of CSR activities	Education, Research, Health care, Conservation and empowerment programs	
8	Details of related party transactions in relation to CSR expenditure as per relevant Accounting Standard:		
	Contribution to TCS Foundation in relation to CSR expenditure	650	520

Notes forming part of Standalone Financial Statements

14) Finance costs

Finance costs consist of the following:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Interest on lease liabilities	556	438
Interest on tax matters	-	23
Other interest costs	147	212
	703	**673**

15) Income taxes

Income tax expense comprises current tax expense and the net change in the deferred tax asset or liability during the year. Current and deferred taxes are recognised in statement of profit and loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity, respectively.

Current income taxes

The current income tax expense includes income taxes payable by the Company in India and in its branches in overseas where it operates.

The Company has recognised income tax expenses applying the provisions under section 115BAA of the Income-tax Act, 1961.

Current income tax payable by overseas branches of the Company is computed in accordance with the tax laws applicable in the jurisdiction in which the respective branch operates. The taxes paid are generally available for set off against the Indian income tax liability of the Company's worldwide income.

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision arising in the same tax jurisdiction and where the relevant tax paying unit intends to settle the asset and liability on a net basis.

The Organisation for Economic Co-operation and Development (OECD) has published the model rules for global minimum tax (Pillar Two model rules). Pillar Two legislation has been enacted, or substantively enacted, in certain jurisdictions where the Company operates. The Company is within the scope of the OECD Pillar Two model rules and has evaluated the potential exposure to global minimum tax. The Company does not expect any material financial impact for the current period. The evaluation of the potential exposure is based on the most recent country-by-country reporting, and financial statements for the constituent entities in the Company.

Deferred income taxes

Deferred income tax is recognised using the balance sheet approach. Deferred income tax assets and liabilities are recognised for deductible and taxable temporary differences arising between the tax base of assets and liabilities and their carrying amount, except when the deferred income tax arises from the initial recognition of an asset or liability in a transaction that is not a business combination, affects neither accounting nor taxable profit or loss at the time of the transaction.

Deferred income tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred tax assets and liabilities are measured using substantively enacted tax rates expected to apply to taxable income in the years in which the temporary differences are expected to be received or settled.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

Notes forming part of Standalone Financial Statements

The income tax expense consists of the following:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Current tax		
Current tax expense for current year	15,981	14,422
Current tax expense / (benefit) pertaining to prior years	(1,158)	(244)
	14,823	**14,178**
Deferred tax		
Deferred tax benefit for current year	(232)	(135)
	(232)	**(135)**
	14,591	**14,043**

The reconciliation of estimated income tax expense at statutory income tax rate to income tax expense reported in statement of profit and loss is as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Profit before taxes	62,648	57,602
Indian statutory income tax rate	25.17%	34.94%
Expected income tax expense	15,767	20,128
Tax effect of adjustments to reconcile expected income tax expense to reported income tax expense		
Tax holidays	-	(6,393)
Income exempt from tax	(1,543)	(1,152)
Undistributed earnings in branches	66	(35)
Tax on income at different rates	1,264	1,313
Tax pertaining to prior years	(1,158)	(244)
Effect of tax rate change under new regime	-	441
Others (net)	195	(15)
Total income tax expense	**14,591**	**14,043**

Significant components of net deferred tax assets and liabilities for the year ended March 31, 2025 are as follows:

(₹ crore)

	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Closing balance
Deferred tax assets / (liabilities) in relation to				
Property, plant and equipment and intangible assets	**661**	328	-	**989**
Provision for employee benefit obligations	**872**	67	-	**939**
Cash flow hedges	**4**	-	2	**6**
Receivables, financial assets at amortised cost	**395**	24	-	**419**
Branch profit tax	**(100)**	(66)	-	**(166)**
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	**(119)**	-	(148)	**(267)**
Lease liabilities and right-of-use assets	**199**	11	-	**210**
Others	**458**	(132)	-	**326**
	2,370	**232**	**(146)**	**2,456**

Notes forming part of Standalone Financial Statements

Gross deferred tax assets and liabilities are as follows:

(₹ crore)

As at March 31, 2025	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and Intangible assets	1,025	36	989
Provision for employee benefit obligations	939	-	939
Cash flow hedges	6	-	6
Receivables, financial assets at amortised cost	419	-	419
Branch profit tax	-	166	(166)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(267)	-	(267)
Lease liabilities	1,558	-	1,558
Right-of-use assets	(1,348)	-	(1,348)
Others	326	-	326
	2,658	**202**	**2,456**

Significant components of net deferred tax assets and liabilities for the year ended March 31, 2024 are as follows:

(₹ crore)

	Opening balance	Recognised in profit and loss	Recognised in / reclassified from other comprehensive income	Closing balance
Deferred tax assets / (liabilities) in relation to				
Property, plant and equipment and intangible assets	**597**	64	-	**661**
Provision for employee benefit obligations	**786**	86	-	**872**
Cash flow hedges	**7**	-	(3)	**4**
Receivables, financial assets at amortised cost	**403**	(8)	-	**395**
Branch profit tax	**(135)**	35	-	**(100)**
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	**(83)**	-	(36)	**(119)**
Lease liabilities and right-of-use assets	**188**	11	-	**199**
Others	**511**	(53)	-	**458**
	2,274	**135**	**(39)**	**2,370**

Gross deferred tax assets and liabilities are as follows:

(₹ crore)

As at March 31, 2024	Assets	Liabilities	Net
Deferred tax assets / (liabilities) in relation to			
Property, plant and equipment and Intangible assets	714	53	661
Provision for employee benefit obligations	872	-	872
Cash flow hedges	4	-	4
Receivables, financial assets at amortised cost	395	-	395
Branch profit tax	-	100	(100)
Unrealised gain on securities carried at fair value through profit or loss / other comprehensive income	(119)	-	(119)
Lease liabilities	1,192	-	1,192
Right-of-use assets	(993)	-	(993)
Others	459	1	458
	2,524	**154**	**2,370**

Notes forming part of Standalone Financial Statements

Direct tax contingencies

The Company has ongoing disputes with income tax authorities in India and in some of the other jurisdictions where it operates. The disputes relate to tax treatment of certain expenses claimed as deduction, computation or eligibility of tax incentives and allowances and characterisation of fees for services received. Contingent liability in respect of tax demands received from direct tax authorities in India and other jurisdictions is ₹1,012 crore and ₹1,794 crore as at March 31, 2025 and 2024, respectively. These demand orders are being contested by the Company based on the management evaluation and advise of tax consultants. In respect of tax contingencies of ₹318 crore and ₹318 crore as at March 31, 2025 and 2024, respectively, not included above, the Company is entitled to an indemnification from the seller of TCS e-Serve Limited.

The Company periodically receives notices and inquiries from income tax authorities related to the Company's operations in the jurisdictions it operates in. The Company has evaluated these notices and inquiries and has concluded that any consequent income tax claims or demands by the income tax authorities will not succeed on ultimate resolution.

The number of years that are subject to tax assessments varies depending on tax jurisdiction. The major tax jurisdictions of Tata Consultancy Services Limited include India, United States of America and United Kingdom. In India, tax filings from fiscal 2022 are generally subject to examination by the tax authorities. In United States of America, the federal statute of limitation applies to fiscals 2020 and earlier and applicable state statutes of limitation vary by state. In United Kingdom, the statute of limitation generally applies to fiscal 2019 and earlier.

16) Earnings per share

Basic earnings per share is computed by dividing profit or loss attributable to equity shareholders of the Company by the weighted average number of equity shares outstanding during the period. The Company did not have any potentially dilutive securities in any of the periods presented.

	Year ended March 31, 2025	Year ended March 31, 2024
Profit for the year (₹ crore)	48,057	43,559
Weighted average number of equity shares	361,80,87,518	364,68,51,755
Basic and diluted earnings per share (₹)	132.83	119.44
Face value per equity share (₹)	1	1

17) Auditor's remuneration

Auditor's remuneration consists of the following:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Auditor	12	11
For taxation matters	1	1
For other services	4	4
For reimbursement of expenses	1	1

18) Segment information

The Company publishes the standalone financial statements of the Company along with the consolidated financial statements. In accordance with Ind AS 108- Operating Segments, the Company has disclosed the segment information in the consolidated financial statements.

19) Commitments and contingencies

Capital commitments

The Company has contractually committed (net of advances) ₹2,438 crore and ₹1,939 crore as at March 31, 2025 and 2024, respectively, for purchase of property, plant and equipment.

Contingencies

- **Direct tax matters**
  Refer note 15.

Notes forming part of Standalone Financial Statements

- **Indirect tax matters**

  The Company has ongoing disputes with tax authorities mainly relating to treatment of characterisation and classification of certain items. The Company has demands amounting to ₹626 crore and ₹516 crore as at March 31, 2025 and 2024, respectively, from various indirect tax authorities which are being contested by the Company based on the management evaluation and advice of tax consultants.

- **Other claims**

  ➢ Claims aggregating ₹120 crore and ₹126 crore as at March 31, 2025 and 2024, respectively, against the Company have not been acknowledged as debts.

  ➢ In April 2019, Computer Sciences Corporation (referred to as CSC) filed a legal claim against the Company in the Court of Northern District of Texas and Dallas Division (trial court) alleging misappropriation of trade secrets and other CSC's confidential information and sought preliminary and permanent injunctive relief, and unspecified monetary damages and disgorgement of profits.

  A trial before an advisory jury was held and on November 17, 2023, the jury returned an advisory verdict in favour of CSC, finding that the Company misappropriated CSC's trade secrets and recommended compensation of US $70 million (equivalent to ₹598 crore) and a further punitive damage of US $140 million (equivalent to ₹1,196 crore) to be paid by the Company to CSC. Subsequently, the parties filed their respective written submissions in the matter. On June 13, 2024, the trial court passed a judgement as follows:

  1. The Court ordered that the Company is liable to CSC for US $56 million (equivalent to ₹478 crore) in compensatory damages and US $112 million (equivalent to ₹957 crore) in exemplary damages.
  2. The Court also assessed that the Company is liable for US $26 million (equivalent to ₹222 crore) in prejudgment interest through June 13, 2024.
  3. The Court also passed certain injunction and other reliefs against the Company.

  Pursuant to US Court procedures, a Letter of Credit has been made available to CSC for ₹2,136 crore (US $250 million) as financial security in order to stay execution of the judgement pending appeal proceedings and conclusion.

  ➢ In October 2014, Epic Systems Corporation (referred to as Epic) filed a legal claim against the Company in the Court of Western District Madison, Wisconsin alleging unauthorised access to and download of their confidential information and use thereof in the development of the Company's product MedMantra. Pursuant to unfavourable judgment from the District Court and Appeals Court which awarded US $140 million as compensatory damages and US $140 million as punitive damages, Epic invoked payment of US $140 million out of US $440 million Letter of Credit provided as security, towards compensatory damages in April 2022. The Company's petition to the Supreme Court to review the entire judgement including both the compensatory and punitive damages re-affirmed by the Appeals Court was rejected by the Supreme Court on November 20, 2023, pursuant to which, punitive damages of US $140 million was paid on December 1, 2023. The Company provided the balance punitive damages amount of US $115 million (equivalent to ₹958 crore) in its financial statements for the year ended March 31, 2024 and disclosed the same as an "exceptional item" in the standalone statement of profit and loss.

- **Guarantees and letter of comfort**

  The Company has given letter of comfort to banks for credit facilities availed by its subsidiaries. As per the terms of letter of comfort, the Company undertakes not to divest its ownership interest directly or indirectly in the subsidiary and provide such managerial, technical and financial assistance to ensure continued successful operations of the subsidiary.

  The Company has provided guarantees to third parties on behalf of its subsidiaries. The Company does not expect any outflow of resources in respect of the above.

The amounts assessed as contingent liability do not include interest that could be claimed by counter parties.

20) Related party transactions

The Company's principal related parties consist of its holding company, Tata Sons Private Limited and its subsidiaries, its own subsidiaries, affiliates and key managerial personnel. The Company's material related party transactions and outstanding balances are with related parties with whom the Company routinely enter into transactions in the ordinary course of business.

Notes forming part of Standalone Financial Statements

List of subsidiaries of the Company is as follows:

Indian

APTOnline Limited
C-Edge Technologies Limited
MP Online Limited
TCS e-Serve International Limited
MahaOnline Limited
TRIL Bengaluru Real Estate Five Limited
TRIL Bengaluru Real Estate Six Limited
TCS Foundation

Foreign

Tata America International Corporation
Tata Consultancy Services Canada Inc.
Tata Consultancy Services Argentina S.A.
Tata Consultancy Services Chile S.A.
Tata Consultancy Services De Mexico, S.A. De C.V.
Tata Consultancy Services Do Brasil Ltda.
TCS Iberoamerica S.A.
TCS Inversiones Chile Limitada
TCS Solution Center S.A.
Tatasolution Center S.A.
MGDC S.C.
TCS Uruguay S.A.
Tata Consultancy Services Guatemala, S.A.
Tata Consultancy Services Belgium
Tata Consultancy Services De Espana S.A.
Tata Consultancy Services Deutschland GmbH
Tata Consultancy Services Italia S.R.L.
Tata Consultancy Services Netherlands B.V.
Tata Consultancy Services Sverige Aktiebolag
Tata Consultancy Services (Portugal), Unipessoal Lda
Diligenta Limited
Tata Consultancy Services Luxembourg S.A.
Tata Consultancy Services Switzerland Ltd
Tata Consultancy Services France
Tata Consultancy Services Saudi Arabia
Tata Consultancy Services UK Limited
TCS Business Services GmbH
Tata Consultancy Services Bulgaria EOOD
Tata Consultancy Services Ireland Limited
TCS Technology Solutions GmbH
Tata Consultancy Services Osterreich GmbH
Diligenta (Europe) B.V.
Tata Consultancy Services Asia Pacific Pte. Ltd.
Tata Consultancy Services Malaysia Sdn. Bhd.
TCS FNS Pty Limited
TCS Financial Solutions Australia Pty Ltd
Tata Consultancy Services Indonesia, PT
Tata Consultancy Services (China) Co., Ltd.
TCS Financial Solutions (Beijing) Co., Ltd.
Tata Consultancy Services (Thailand) Limited
Tata Consultancy Services (Philippines) Inc.
Tata Consultancy Services Japan, Ltd.
Tata Consultancy Services (Africa) (Proprietary) Limited
Tata Consultancy Services (South Africa) (Proprietary) Limited
Tata Consultancy Services Qatar

Notes forming part of Standalone Financial Statements

Transactions with related parties are as follows:

(₹ crore)

	Year ended March 31, 2025					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	69	27,980	1,184	5,076	-	34,309
Interest income	-	-	19	-	-	19
Dividend income	-	6,132	-	-	-	6,132
Rent income	-	36	-	-	-	36
Other income	-	39	-	-	-	39
Purchases of goods and services (including reimbursements)	1	18,138	8,125	205	-	26,469
Brand equity contribution	200	-	-	-	-	200
Facility expenses	1	66	13	75	-	155
Lease rental	-	-	49	60	-	109
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	-	-	8	2	-	10
Contribution and advance to post employment benefit plans	-	-	-	-	4,173	4,173
Purchase of property, plant and equipment	-	-	501	19	-	520
Advances given	-	-	577	31	-	608
Advances recovered	-	-	50	5	-	55
Advances taken	-	47	-	-	-	47
Dividend paid	32,184	-	12	4	-	32,200
Guarantees given	-	-	-	2	-	2
Inter-corporate deposits placed	-	36	-	-	-	36
Purchase of investments	-	-	498	-	-	498
Cost recovery	-	4,204	-	-	-	4,204
Transfer out of employee benefit obligations	-	2	-	-	-	2
Transfer in of employee benefit obligations	-	2	-	-	-	2
Acquisition of subsidiaries (Refer note 6(a))	-	-	1,593	-	-	1,593

Notes forming part of Standalone Financial Statements

(₹ crore)

	Year ended March 31, 2024					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Revenue from operations	50	26,298	1,006	3,875	-	31,229
Dividend income	-	3,296	-	-	-	3,296
Rent income	-	43	-	-	-	43
Other income	-	40	-	-	-	40
Purchases of goods and services (including reimbursements)	1	17,707	1,344	248	-	19,300
Brand equity contribution	200	-	-	-	-	200
Facility expenses	1	76	18	73	-	168
Lease rental	-	-	49	46	-	95
Bad debts and advances written off, allowance for expected credit losses and doubtful advances (net)	-	-	7	(1)	-	6
Contribution and advance to post employment benefit plans	-	-	-	-	3,783	3,783
Purchase of property, plant and equipment	-	-	108	98	-	206
Advances given	-	5	1,013	98	-	1,116
Advances recovered	-	5	8	4	-	17
Advances taken	-	45	27	1	-	73
Dividend paid	18,177	-	8	2	-	18,187
Buy-back of shares	10,548	-	4	3	-	10,555
Cost recovery	-	4,177	-	-	-	4,177
Sale of property, plant and equipment	-	1	-	-	-	1
Transfer in of employee benefit obligations	-	1	-	-	-	1

Balances receivable from related parties are as follows:

(₹ crore)

	As at March 31, 2025					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	17	8,221	247	1,461	-	9,946
Investments, loans, other financial assets and other assets	2	287	2,226	35	-	2,550
	19	**8,508**	**2,473**	**1,496**	**-**	**12,496**

(₹ crore)

	As at March 31, 2024					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade receivables and contract assets	5	8,054	406	1,290	-	9,755
Investments, loans, other financial assets and other assets	2	184	1,238	9	-	1,433
	7	**8,238**	**1,644**	**1,299**	**-**	**11,188**

Notes forming part of Standalone Financial Statements

Balances payable to related parties are as follows:

(₹ crore)

	As at March 31, 2025					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	184	6,851	5,257	286	-	12,578
Commitments and guarantees	-	3,026	1,012	52	-	4,090

(₹ crore)

	As at March 31, 2024					
	Tata Sons Private Limited	Subsidiaries of the Company	Subsidiaries of Tata Sons Private Limited	Associates / joint ventures of Tata Sons Private Limited and their subsidiaries	Other related parties	Total
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities	181	7,824	993	422	-	9,420
Commitments and guarantees	-	3,664	1,412	13	-	5,089

Material related party transactions are as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Revenue from operations		
Tata Consultancy Services Deutschland GmbH	3,636	3,593
Tata Consultancy Services Netherlands BV	3,875	4,009
Tata Consultancy Services Canada Inc.	3,733	3,666
Jaguar Land Rover Limited	3,659	2,902
Purchases of goods and services (including reimbursements) and net of cost recovery		
Tata America International Corporation	3,850	4,184
Tata Consultancy Services De Mexico S.A., De C.V.	3,541	3,335
Tata Consultancy Services Canada Inc.	2,240	1,938
Tejas Networks Limited	7,508	754
Dividend income		
Tata America International Corporation	1,805	1,158
TCS Iberoamerica SA	836	835
Tata Consultancy Services Canada Inc.	1,242	527
Tata Consultancy Services Netherlands B.V.	699	265
Advances given		
Tejas Networks Limited	500	960
Contribution and advance to post employment benefit plans		
Tata Consultancy Services Employees' Provident Fund	3,870	3,485
Acquisition of subsidiaries		
Tata Realty and Infrastructure Limited	1,593	-

Notes forming part of Standalone Financial Statements

Material related party balances are as follows:

(₹ crore)

	As at March 31, 2025	As at March 31, 2024
Trade receivables and contract assets		
Tata America International Corporation	1,459	1,931
Tata Consultancy Services France	946	1,249
Jaguar Land Rover Limited	1,028	898
Investments, loans, other financial assets and other assets		
Tejas Networks Limited	1,460	960
Tata Capital Limited	498	-
Trade payables, unearned and deferred revenue, other financial liabilities and other liabilities		
Tata America International Corporation	1,780	2,978
Tata Consultancy Services De Mexico S.A., De C.V.	745	984
Tata Consultancy Services Canada Inc.	1,478	1,077
Tejas Networks Limited	4,317	607
Tata Realty and Infrastructure Limited	557	-
Commitments and guarantees		
Tata Projects Limited	946	1,388
Diligenta Limited	3,026	3,664

Transactions with key management personnel are as follows:

(₹ crore)

	Year ended March 31, 2025	Year ended March 31, 2024
Short-term benefits	45	57
Dividend paid during the year	1	1
Post-employment benefits	1	2
	47	**60**

The remuneration of directors and key executives is determined by the nomination and remuneration committee having regard to the performance of individuals and market trends.

21) No funds have been advanced / loaned / invested (from borrowed funds or from share premium or from any other sources / kind of funds) by the Company to any other person(s) or entity(ies), including foreign entities (Intermediaries), with the understanding (whether recorded in writing or otherwise) that the Intermediary shall (i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

No funds have been received by the Company from any person(s) or entity(ies), including foreign entities (Funding Parties), with the understanding (whether recorded in writing or otherwise) that the Company shall (i) directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or (ii) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

22) The sitting fees and commission paid to non-executive directors is ₹12 crore and ₹15 crore as at March 31, 2025 and 2024, respectively.

23) The Board of Directors approved post-employment benefits, payable to the retiring COO and Executive Director, which have been actuarially valued. Accordingly, the Company has recorded an expense of ₹22 crore during the year ended March 31, 2025.

24) The Indian Parliament has approved the Code on Social Security, 2020 which would impact the contributions by the company towards Provident Fund and Gratuity. The Ministry of Labour and Employment had released draft rules for the Code on Social Security, 2020 on November 13, 2020. The Company will assess the impact and its evaluation once the subject rules are notified. The Company will give appropriate impact in its financial statements in the period in which, the Code becomes effective and the related rules to determine the financial impact are published.

Notes forming part of Standalone Financial Statements

25) Additional Regulatory Information

- **Ratios**

Ratio	Numerator	Denominator	Current year	Previous year
Current ratio (in times)	Total current assets	Total current liabilities	2.1	2.2
Debt-Equity ratio (in times)	Debt consists of borrowings and lease liabilities.	Total equity	0.1	0.1
Debt service coverage ratio (in times)	Earning for Debt Service = Net Profit after taxes + Non-cash operating expenses + Interest + Other non-cash adjustments	Debt service = Interest and lease payments + Principal repayments	23.5	24.0
Return on equity ratio (in %)	Profit for the year less Preference dividend (if any)	Average total equity	65.1%	59.4%
Trade receivables turnover ratio (in times)	Revenue from operations	Average trade receivables	4.4	4.5
Trade payables turnover ratio (in times)	Cost of equipment and software licences + Other expenses	Average trade payables	3.1	3.1
Net capital turnover ratio (in times)	Revenue from operations	Average working capital (i.e. Total current assets less Total current liabilities)	4.1	3.8
Net profit ratio (in %)	Profit for the year	Revenue from operations	22.4%	21.5%
Return on capital employed (in %)	Profit before tax and finance costs	Capital employed = Net worth + Lease liabilities + Deferred tax liabilities	76.0%	74.3%
Return on investment (in %)	Income generated from invested funds	Average invested funds in treasury investments	8.5%	8.3%

26) Dividends

Dividends paid during the year ended March 31, 2025 include an amount of ₹28.00 per equity share towards final dividend for the year ended March 31, 2024 and an amount of ₹96.00 per equity share towards interim dividends (including special dividend) for the year ended March 31, 2025. Dividends paid during the year ended March 31, 2024 include an amount of ₹24.00 per equity share towards final dividend for the year ended March 31, 2023 and an amount of ₹45.00 per equity share towards interim dividends (including special dividend) for the year ended March 31, 2024.

Dividends declared by the Company are based on the profit available for distribution. On April 10, 2025, the Board of Directors of the Company have proposed a final dividend of ₹30.00 per equity share in respect of the year ended March 31, 2025 subject to the approval of shareholders at the Annual General Meeting, and if approved, would result in cash outflow of approximately ₹10,854 crore.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm's registration no: 101248W/W-100022

Aniruddha Godbole
Partner
Membership No: 105149

Mumbai, April 10, 2025

For and on behalf of the Board

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Director
DIN: 07121802

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, April 10, 2025

Statement pursuant to first proviso to sub-section (3) of section 129 of the Companies Act, 2013,read with rule 5 of Companies (Accounts) Rules, 2014 in the prescribed Form AOC-1 relating to subsidiary companies

Sr. No.	Name of the Subsidiary Company	Date of becoming subsidiary	Start date of accounting period of subsidiary	End date of accounting period of subsidiary	Reporting Currency	Parent Currency	Exchange Rate	Share Capital	Reserves and Surplus	Total Assets	Total Liabilities	Investments	Turnover	Profit before Tax	Provision for Tax	Profit after Tax	Proposed Dividend	% of Shareholding	Country
								₹ crore											
1	Tata America International Corporation	August 9, 2004	April 1, 2024	March 31, 2025	USD	USD	85.436300	2	924	3,802	2,876	443	5,091	1,349	273	1,076	-	100%	U.S.A.
2	Tata Consultancy Services Canada Inc.	October 1, 2009	April 1, 2024	March 31, 2025	CAD	CAD	59.620586	42	1,783	4,051	2,226	-	12,296	1,604	422	1,182	-	100%	Canada
3	Tata Consultancy Services Argentina S.A.	August 9, 2004	January 1, 2024	December 31, 2024	ARS	USD	0.079732	-	14	45	31	-	65	14	-	14	-	100%	Argentina
4	Tata Consultancy Services Chile S.A.	August 9, 2004	January 1, 2024	December 31, 2024	CLP	USD	0.091457	155	243	584	186	50	836	37	8	29	-	100%	Chile
5	Tata Consultancy Services De Mexico, S.A. De C.V.	August 9, 2004	January 1, 2024	December 31, 2024	MXN	USD	4.201606	1	713	2,112	1,398	-	5,196	658	213	445	-	100%	Mexico
6	Tata Consultancy Services Do Brasil Ltda.	August 9, 2004	January 1, 2024	December 31, 2024	BRL	USD	14.869607	261	190	864	413	-	1,879	224	73	151	-	100%	Brazil
7	TCS Iberoamerica S.A.	August 9, 2004	January 1, 2024	December 31, 2024	USD	USD	85.436300	841	1,017	1,858	-	1,856	-	861	27	834	-	100%	Uruguay
8	TCS Inversiones Chile Limitada	August 9, 2004	January 1, 2024	December 31, 2024	CLP	USD	0.091457	140	160	319	19	294	32	15	-	15	-	100%	Chile
9	TCS Solution Center S.A.	August 9, 2004	January 1, 2024	December 31, 2024	UYU	USD	2.028161	73	198	403	132	-	896	146	36	110	-	100%	Uruguay
10	Tatasolution Center S.A.	December 28, 2006	January 1, 2024	December 31, 2024	USD	USD	85.436300	26	114	254	114	-	335	67	12	55	-	100%	Ecuador
11	MGDC S.C.	January 1, 2010	January 1, 2024	December 31, 2024	MXN	USD	4.201606	71	(45)	39	13	-	12	3	(1)	4	-	100%	Mexico
12	TCS Uruguay S.A.	January 1, 2010	January 1, 2024	December 31, 2024	UYU	USD	2.028161	-	224	406	182	72	916	162	8	154	-	100%	Uruguay
13	Tata Consultancy Services Guatemala, S.A.	September 1, 2021	January 1, 2024	December 31, 2024	GTQ	USD	11.073907	9	25	43	9	-	70	13	3	10	-	100%	Guatemala
14	Tata Consultancy Services Belgium	August 9, 2004	April 1, 2024	March 31, 2025	EUR	INR	92.117390	2	498	946	446	-	2,707	56	17	39	-	100%	Belgium
15	Tata Consultancy Services De Espana S.A.	August 9, 2004	April 1, 2024	March 31, 2025	EUR	EUR	92.117390	1	159	254	94	-	623	35	9	26	-	100%	Spain
16	Tata Consultancy Services Deutschland GmbH	August 9, 2004	April 1, 2024	March 31, 2025	EUR	INR	92.117390	1	846	2,515	1,668	184	6,885	86	28	58	-	100%	Germany
17	Tata Consultancy Services Italia S.R.L.	August 9, 2004	April 1, 2024	March 31, 2025	EUR	EUR	92.117390	20	93	219	106	-	427	48	18	30	-	100%	Italy
18	Tata Consultancy Services Netherlands B.V.	August 9, 2004	April 1, 2024	March 31, 2025	EUR	EUR	92.117390	608	2,742	4,912	1,562	1,901	8,565	681	118	563	-	100%	Netherlands
19	Tata Consultancy Services Sverige Aktiebolag	August 9, 2004	April 1, 2024	March 31, 2025	SEK	SEK	8.527258	-	1,079	1,847	768	-	4,801	358	75	283	-	100%	Sweden
20	Tata Consultancy Services (Portugal), Unipessoal Lda	July 4, 2005	April 1, 2024	March 31, 2025	EUR	EUR	92.117390	-	74	115	41	-	163	24	6	18	-	100%	Portugal

Sr. No.	Name of the Subsidiary Company	Date of becoming subsidiary	Start date of accounting period of subsidiary	End date of accounting period of subsidiary	Reporting Currency	Parent Currency	Exchange Rate	Share Capital	Reserves and Surplus	Total Assets	Total Liabilities	Investments	Turnover	Profit before Tax	Provision for Tax	Profit after Tax	Proposed Dividend	% of Shareholding	Country
								₹ crore											
21	Diligenta Limited	August 23, 2005	January 1, 2024	December 31, 2024	GBP	GBP	110.639976	11	1,852	3,241	1,378	610	6,898	339	82	257	-	100%	U.K.
22	Tata Consultancy Services Luxembourg S.A.	October 28, 2005	April 1, 2024	March 31, 2025	EUR	EUR	92.117390	52	74	304	178	-	652	76	21	55	-	100%	Capellen (G.D. de Luxembourg)
23	Tata Consultancy Services Switzerland Ltd	October 31, 2006	April 1, 2024	March 31, 2025	CHF	EUR	96.899512	15	931	1,908	962	-	4,748	285	58	227	-	100%	Switzerland
24	Tata Consultancy Services France	June 28, 2013	April 1, 2024	March 31, 2025	EUR	EUR	92.117390	4	(236)	1,701	1,933	77	3,525	67	14	53	-	100%	France
25	Tata Consultancy Services Saudi Arabia	July 2, 2015	January 1, 2024	December 31, 2024	SAR	EUR	22.776332	9	319	1,345	1,017	-	1,846	207	42	165	-	100%	Saudi Arabia
26	Tata Consultancy Services UK Limited	October 31, 2018	January 1, 2024	December 31, 2024	GBP	GBP	110.639976	-	42	166	124	-	142	10	3	7	-	100%	U.K.
27	TCS Business Services GmbH	March 9, 2020	April 1, 2024	March 31, 2025	EUR	INR	92.117390	-	103	185	82	67	126	4	1	3	-	100%	Germany
28	Tata Consultancy Services Bulgaria EOOD	August 31, 2021	January 1, 2024	December 31, 2024	BGN	EUR	47.095695	-	55	90	35	-	84	24	2	22	-	100%	Bulgaria
29	Tata Consultancy Services Ireland Limited	December 2, 2020	January 1, 2024	December 31, 2024	EUR	EUR	92.117390	230	203	561	128	-	1,462	174	20	154	-	100%	Ireland
30	TCS Technology Solutions GmbH	January 1, 2021	January 1, 2024	December 31, 2024	EUR	EUR	92.117390	30	850	1,313	433	-	1,123	(63)	5	(68)	-	100%	Germany
31	Tata Consultancy Services Osterreich GmbH	March 9, 2012	April 1, 2024	March 31, 2025	EUR	EUR	92.117390	-	17	58	41	-	193	16	4	12	-	100%	Austria
32	Diligenta (Europe) B.V.	September 14, 2023	January 1, 2024	December 31, 2024	EUR	USD	92.117390	-	-	17	17	-	18	-	-	-	-	100%	Netherlands
33	Tata Consultancy Services Asia Pacific Pte. Ltd.	August 9, 2004	April 1, 2024	March 31, 2025	USD	USD	85.436300	38	1,079	2,203	1,086	951	3,158	434	50	384	-	100%	Singapore
34	Tata Consultancy Services Malaysia Sdn. Bhd.	August 9, 2004	April 1, 2024	March 31, 2025	MYR	USD	19.274969	4	122	303	177	-	643	63	10	53	-	100%	Malaysia
35	TCS FNS Pty Limited	October 17, 2005	April 1, 2024	March 31, 2025	AUD	AUD	53.790694	200	(61)	139	-	2	-	43	-	43	-	100%	Australia
36	TCS Financial Solutions Australia Pty Ltd	October 19, 2005	April 1, 2024	March 31, 2025	AUD	AUD	53.790694	-	87	148	61	-	116	99	22	77	-	100%	Australia
37	Tata Consultancy Services Indonesia, PT	October 5, 2006	April 1, 2024	March 31, 2025	IDR	USD	0.005159	1	31	55	23	-	48	8	3	5	-	100%	Indonesia
38	Tata Consultancy Services (China) Co., Ltd.	November 16, 2006	January 1, 2024	December 31, 2024	CNY	USD	11.762415	238	176	576	162	-	1,148	123	35	88	-	100%	China
39	TCS Financial Solutions (Beijing) Co., Ltd.	December 29, 2006	January 1, 2024	December 31, 2024	CNY	CNY	11.762415	-	-	-	-	-	18	2	-	2	-	-	China
40	Tata Consultancy Services (Thailand) Limited	May 12, 2008	April 1, 2024	March 31, 2025	THB	USD	2.514866	2	25	222	195	-	277	14	4	10	-	100%	Thailand
41	Tata Consultancy Services (Philippines) Inc.	September 19, 2008	April 1, 2024	March 31, 2025	PHP	USD	1.488891	(41)	269	549	321	-	1,142	184	15	169	-	100%	Philippines

Sr. No.	Name of the Subsidiary Company	Date of becoming subsidiary	Start date of accounting period of subsidiary	End date of accounting period of subsidiary	Reporting Currency	Parent Currency	Exchange Rate	Share Capital	Reserves and Surplus	Total Assets	Total Liabilities	Investments	Turnover	Profit before Tax	Provision for Tax	Profit after Tax	Proposed Dividend	% of Shareholding	Country
								₹ crore											
42	Tata Consultancy Services Japan, Ltd.	July 1, 2014	April 1, 2024	March 31, 2025	JPY	USD	0.567853	246	1,840	3,452	1,366	-	5,853	670	180	490	-	66%	Japan
43	APTOnline Limited	August 9, 2004	April 1, 2024	March 31, 2025	INR	INR	1.000000	2	135	222	85	52	167	33	8	25	-	89%	India
44	C-Edge Technologies Limited	January 19, 2006	April 1, 2024	March 31, 2025	INR	INR	1.000000	10	505	688	173	-	587	207	53	154	-	51%	India
45	MP Online Limited	September 8, 2006	April 1, 2024	March 31, 2025	INR	INR	1.000000	1	153	209	55	38	101	44	13	31	-	89%	India
46	TCS e-Serve International Limited	December 31, 2008	April 1, 2024	March 31, 2025	INR	INR	1.000000	10	652	909	247	150	1,346	258	71	187	-	100%	India
47	MahaOnline Limited	September 23, 2010	April 1, 2024	March 31, 2025	INR	INR	1.000000	3	80	145	62	82	-	6	2	4	-	74%	India
48	TRIL Bengaluru Real Estate Five Limited	January 29, 2025	April 1, 2024	March 31, 2025	INR	INR	1.000000	167	-	176	9	-	-	-	-	-	-	65%	India
49	TRIL Bengaluru Real Estate Six Limited	January 29, 2025	April 1, 2024	March 31, 2025	INR	INR	1.000000	886	(1)	919	34	-	-	-	-	-	-	65%	India
50	Tata Consultancy Services (Africa) (Proprietary) Limited	October 23, 2007	January 1, 2024	December 31, 2024	ZAR	ZAR	4.697632	7	27	34	-	6	-	50	2	48	-	100%	South Africa
51	Tata Consultancy Services (South Africa) (Proprietary) Limited	October 31, 2007	January 1, 2024	December 31, 2024	ZAR	ZAR	4.697632	8	61	483	414	-	881	37	11	26	-	70%	South Africa
52	Tata Consultancy Services Qatar	December 20, 2011	January 1, 2024	December 31, 2024	QAR	QAR	23.461198	5	46	106	55	-	36	(2)	-	(2)	-	100%	Qatar
53	TCS Foundation	March 25, 2015	April 1, 2024	March 31, 2025	INR	INR	1.000000	1	1,447	2,990	1,542	45	-	141	-	141	-	100%	India

Notes:

1. Indian rupee equivalents of the figures given in foreign currencies in the accounts of the subsidiary companies, are based on the exchange rates as on March 31, 2025.
2. TCS Financial Solutions (Beijing) Co., Ltd. merged with Tata Consultancy Services (China) Co. Ltd. w.e.f. July 1, 2024.
3. On December 20, 2024, Tata Consultancy Services (Africa) (Proprietary) Limited (TCS Africa), a wholly owned subsidiary of the Company, and Tata Consultancy Services (South Africa) (Proprietary) Limited (TCS SA), a step down wholly owned subsidiary of the Company, had entered into an agreement with Isisekelo Sethu Trust (Trust) to sell and dispose off 30% of shares held by TCS Africa in TCS SA to comply with the Broad-Based Black Economic Empowerment (B-BBEE) guidelines in South Africa. Accordingly, 30% of shares held by TCS Africa in TCS SA were sold to the Trust for a consideration of ZAR 61 million (equivalent to ₹28 crore) on December 20, 2024. Consequent to the above transaction, TCS SA ceased to be a wholly owned step-down subsidiary of TCS. The Trust is a registered trust in South Africa which is formed for the purpose of, inter alia, facilitating the empowerment and development of previously disadvantaged and economically marginalized people in accordance with Broad Based Black Economic Empowerment Act (B-BBEE Act).
4. Tata Consultancy Services Limited acquired TRIL Bengaluru Real Estate Five Limited w.e.f. January 29, 2025.
5. Tata Consultancy Services Limited acquired TRIL Bengaluru Real Estate Six Limited w.e.f. January 29, 2025.

For and on behalf of the Board

K Krithivasan
CEO and Managing Director
DIN: 10106739

Aarthi Subramanian
Director
DIN: 07121802

Samir Seksaria
CFO

Yashaswin Sheth
Company Secretary

Mumbai, April 10, 2025

Glossary

Abbreviations	
ADM	Application Development and Maintenance
AI	Artificial Intelligence
AIOps	Artificial Intelligence for IT Operations
AI TRiSM	AI Trust, Risk and Security Management
APAC	Asia Pacific
API	Application Programming Interface
AR	Augmented Reality
ASEAN	Association of Southeast Asian Nations
AUC	Assets Under Custody
BFSI	Banking, Financial Services and Insurance
Bp	Basis Point
BPaaS	Business Process as a Service
BPS	Business Process Services
CAGR	Compounded Annual Growth Rate
CBO	Cognitive Business Operations
CC	Constant Currency
CGWA	Central Ground Water Authority
Cloud	Cloud Computing
CMT	Communication, Media and Technology
CMMI-SVC	Capability Maturity Model® Integration For Services
COIN	Co-Innovation Network
CO2e	Carbon Dioxide Equivalent
CPG	Consumer-Packaged Goods
CTI	Cooling Technology Institute
DSO	Days' Sales Outstanding
EACs	Energy Attribute Certificates
EIA	Environmental Impact Assessment
EPS	Earnings Per Share
ERP	Enterprise Resource Planning
ESG	Environment, Social and Governance
ETR	Effective Tax rate
FTE	Full Time Equivalent
GDPR	General Data Protection Regulation
GHGs	Greenhouse Gases
GOs	Guarantees of Origin
HVAC	Heating Ventilation and Air Conditioning System
IoT	Internet of Things
IP	Intellectual Property
ISO	International Organization for Standardization
ISSB	International Sustainability Standards Board
kL	Kilo Liters
KMP	Key Managerial Personnel
kWh	Kilowatt-hours

LatAm	Latin America
LLM	Large Language Model
MEA	Middle East and Africa
MFDM™	Machine First Delivery Model
MJ	Mega Joule
MSP	Managed Services Provider
MVP	Minimum Viable Product
MWh	Megawatt hours
OWC	Organic Waste Converter
PaaS	Platform as a Service
PPP	Purchasing Power Parity
PUE	Power Usage Effectiveness
R&I	Research & Innovation
RECs	Renewable Energy Certificates
RFP	Request for Proposal
ROI	Return on Investment
RPA	Robotic Process Automation
SaaS	Software as a Service
SBTi	Science Based Targets Initiative
SDGs	Sustainable Development Goals
SDLC	Software Development Lifecycle
SEZ	Special Economic Zone
SOC	Security Operations Center
STEM	An Education in the fields of Science, Technology, Engineering and Math
T&M	Time and Materials Contract
tCO2e	Tonnes of Carbon Dioxide Equivalent
TCV	Total Contract Value
Turnkey Contracts	Fixed Price Contracts
UPS	Uninterruptible Power Supply
VFD	Variable Frequency Drive
VR	Virtual Reality
VRF	Variable Refrigerant Flow
WRI	World Resource Institute
XR	Extended reality
Y-o-Y	Year-on-Year
ZWL	Zero Waste to Landfill

Explanation of Terms	
5G	Fifth generation wireless technology for digital cellular networks. 5G is expected to be much faster and enable much higher volumes of data sharing than earlier generations of cellular networks. Its massive capacity and ultra-low latency are expected to usher in an era of hyper-connectivity, enabling newer use cases such as autonomous cars, and accelerating the adoption of IoT.
Adaptive AI	Adaptive AI systems support a decision-making framework centered around making faster decisions while remaining flexible to adjust as issues arise. These systems aim to continuously learn based on new data at runtime to adapt more quickly to changes in real-world circumstances. The AI engineering framework can help orchestrate and optimize applications to adapt to, resist or absorb disruptions, facilitating the management of adaptive systems.
Agentic AI	Agentic AI uses sophisticated reasoning and iterative planning to autonomously solve complex, multi-step problems.
Agile	A collaborative approach for IT and business teams to develop software incrementally and faster. TCS has pioneered the Location Independent Agile™ model that allows for deployment at scale and helps globally distributed organization execute large transformational programs quickly, while ensuring stability and quality.
Agile Workspaces	These are key enablers of TCS' Location Independent Agile model and represent the next generation work environment that facilitates greater collaboration among teams. It is characterized by partition-less open offices, informal seating, interactive surfaces for information capture, and modern collaboration devices for increased productivity.
AgilityDebt™	AgilityDebt™ is a simple index developed by TCS, which uniquely indicates the burden carried by an organization that restricts its Agility. The index is arrived at based on a holistic Agile maturity assessment framework that measures the gap against required Agile talent, roles, team composition, delivery practices, Agile culture, Agile technology and DevOps enablers. TCS uses AgilityDebt™ to assess where the customer's teams are in the Agile journey, find the bottlenecks, and accelerate their Agile transformations.
AI Assistant	A software agent that uses AI technologies to perform tasks or services for an individual. These assistants can understand and interpret human speech or text inputs, enabling them to execute commands, answer questions, or assist with tasks like scheduling, reminding, or even controlling smart home devices.
AI Copilot	A virtual assistant that offers real-time guidance and feedback to enhance a human being's work.
AI Engineering	AI engineering is foundational for enterprise delivery of AI solutions at scale. The discipline unifies DataOps, MLOps and DevOps pipelines to create coherent enterprise development, delivery (hybrid, multicloud, edge), and operational (streaming, batch) AI-based systems.
AIOps	AIOps (Artificial Intelligence for IT Operations) combines big data and machine learning to automate IT operations processes, including event correlation, anomaly detection and causality determination.

AI TRiSM	AI trust, risk and security management (AI TRiSM) ensures AI model governance, trustworthiness, fairness, reliability, robustness, efficacy and data protection. This includes solutions and techniques for model interpretability and explainability, AI data protection, model operations and adversarial attack resistance.
Algo Retail™	TCS' proprietary approach and suite of intellectual property that enables retailers to seamlessly integrate and orchestrate data flows across the retail value chain, harnessing the power of analytics, AI and machine learning in the areas of personalization, pricing optimization, marketing, online search and commerce to unlock exponential business value.
Amortization	Systematic allocation of the depreciable amount of an intangible asset over its useful life.
Analytics	In the enterprise context, this is the discovery, interpretation, and communication of meaningful patterns in business data to predict and improve business performance.
Annuity Contracts	A long-term contract which can guarantee regular payments.
APIfication	The process of exposing a discrete business function or data within an enterprise's systems through APIs.
Application Development and Maintenance	Design, development, and deployment of custom software; ongoing support, upkeep, and enhancement of such software over its lifetime.
Application Programming Interface	A set of easily accessible protocols for communication among various software components.
Artificial General Intelligence	A type of artificial intelligence that can perform as well or better than humans on a wide range of cognitive tasks.
Artificial Intelligence	Technology that emulates human performance by learning, coming to its own conclusions, understanding complex content, engaging in natural dialogs with people, augmenting human effort or replacing people on execution of non-routine tasks. Also known as Cognitive Computing.
Assets Under Custody	A measure of the total assets for which a financial institution, typically a custodian bank, provides custodian services.
Attrition	Measures what portion of the workforce left the organization (voluntarily and involuntarily) over the last 12 months (LTM). Attrition (LTM) = Total number of departures in the LTM / closing headcount
Augmented Analytics	Augmented analytics is the use of enabling technologies such as Machine Learning and AI to assist with data preparation, insight generation and insight explanation to augment how people explore and analyze data in analytics and BI platforms. It also augments the expert and citizen data scientists by automating many aspects of data science, machine learning, and AI model development, management and deployment.
Augmented Reality	Technology that superimposes a computer-generated image on a user's view of the real world to enrich the interaction.
Automation	The execution of work by machines in accordance with rules that have either been explicitly coded by a human or 'learned' by the machine through pattern recognition of data. Popular types include Robotic Process Automation and Cognitive Automation.
Avatar	An avatar is a digital representation of yourself, whether it's in a video game, the metaverse, or wherever else it might be applicable.
Basis Point	One hundredth of a percentage point, that is, 0.01 percent.
Big Data	A high volume, high velocity, and/or high variety information asset that require new forms of processing to enable enhanced decision making, insight discovery, and process optimization.
Blockchain	A distributed database that maintains a continuously growing list of records, called blocks, secured from tampering and revision.
Business Process as a Service	Refers to the delivery of BPS over a cloud computing model. Whereas traditional BPS relies on labor arbitrage to reduce costs, BPaaS aggregates demand using the cloud, servicing multiple customers with a single instance, multi-tenant platform and shared services, thereby delivering significant operating efficiencies. The pricing model is usually outcome based.
Business Process Services	Designing, enabling, and executing business operations including data management, analytics, interactions and experience management.
Buyback	A corporate action in which a company returns excess cash to shareholders by buying back its shares from them and usually extinguishing those shares thereafter. The company's equity share capital and the number of shares outstanding in the market correspondingly reduces.
Capital Expenditure (CapEx)	Funds used by a company to purchase property, plant and equipment and intangible assets (net of proceeds from disposal of such assets) and for payment including advances for acquiring right-of-use assets.
Carbon dioxide equivalent	It is a standard unit for accounting greenhouse gas (GHG) emissions from carbon dioxide or another greenhouse gases, such as SOX, NOX, methane, etc.

Cash and Cash Equivalents	Cash comprises cash on hand and demand deposits. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Cash and cash equivalents are held for the purpose of meeting short-term cash commitments rather than for investment or other purposes.
Cash Flow	Inflows and outflows of cash and cash equivalents.
Cash Flow from Operating Activities	Primarily derived from the principal revenue producing activities. Therefore, they generally result from the transactions and other events that enter into the determination of profit or loss.
Central Ground Water Authority	Central Ground Water Authority is a statutory authority under the Ministry of Jal Shakti, which is responsible for groundwater management and conservation in India.
Chatbots	Computer programs designed to simulate conversation with human users, especially over the internet. They are typically used in dialog systems for various practical purposes like customer service or information acquisition.
Cloud Computing	The delivery of easily provisionable computing resources – servers, storage, databases, networking, software, analytics and more – over the internet, consumed on a pay-as-you-go basis.
Cloud Native	A cloud native application consists of discrete, reusable components known as microservices that are designed to integrate into any cloud environment.
Cognitive Automation	The use of AI and machine learning to automate relatively more complex tasks that require reasoning capability and contextual awareness. TCS' ignio™ a leading cognitive automation software product in the market today.
Cognitive Business Operations (CBO)	An integrated offering where TCS takes responsibility for the outcome of an entire slice of the customers' operations including the business processes and the underlying IT infrastructure, and uses cognitive automation to transform that operational stack.
Co-Innovation Network	This is an extended, global innovation ecosystem curated by TCS, to harness the innovation efforts of start-ups and academia, and incorporate them into transformational solutions built by TCS for its customers.
Compounded Annual Growth Rate (CAGR)	The annual growth rate between any two points in time, assuming that it has been compounding during that period.
Connected Clinical Trials (CCT) Platform	Part of the TCS ADD suite, CCT is an innovative software-as-a-service platform that enables life sciences companies to significantly transform patient engagement in clinical trials and improve adherence to protocols, as well as the efficiency and accountability of clinical trials.
Constant Currency	The basis for restating the current period's metric at exchange rates applicable for the reference period and reporting growth over the reference period.
Contextual Knowledge	This is tacit knowledge pertaining to, and specific to, the granular nuances of a customer's business and IT landscape, acquired on the job over a period of time. TCS teams use their contextual knowledge to design technology solutions that are uniquely tailored for that customer, and therefore, a potential source of competitive differentiation.
Conversational AI	Conversational artificial intelligence (AI) refers to technologies, like chatbots or virtual agents, which users can talk to. They use large volumes of data, machine learning, and natural language processing to help imitate human interactions, recognizing speech and text inputs and translating their meanings across various languages.
Core Banking System	A back-end system that processes daily banking transactions and posts updates to accounts and other financial records; typically includes deposit, loan and credit processing capabilities, with interfaces to general ledger systems and reporting tools.
Core Transformation	Modernization initiatives that target one or more elements of the organization's operations stack consisting of business processes, software systems and underlying infrastructure, usually to enable greater agility, scalability, resilience and superior customer experience. These are typically large in scale and scope and entail the integrated delivery of multiple capabilities.
CTI certified cooling tower	A CTI certified cooling tower is one that has undergone testing and certification by the Cooling Technology Institute (CTI) to ensure it performs as specified by the manufacturer
Cyber Security	Technologies, processes and practices designed to protect networks, computers, programs and data from attack, damage or unauthorized access.
Data Center	A data center is the department in an enterprise that houses and maintains back-end IT systems and data stores — its mainframes, servers and databases. In the days of large, centralized IT operations, this department and all the systems resided in one physical place, hence the name data center.
Data Lake	A data lake is a concept consisting of a collection of storage instances of various data assets. These assets are stored in a near-exact, or even exact, copy of the source format and are in addition to the originating data stores.
Data Mining	Data mining is the practice of obtaining valuable information from data sets. The data can be in any form, such as text, audio, or video data. Data mining aims to find actionable insights in the data that can improve business decisions or solve problems. For instance, data mining can discover customer buying patterns and target ads towards people who would likely purchase a product.

Days' Sales Outstanding (DSO)	A popular way of depicting the Trade Receivable relative to the company's Revenue. DSO = Trade Receivable * 365 / LTM Revenue
Deep Learning	Subset of machine learning that uses neural networks with many layers (deep neural networks) to analyze various factors and make decisions.
Depreciation	Systematic allocation of the depreciable amount of an asset over its useful life.
Designated Person	Designated Persons for the purpose of the TCS Code and the Regulations shall mean the persons so designated by the Board in consultation by the Compliance Officer, from time to time, on the basis of their role and function in the Company and the access that such role and function provides to unpublished price sensitive information in addition to seniority and professional designation.
DevOps	Represents a new way of working to rapidly deploy new releases of software in production using high levels of automation and tooling. TCS recommends the adoption of DevOps, along with Agile for speed to market.
Digital	Represents technologies such as Social Media, Mobility, Analytics, Big Data, Cloud, Artificial Intelligence and Internet of Things.
Digital Divide	Digital Divide refers to the unequal spread of technology and the opportunities it affords between different socioeconomic groups in a society.
Digital Twin	A digital replica of a physical entity. For instance, a digital twin of a factory is a virtual model of the factory built using its data, process, people information. The impact of any change in a process in the real factory can be studied by simulating the change in the digital twin.
Discretionary Spend	Also known as Change the Business (CTB) spend, it is that portion of the IT budget which is used to fund projects that are not, strictly speaking, essential for day-to-day operations, but are more transformative in nature. In uncertain economic times, when businesses are forced to cut spends in response to decline in income, discretionary spend is often the first to be scrutinized. However, what is considered discretionary is subjective and may differ considerably amongst businesses even within the same sector.
Dividend	One form of distribution of profits earned by the Company and is usually declared as an amount per equity share held by the Shareholders. TCS has a policy of declaring quarterly interim dividends and the final dividend is approved by the shareholders in the Annual General Meeting.
Earnings Per Share (EPS)	The amount of a given period's Net profit attributable to a single share after deducting any preference dividend and related taxes. EPS = [Net profit attributable to shareholders of the company – Preference dividend, if any] / Weighted average number of equity shares outstanding during the period
Edge Computing	Computing and storage that is located on servers on the edge of the network, in close proximity to the users, but not through an on-premises data center; usually reserved for low latency use cases.
Effective Tax Rate (ETR)	The proportion of the Profit Before Tax that is provided towards income taxes. ETR = Tax expense / Profit Before Tax
Energy Attribute Certificates	Energy Attribute Certificates are market-based instruments that can be used by the bearer to claim renewable energy consumption. Each EAC is equivalent to 1 MWh of electricity.
Engineering and Industrial Services	Consists of next generation product engineering, manufacturing operations transformation, services transformation, embedded software and Internet of Things.
Enterprise Agile	The adoption of Agile methods across all the business functions of the enterprise, designed to empower employees, foster collaboration and drive a culture of continuous innovation at scale.
Enterprise Resource Planning	Enterprise resource planning (ERP) is a software system that helps organizations streamline their core business processes, including finance, HR, manufacturing, supply chain, sales, and procurement—with a unified view of activity and provides a single source of truth.
Environmental Impact Assessment	It is an environmental impact study which needs to be conducted as per Ministry of Environment and Forest (MoEF) requirements for new construction/ expansion projects.
Environment, Social and Governance	Environment, social and governance (ESG) is a system for how to measure the sustainability of a company in three specific categories: environment, social and governance.
Extended reality	Extended reality, an umbrella term that covers augmented reality, virtual reality and mixed reality.
Fair Value	The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.
Fine Tuning	Process of slightly adjusting or tweaking the parameters of an existing model, which has already been pre-trained on a large dataset, to perform a specific task.
Fintech	Businesses that use technology to make financial services more efficient. Some fintech developments have improved traditional services, for example mobile banking apps, while others have revolutionized services such as pay per mile car insurance, or created new products, such as Bitcoin.

Fixed Price Contracts	A form of services contracts where the vendor takes a turnkey responsibility for delivering a solution for a certain price and within a mutually agreed timeframe. The customer is billed on completion of key project milestones and related deliverables. This arrangement gives the vendor considerable flexibility in the staffing and execution of the project. On the other hand, it also means bearing the project risk.
Foundation Models	Foundation models are large-parameter models that are trained on a broad gamut of datasets in a self-supervised manner. They are mostly based on transformers or diffusion deep neural network architectures and will potentially be multimodal in the near future. They are called foundation models because of their critical importance and applicability to a wide variety of downstream use cases. This broad applicability is due to the pretraining and versatility of the models.
Framework	A kind of intellectual property, consisting of software which provides generic functionality for a certain business use case, and which is customized for a specific customer's needs with additional code. Use of such pre-built code reduces time to market and results in more stable, reliable solutions.
Free Cash Flow	Represents the cash a company generates through its operations, less the capital expenditure. Free cash flow = Cash flow from operating activities – Capital expenditure
Function Point	A function point is a granular building block of software, based on a functional view of that system, represented by a code snippet whose logic helps the user accomplish something. The concept is used while estimating the effort for building a new application, by decomposing it into its constituent function points of varying levels of complexity.
Furlough	A temporary cessation of work without pay for the employees, usually implemented by organizations facing difficult economic conditions, and in lieu of laying off employees.
Gamification	The process of adding games or game-like elements to any activity to enrich experiences and encourage user participation.
GDPR	General Data Protection Regulation, a European Union regulation for data protection and privacy.
Generative AI	Generative AI describes any type of artificial intelligence (AI) that is capable of generating new content, including text, images, video, audio, simulations, code or synthetic data. It involves the use of machine learning algorithms to learn patterns across a large data set and generate new content based on those patterns.
Global Capability Centers (GCC) / Captive units	Captive units include both MNC-owned units that undertake work for the parents' global operations and the company owned units of domestic firms, set up in offshore locations offering cheaper labor pool, helping the parent to reduce its operational costs.
Green-Tariff	Green tariffs are specialized retail tariffs that electricity distribution companies (discoms) charge for the sale of Renewable Energy (RE) to their consumers. Businesses can sign up for these tariffs and claim RE consumption, while discoms procure electricity on their behalf from RE project developers.
Greenhouse Gas	These are gases that trap heat in the atmosphere leading to global warming and climate change.
Growth and Transformation	Initiatives launched to improve the enterprise's revenues, leveraging technology to adopt new business models, drive new revenue streams, enhance customer experience or target new customer segments. This contrasts with traditional outsourcing engagements where the focus is on improving efficiency and saving costs.
Hallucination	Tendency of large language models to make things up or provide output that seems plausible but is factually incorrect or unverifiable.
Hybrid Cloud	An enterprise IT infrastructure model that combines private clouds, public clouds and on-premise data centers, to meet the compute and storage needs of the business.
Immediate Relative	Immediate Relative for the purpose of TCS Code, includes the spouse of Designated Person (mandatory); parent, sibling, and child of such DP or of the spouse, dependent financially on such DP, or consults such DP in taking decisions relating to trading in securities.
Innovation Days	Focused workshops with a TCS customer where researchers and business leaders from both organizations participate to explore emerging technologies for specific customer problems.
Innovation Forum	TCS' thought leadership event that is held in major and emerging markets. It brings together researchers from academia, innovators from the start-up ecosystem, technology watchers, futurists and customers to brainstorm around emerging technologies.
Inorganic Growth	Growth in revenue due to mergers, acquisitions or takeovers, rather than due to an increase in the company's own business activity.
Intellectual Property	An asset that is the result of a creative design or idea, such as patents, copyrights, reusable code, software products and platforms, and gives the owner exclusive rights over its usage, such that no one can copy or reuse the creation without the owner's permission.
Interactive Technology	Allows for a two-way flow of information through an interface between the user and the technology; the user usually communicates a request for data or action to the technology with the technology returning the requested data or result of the action back to the user.

Internet of Things	A network of interconnected machines or devices embedded with sensors, software, network connectivity, and necessary electronics to generate and share run-time data that can be studied and used to monitor or control remotely, predict failure, and optimize the design of those machines / devices.
Invested Funds	Funds that are highly liquid in nature and can be readily converted into cash. Invested funds = Cash and cash equivalents + Investments + Deposits with banks + Inter-corporate deposits.
Involuntary Attrition	A reduction in the workforce due to the employer's decision to terminate employment, instead of the employees' decision to leave.
Key Managerial Personnel	At TCS, this refers to the Chief Executive Officer & Managing Director, Executive Director- President & Chief Operating Officer, Chief Financial Officer and the Company Secretary.
Key Performance Indicator	A key performance indicator is a high-level measure of system output, traffic or other usage, simplified for gathering and review on a weekly, monthly or quarterly basis. Typical examples are bandwidth availability, transactions per second and calls per user. KPIs are often combined with cost measures (e.g., cost per transaction or cost per user) to build key system operating metrics.
Kilo Litres	It is a unit used to measure and report water usage in TCS' offices.
Kilowatt Hours	It is used as a unit of measurement of electricity. Mn kWh refers to Million Kilowatt Hours.
Large Language Models	This is a language model used to train generative AI and consists of a neural network with many parameters (typically billions of weights), trained on large volumes of unlabeled text. By tracking words in sequences, it learns both context and meaning in language, enabling it to generate text artifacts that look they were written by humans.
LED	An LED lamp or LED light is an electric light that produces light using light-emitting diodes (LEDs). A light-emitting diode (LED) is a semiconductor device that emits light when current flows through it. LED lamps are significantly more energy-efficient than equivalent incandescent lamps and fluorescent lamps.
Location Independent Agile	A method to orchestrate globally distributed stakeholders and talent into Agile teams for improved speed to market in large transformational programs. It comprises processes, structure, and technology that allows enterprises to overcome location constraints and embrace Agile methods on a global scale.
Low-Code, No Code	New software development platforms that offer a drag and drop user interface to allow business users to build custom web or mobile applications without actually having to write the code. The difference between the two is related to the extent of programming ability needed. The former might still require some amount of programming, while the latter is entirely drag and drop. In addition to boosting innovation within the enterprise, these platforms also drive-up productivity of programmers.
Machine First™ Delivery Model	A model that integrates analytics, AI and automation deep within the enterprise to redefine how humans and machines work together and to effectively deliver superior outcomes.
Machine Learning	A type of artificial intelligence that provides computers with the ability to learn behaviors without being explicitly programmed and relying on patterns and inference instead.
Managed Services	This is the practice of outsourcing to one service provider, also known as the Managed Services Provider (MSP), the end-to-end responsibility for providing, or orchestrating the provision through third party providers of, services around a range of processes and functions, in order to improve efficiency, service quality, agility and scalability.
Managed Services Provider	Service providers with the sole, end-to-end responsibility of providing Managed Services.
Market Capitalization	The total market value of a company's total outstanding equity shares at a point in time. Market Capitalization = Last Trading Price * Total number of outstanding shares
Mega Joule	Mega Joule is used as a unit of measurement of energy (electricity as well as fuel use).
Megawatt hours	Megawatt hours is used as a unit of measurement of electricity. 1 MWh=1000kWh
Metadata	Metadata is information that describes various facets of an information asset to improve its usability throughout its life cycle. It is metadata that turns information into an asset. The more valuable the information asset, the more critical it is to manage the metadata about it, because it is the metadata definition that provides the understanding that unlocks the value of data.
Metaverse	A virtual 3D environment that a user can experience explore on a computer or VR headset. Users can interact with each other in several ways, including social networking, gaming, and shopping.
Minimum Viable Product	The most basic version of a new product built in an agile development cycle, with the bare minimum functionality, made available to users at the earliest to get user feedback and validate product value with minimum investment. Once validated, its features and functionalities are continually augmented in subsequent iterative cycles.

Mobility	Digital technology which includes- Information, convenience, and social media all combined together, and made available across a variety of screen sizes and hand-held devices.
Natural Language Processing	Branch of Artificial Intelligence that deals with the interaction between computers and humans through natural language, involving complex and challenging tasks such as speech recognition, natural language understanding, and natural language generation.
Neural Network	A neural network is a type of data processing, inspired by biological neurons, that converts between complex objects (such as audio and video) and tokens suitable for conventional data processing.
Non-Controlling Interests	The share of the net worth attributable to non-controlling shareholders of the subsidiaries.
Non-discretionary Spend	Also known as Run the Business (RTB) spend is that portion of the IT budget that covers the basic IT activities required to keep a business running. Even in tough economic times, non-discretionary spending remains relatively unaffected.
Open Source	Open source describes software that comes with permission to use, copy and distribute, either as is or with modifications, and that may be offered either free or with a charge. The source code must be made available.
Operating Model	The manner in which processes are defined, and activities are organized to create and deliver value to a target audience. An IT operating model covers activities around new system development, application and infrastructure support whereas business operating models address execution of actions specific to a business function.
Operating Model Transformation	Redefining individual processes by embedding AI, machine learning and other forms of automation to reduce the need for human intervention, resulting in a leaner operating model that is faster, more agile and more resilient. Such transformations – whether in IT or business – can be significantly accelerated using TCS Cognix.
Options Contract	A hedging instrument that offers the buyer the right to buy or sell the underlying asset (such as stocks or currency) on a future date, at a specified price, for a small upfront fee called options premium. Eg: TCS purchases an options contract to sell USD 1 million @ ₹87/US$ after 3 months, paying an option premium of ₹1 million. With this, TCS will have the right to sell USD 1 million at an exchange rate of ₹87, even if the prevailing market rate at the end of three months is, say ₹85. On the other hand, if the market rate is higher, say ₹89, then TCS can choose to let the options contract lapse and instead sell at the market rate.
Organic Growth	The revenue growth a company can achieve by increasing its existing business activity. This does not include growth attributable to takeovers, acquisitions or mergers.
Organic Waste Converter	Organic Waste Converter is a machine that converts your organic waste into organic manure or fertilizer.
Personalization	Segmentation and responding to individual transactions, customized for a single customer in a single instance.
Platforms	A group of technologies that are used as a base upon which other applications, processes or technologies are developed. Useful for optimizing costs and efforts and eliminating iterative tasks to drive strategic business initiatives.
Platform as a Service (PaaS)	A category of cloud computing that provides a platform and environment to allow developers to build applications and services over the internet. PaaS services are hosted in the cloud and accessed by users simply via their web browser.
Power Usage Effectiveness	It is the ratio of the total amount of electricity used by a data center facility to the electricity used by the computing equipment in the data center.
Pricing	The price charged to the customer for a billable effort, turnkey project or a certain process outcome, depending on the nature of the contract. See Realization.
Private Cloud	Refers to a model of cloud computing where IT infrastructure, in terms of compute and storage resources, are provisioned for the dedicated use of a single organization.
Product	In the technology context, it refers to a packaged software program that is made available to multiple customers either on a license basis, or on a subscription basis, to enable the execution of certain common tasks or processes or business functions in a standardized way. This is the opposite of bespoke or custom software which is built to specifications to meet a customer's unique needs.
Prompt	A specific instruction, question, or input provided to an AI model to guide its generation of content.
Prompt Engineering	Prompt engineering is the process of writing, refining and optimizing inputs to encourage GenAI systems to create specific, high-quality outputs.
Public Cloud	A computing service model used for the provisioning of storage and computational services to the general public over the internet. Public cloud facilitates access to IT resources on a 'pay as you go' billing model.
Purchasing Power Parity	Purchasing Power Parity exchange rate is the rate at which the currency of one country would have to be converted into that of another country to buy the same amount of goods and services in each country.

Quantum Computing	Quantum computing is a type of non-classical computing that operates on the quantum state of subatomic particles. The particles represent information as elements denoted as quantum bits (qubits). A qubit can represent all possible values simultaneously (superposition) until read. Qubits can be linked with other qubits, a property known as entanglement. Quantum algorithms manipulate linked qubits in their undetermined, entangled state, a process that can address problems with vast combinatorial complexity.
Realization	The revenue received by the company per utilized effort. Pricing varies by service and by market. Consequently, there can be changes in realization compared to a prior period, due to changes in the underlying business or geographic mix during the period.
RECs/ GOs	Renewable Energy Certificates / Guarantees of Origin are Energy Attribute Certificates used in different markets.
Related Party Transactions	Any transaction between a company and its related party involving transfer of services, resources or any obligation, regardless of whether a price is charged.
Responsible AI	Responsible Artificial Intelligence is an approach to developing, assessing, and deploying AI systems in a safe, trustworthy, and ethical way.
Revenue	The income earned by the company from operations by providing IT and consulting services, software licenses, and hardware equipment to customers.
RFP	Request for Proposal, meaning a document that solicits proposal, often made through a bidding process, by an entity interested in procurement of IT services, to potential service providers to submit business proposals. An RFP is floated early in the procurement cycle and requested information may include basic corporate information and history, financial information, technical capability and estimated completion period, and customer references.
Robotic Process Automation	The use of software tools to automate high-volume, repeatable tasks that previously required humans to perform. RPA is best suited for relatively simple and stable processes. Dynamic changes in the environment require ongoing upkeep of robots, diluting the economic benefit of the automation. Increasingly, customers are preferring cognitive automation over RPA.
SBTi	Science Based Targets Initiative (SBTi) is a global organization that helps companies and financial institutions set emissions reduction targets aligned with climate science. It enables organizations worldwide to play their part in combating the climate crisis.
Scope 1, Scope 2, Scope 3 emissions	Greenhouse gas emission accounting categories as per the Greenhouse Gas Protocol. Scope 1 emissions includes direct emissions from operations. Scope 2 emissions are emissions from procured electricity, heat and steam. Scope 3 consists of value chain emissions (both upstream and downstream).
Security Operations Center	A Security Operations Center is responsible for protecting an organization against cyber threats. SOC analysts perform round-the-clock monitoring of an organization's network and investigate any potential security incidents.
Shareholder Payout Ratio	The proportion of earnings paid to shareholders as a percentage of the company's earnings, i.e. Net profit attributable to shareholders of the company. Payout can be in the form of dividend and share buyback, including taxes thereon.
Simplification	The rationalization of IT architectures through consolidation of systems and elimination of redundant systems and layers. The primary purpose is to shrink the IT footprint and make operations leaner and more efficient.
Software as a Service	Software as a Service (SaaS) is software that is owned, delivered and managed remotely by one or more providers. The provider delivers software based on one set of common code and data definitions that is consumed in a one-to-many model by all contracted customers at anytime on a pay-for-use basis or as a subscription based on use metrics.
Sole Sourced Contract	Non-competitive agreements that allow a single vendor to fulfill the needs of the contractual requirements. These types of contracts can be won when the competitor set narrows down significantly and comes down to a single vendor discussion, given the nature of the client's solution requirements.
Special Economic Zone	In India, these are designated areas in which business and trade laws are different from the rest of the country, with various benefits and tax breaks to promote exports, attract investments, and create local jobs.
Sustainable Development Goals	The Sustainable Development Goals (SDGs), also known as the Global Goals, were adopted by the United Nations in 2015 as a universal call to action to end poverty, protect the planet, and ensure that by 2030 all people enjoy peace and prosperity.
TCS Pace™	A brand promise that represents the way TCS channels its domain knowledge and organizational units – business and technology services, industry solutions units, and the research and innovation organization – into internal and external co-innovation programs.
TCS Pace Port™	Physical spaces where TCS Pace can be experienced. These spaces are close to academic and start-up hubs, and enclose innovation showcases, Agile workspaces and think spaces. They encourage brainstorming, design thinking and collaborative innovation with internal and external partners.
Time and Materials Contract	A form of services contract where the customer is billed for the effort (in hours, days, weeks, etc.) logged into by the project team members. Project risk is borne by the customer. This contrasts with Fixed Price Contracts.

Total Contract Value	An aggregation of the value of all the contracts signed during a period and a useful indicator of demand, and near-term business visibility.
Unearned and Deferred Revenue	For invoices raised in line with agreed milestones for services yet to be delivered. In other words, it is the amount that has been invoiced although the underlying effort is yet to be expended.
Uninterruptible Power Supply	It is an electrical device that combines surge protection with a battery back-up.
Variable frequency drive	It is used to regulate the electrical frequency (Hz) of the power supplied to a chiller so that the compressor speed and condenser fan speed (air-cooled chillers only) can be controlled.
Variable refrigerant flow	Variable refrigerant flow is an air-conditioning system in which multiple indoor units and a single outdoor condensing unit are available. It is precisely the system's capability that helps to control the amount of refrigerant flowing to the indoor units.
Vendor Consolidation	A strategy to reduce costs and the overheads of managing a large number of vendors. Usually entails aggregating work currently outsourced to many small providers, and transferring it to a smaller, select set of winning bidders. Besides cost reduction, clients use this to reduce complexity and accelerate their cloud transformation journeys. Selecting a single strategic partner with end-to-end capabilities to maintain the legacy estate and support the modernization drives efficiency, accountability and speed.
Virtual Reality	Artificial, computer-generated simulation or recreation of a real-life environment or situation. It engages users by offering simulated reality experiences firsthand, primarily by stimulating their vision and hearing.
Virtualization	The abstraction of IT resources – like a server, client, storage or network – that masks the physical nature and boundaries of those resources from the users of those resources.
Voluntary Attrition	Refers to reduction in workforce resulting from employees willingly leaving the organization to pursue other opportunities, spend time with family, or for some other personal reason.
World Resource Institute (WRI) Aqueduct	World Resource Institute (WRI) Aqueduct is a tool used to evaluate water risks around the world.
Zero Waste to Landfill	Zero Waste to Landfill- It is a specific goal that can be independently verified. The common interpretation means that at least 99 percent of generated waste is diverted away from landfill, i.e. all waste produced is either reused, recycled, composted, or sent to energy recovery.

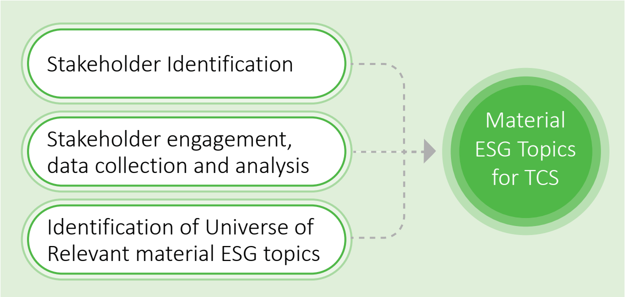
Disclaimer: This glossary is intended to help understand commonly used terms and phrases in this report. The explanations are not intended to be technical definitions. If the explanations provided here are found to be different from what is described in the Company's periodic financial statements (not limited to Notes to Accounts), then the definition provided in the certified financial statements will prevail.

Sustainability Disclosures

Stakeholder Engagement and Identification of Material Topics[1]

TCS adopts a holistic approach for identifying its material issues. The Company relies on (i) stakeholder engagement and (ii) assessment of market and industry trends. Through this approach, the Company tries to safeguard the interest of all its stakeholders, while aligning business objectives with the market trends for the business to be more sustainable.

TCS conducts periodic materiality assessments to update the list of material ESG topics, and the approach for assessing material issues involved is:



Engagement with stakeholders

Stakeholder interactions result in the identification of a broad funnel of issues important to each of the constituencies. Discussions with internal and external stakeholders are evaluated, to prioritize and arrive at a list of material topics with significant economic, environmental, social or governance impact on TCS' business, reputation, and operations.

Sustainability context and value chain

The Company looks at the role of TCS in wider sustainability issues, the impact the Company has through its customer engagements and its operations, and the role that the Company experts play in professional associations, industry forums and other thought leadership activities to address important issues raised by stakeholders.

[1] GRI 3-1

TCS ESG Principles, Material Topics and Initiatives[2]

Environment

Material Topic
Climate Change (I)

Principle
TCS' environmental stewardship rests on four pillars: carbon footprint mitigation, water conservation and recycling, waste reduction and recycling, and preserving biodiversity.

Key Themes
- Energy consumption
- GHG emissions
- Water management
- Waste management
- Biodiversity

Targets
- Near Term Targets:
  - Reduce absolute Scope 1 and Scope 2 greenhouse gas emissions 90% by FY 2030 from a FY 2016 base year.
  - Reduce absolute Scope 3 emissions 35% by FY 2034 from a FY 2020 base year.
- Long-Term Targets:
  - 100% recycling of treated water in TCS' owned campuses.
  - To achieve Zero Waste to Landfill (ZWL) for all TCS campuses by 2030.
  - Committed to Tata Aalingana program.
  - Biodiversity conservation and enhancement initiatives within TCS campuses.

Initiatives
- Natural Capital: Pages 28, 29
- BRSR: Pages 149 to 158

Social

Material Topic
Talent Management (I)

Principle
TCS is invested in its people for the long term, helping them achieve their career aspirations.

Key Themes
- Talent Acquisition and Retention
- Talent Development
- Employee Engagement
- Competitive Compensation

Targets
- Attract, develop, motivate and retain diverse talent, that is critical for the Company's continued success.
- Empower employees through a stimulating, inclusive, and rewarding work environment that enhances experience and drives business growth.

Initiatives
- Human Capital- Pages 22, 23
- MD&A- Pages 82, 83

Material Topic
Equal Opportunity (I)

Principle
TCS fosters an equal opportunity culture where every voice is heard, respected, and valued.

Key Themes
- Equal Opportunity

Targets
- Promote equal opportunity to build a workforce that positively impacts the communities TCS serves.
- Global HR policy to prohibit workplace discrimination and emphasize merit, intelligence and excellence.

Initiatives
- MD&A – Page 83
- BRSR- Pages 146 to 148

Material Topic
Employee wellbeing and engagement(I)

Principle
TCS is committed to providing a safe and healthy work environment to all stakeholders.

Key Themes
- Occupational Health and safety (OH&S)

Targets
- Implement processes to prevent work-related accidents, injuries, illnesses, and near misses.
- Eliminate hazards and reduce OH&S risks.

Initiatives
- Human Capital – Pages 22, 23
- BRSR – Pages 137 to 143

Material Topic
Local Communities (E)

Principle
TCS' vision is to empower communities by connecting people to opportunities in the digital economy.

Key Themes
- Local communities
- Education and skill development
- Job creation
- Taxes payable in different regions
- Environmental stewardship
- Supplier Social and Environmental Assessment.

Targets
- Create inclusive, equitable, and sustainable opportunities for all, especially youth, women, and marginalized communities.
- Comply with tax laws in all jurisdictions TCS operates in and pay a fair share of taxes in each country.

* Boundary of Impact for Material Topics : Internal (I), External (E)

[2]GRI 3-2, GRI 3-3

MD&A: Management Discussion and Analysis, CG: Corporate Governance Report, BRSR: Business Responsibility and Sustainability Report

Initiatives
- Social Capital – Pages 26, 27
- Natural Capital – Pages 28, 29
- CG – Tax Strategy- Page 97
- BRSR – Pages 161 to 163
- Financial Statements – Income Taxes – Pages 222 to 226, country wise income taxes – Pages 306 to 308

Material Topic
Technology enabling Building greater futures (E)

Principle
TCS engages with clients and partners to build sustainable, future-ready businesses that thrive in a connected ecosystem.

Key Themes
- Sustainability Services and Offerings

Targets
- Enable enterprises to harness technology and innovation to create sustainable opportunities and drive ecosystem-led growth.
- Build a co-innovation network with academia, startups, and partners to drive grassroot social innovation and sustainability.

Initiatives
- Intellectual Capital – Pages 24, 25
- BRSR – R&D and Capex spend – Page 135
- MD&A – Enabling Investments – Pages 84, 85

Governance

Material Topic
Corporate Governance (I)

Principle
TCS' philosophy on corporate governance oversees business strategies and ensures fiscal accountability, ethical corporate behaviour and fairness to all stakeholders.

Key Themes
- Governance structure and composition
- Independence of the Board and Minority Interest
- Avoidance of conflict of interest
- Board oversight
- Disclosure and Transparency
- Enterprise Risk Management
- Succession Planning
- Remuneration Policy

Targets
- Strong governance at board, executive and management levels through compliance committees and compliance working groups.
- Effective internal controls to ensure compliance, prevent fraud, and support audit assurance.
- Empowering employees and creation of deep leadership bench for succession planning.
- Design a compliant remuneration policy that drives high performance.

Initiatives
- CG – Pages 96 to 98, 103, 105 to 107
- MD&A – Internal Financial Control Systems and their adequacy – Page 92, ERM – Pages 88 to 91

Material Topic
Ethics and Integrity (I)

Principle
TCS' core values are: Leading Change, Integrity, Respect for the Individual, Excellence, Learning and Sharing.

Key Themes
- Value, Ethics and Culture
- Compliance

Targets
- Maintain board, management accountability and drive corporate ethics, values and sustainability.
- Ensure compliance with local and global laws across all operational jurisdictions.

Initiatives
- CG – Pages 96, 97

Material Topic
Data Privacy (E)

Principle
- To ensure data protection of stakeholders.
- To make TCS reliable, resilient, and adaptable to the ever-evolving challenges of change, disruptions, and risks.

Key Themes
- Data Privacy
- Cyber Security

Targets
- Ensure controls and robust risk response mechanisms to protect personal data in the TCS ecosystem and in customer engagements.
- Safeguard all TCS information and assets to ensure a secure, efficient, and safe environment for both TCS and its customers.

Initiatives
- BRSR – Pages 163, 164

Scope 3 Baseline Restatement (FY 2020)

TCS has recalculated the Scope 3 base year emissions based on SBTi ‘s guidance as below:

Scope 3 Emission Categories	FY 2020 Scope 3 emissions (in tCO2e)
Purchased goods and services	76,873
Capital goods	25,369
Fuel and energy related activities	162,393
Upstream transportation and distribution	5,908
Waste generated in operations	1,908
Business travel	146,817
Employee commuting	353,104
Total Scope 3 emissions	**772,372**

GRI Content Index[1]

TCS' Integrated Annual Report 2024-25, which includes the Board and Management Commentary, Compliance Reports, Financial Statements, and the Business Responsibility and Sustainability Report, is with reference to the Global Reporting Initiative (GRI) Standard. The Report also conforms to the United Nations Global Compact (UNGC) principles and forms the basis of the Company's Communication on Progress (CoP) with the UNGC.

The following table provides the mapping of disclosures for FY 2025 against the GRI standard requirements.

GRI Standard Disclosure and Description	Section *	Page Nos.
GRI 2: General Disclosures 2021		
1. The organization and its reporting practices		
2-1 Organizational details	• BRSR	127
2-2 Entities included in the organization's sustainability reporting	• BRSR	128, 129
2-3 Reporting period, frequency and contact point	• BRSR	127
2-4 Restatements of information	• BRSR	128
2-5 External assurance	• BRSR	128, 132
2. Activities and workers		
2-6 Activities, value chain and other business relationships	• BRSR	128
2-7 Employees	• BRSR	129
2-8 Workers who are not employees	• BRSR	129
3. Governance		
2-9 Governance structure and composition	• CG • BRSR	95 132
2-10 Nomination and selection of the highest governance body	• CG	96
2-11 Chair of the highest governance body	• CG	96
2-12 Role of the highest governance body in overseeing the management of impacts	• CG	96, 98
2-13 Delegation of responsibility for managing impacts	• CG • BRSR	102 132, 146
2-14 Role of the highest governance body in sustainability reporting	• CG	98
2-15 Conflicts of interest	• CG	96
2-16 Communication of Critical Concerns	• BRSR	130, 138, 141, 147, 161, 163
2-17 Collective knowledge of the highest governance body	• BRSR	132
2-18 Evaluation of the performance of the highest governance body	• Board's Report • CG	69 98
2-19 Remuneration policies	• CG • BRSR	103 146
2-20 Process to determine remuneration	• CG	98, 101, 103
2-21 Annual total compensation ratio	• BRSR	146
4. Strategy, policies and practices		
2-22 Statement on sustainable development strategy	• Letter from the CEO • MD&A • BRSR	10 80 132
2-23 Policy commitments	• BRSR	131, 133, 147, 164
2-24 Embedding policy commitments	• BRSR	131, 146, 147
2-25 Processes to remediate negative impacts	• BRSR	130, 138, 141, 147, 161, 163
2-26 Mechanisms for seeking advice and raising concerns	• BRSR	130, 138, 141, 147, 161, 163
2-27 Compliance with laws and regulations	• BRSR	133, 155
2-28 Membership associations	• BRSR	158, 159

[1] Requirement 7: Publish a GRI Content Index

* MD&A: Management Discussion and Analysis, CG: Corporate Governance Report, BRSR: Business Responsibility and Sustainability Report

5. Stakeholder engagement		
2-29 Approach to stakeholder engagement	• BRSR	143
2-30 Collective bargaining agreements	• BRSR	138
GRI 3: Material Topics 2021		
3-1 Process to determine material topics	• Stakeholder Engagement and Identification of Material Topics	319
3-2 List of material topics	• BRSR • TCS ESG Principles, Material Topics and Initiatives	130 320
3-3 Management of material topics	• MD&A • BRSR • TCS ESG Principles, Material Topics and Initiatives	88 130, 131, 141, 142, 155 320
GRI 200: Economic Performance		
GRI 201: Economic Performance 2016		
201-1 Direct economic value generated and distributed	• Financial Capital	20
201-2 Financial implications and other risks and opportunities due to climate change	• MD&A • BRSR	88 130
201-3 Defined benefit plan obligations and other retirement plans	• BRSR	137
GRI 202: Market Presence		
202-1 Ratios of standard entry level wage by gender compared to local minimum wage	• BRSR	146
GRI 204: Procurement Practices 2016		
204-1 Proportion of spending on local suppliers	• BRSR	161
GRI 205: Anti-corruption 2016		
205-2 Communication and training about anti-corruption policies and procedures	• BRSR	133
205-3 Confirmed incidents of corruption and actions taken	• BRSR	133
GRI 207: Tax 2019		
207-1 Approach to tax	• CG	97
207-2 Tax governance, control, and risk management	• CG	97
207-3 Stakeholder engagement and management of concerns related to tax	• CG	97
GRI 300: Environmental Performance		
GRI 302: Energy 2016		
302-1 Energy consumption within the organization	• BRSR	149
302-3 Energy intensity	• BRSR	149
GRI 303: Water and Effluents 2018		
303-1 Interactions with water as a shared resource	• BRSR	150, 151, 155, 156
303-2 Management of water discharge-related impacts	• BRSR	150, 151, 156
303-3 Water withdrawal	• BRSR	150, 156
303-4 Water discharge	• BRSR	150, 156
303-5 Water consumption	• BRSR	150, 156
GRI 304: Biodiversity 2016		
304-1 Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	• BRSR	155
304-2 Significant impacts of activities, products and services on biodiversity	• BRSR	157
304-3 Habitats protected or restored	• BRSR	157
GRI 305: Emissions 2016		
305-1 Direct (Scope 1) GHG emissions	• BRSR	151
305-2 Energy indirect (Scope 2) GHG emissions	• BRSR	151

305-3 Other indirect (Scope 3) GHG emissions	• BRSR	157
305-4 GHG emissions intensity	• BRSR	151, 157
305-5 Reduction of GHG emissions	• BRSR	152
GRI 306: Waste 2020		
306-2 Management of significant waste-related impacts	• BRSR	135, 136, 155
306-3 Waste generated	• BRSR	153
306-4 Waste diverted from disposal	• BRSR	153
306-5 Waste directed to disposal	• BRSR	153
GRI 308: Supplier Environmental Assessment 2016		
308-1 New suppliers that were screened using environmental criteria	• BRSR	135, 158
308-2 Negative environmental impacts in the supply chain and actions taken	• BRSR	158
GRI 400: Social Dimension		
GRI 401: Employment 2016		
401-1 New employee hires and employee turnover	• Human Capital • BRSR	22 129
401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees	• BRSR	137
401-3 Parental leave	• BRSR	138
GRI 402: Labor/Management Relations 2016		
402-1 Minimum notice periods regarding operational changes	• MD&A	83
GRI 403: Occupational Health and Safety 2018		
403-1 Occupational health and safety management system	• BRSR	139
403-2 Hazard identification, risk assessment, and incident investigation	• BRSR	140, 141
403-5 Worker training on occupational health and safety	• BRSR	139
403-6 Promotion of worker health	• BRSR	140, 141
403-9 Work-related injuries	• BRSR	141, 142
403-10 Work-related ill health	• BRSR	141, 142
GRI 404: Training and Education 2016		
404-1 Average hours of training per year per employee	• Human Capital • BRSR	23 139
404-2 Programs for upgrading employee skills and transition assistance programs	• BRSR	139
404-3 Details of performance and career development reviews of employees	• BRSR	139
GRI 405: Diversity and Equal Opportunity 2016		
405-1 Diversity of governance bodies and employees	• MD&A • BRSR	83 129
405-2 Ratio of basic salary and remuneration of women to men	• BRSR	146
GRI 406: Non-discrimination 2016		
406-1 Incidents of discrimination and corrective actions taken	• BRSR	147
GRI 413: Local Communities 2016		
413-1 Operations with local community engagement, impact assessments, and development programs	• Social Capital • BRSR	27 155, 161
GRI 414: Supplier Social Assessment 2016		
414-2 Negative social impacts in the supply chain and actions taken	• BRSR	142, 143

Independent Practitioners' Limited Assurance Report

To the Board of Directors of Tata Consultancy Services Limited

Limited Assurance report on select sustainability disclosures in the Integrated Annual Report

Assurance report on select sustainability disclosures in the Integrated Annual Report prepared in accordance with the Business Responsibility and Sustainability Reporting (BRSR) framework and with reference to the Global Reporting Initiative (GRI) Standards 2021 (together called 'Identified Sustainability Information' (ISI)) of Tata Consultancy Services Limited (the 'Company') for the period 1 April 2024 to 31 March 2025.

Opinion

We have performed an assurance engagement on the Identified Sustainability Information (ISI) as detailed in the table below:

Identified Sustainability Information (ISI) subject to assurance	Period subject to Limited assurance	Page number in the Annual Report	Reporting criteria
Select GRI and BRSR attributes (which are not part of BRSR Core) (Annexure – I)	1 April 2024 to 31 March 2025	18 to 29, 127 to 164 and 319 to 325	- GRI Standards 2021 - Regulation 34(2)(f) of the Securities and Exchange Board of India (SEBI) Listing Obligations and Disclosure Requirements (SEBI LODR) - World Resource Institute (WRI) / World Business Council for Sustainable Development (WBCSD) Greenhouse Gas (GHG) Protocol (A Corporate Accounting and Reporting Standards) - Corporate Value Chain (Scope 3) Accounting & Reporting Standard - Guidance note for BRSR format issued by SEBI

This engagement was conducted by a multidisciplinary team including assurance practitioners, engineers and environmental and social professionals.

Based on the procedures performed and evidence obtained, nothing has come to our attention to cause us to believe that the Company's Identified Sustainability Information in pages 18 to 29, 127 to 164, and 319 to 325 of the Integrated Annual Report relating to select GRI and BRSR attributes (which are not part of BRSR Core) for the year ended 31 March 2025, is not prepared, in all material respects, in accordance with the World Resource Institute (WRI) / World Business Council for Sustainable Development (WBCSD) Greenhouse Gas (GHG) Protocol (A Corporate Accounting and Reporting Standards), and the Corporate Value Chain (Scope 3) Accounting & Reporting Standard, Regulation 34(2)(f) of the Securities and Exchange Board of India (SEBI) Listing Obligations and Disclosure Requirements (SEBI LODR) and with reference to the GRI Standards (2021) as per Reporting boundary set out in page no: 128 in BRSR section of the Integrated Annual Report.

Basis for conclusion

We conducted our engagement in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised), Assurance Engagements Other Than Audits or Reviews of Historical Financial Information and ISAE 3410, Assurance Engagements on Greenhouse Gas Statements, issued by the International Auditing and Assurance Standards Board (IAASB). Our responsibilities under those standards are further described in the "Our responsibilities" section of our report.

We have complied with the independence and other ethical requirements of the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA).

KPMG Assurance and Consulting Services LLP ('the firm') applies International Standard on Quality Management (ISQM) 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements, issued by the IAASB. This standard requires the firm to design, implement and operate a system of quality management, including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

Other information

The Company's management and the Board of Directors are responsible for the other information. The other information comprises the information included in the Company's Integrated Annual Report (but does not include the select BRSR and GRI attributes and assurance report thereon).

Additionally, we have performed a reasonable assurance engagement on BRSR Core attributes and issued an independent assurance report on 27 May 2025. Our report thereon is included with the other information.

Our limited assurance conclusion on the select BRSR and GRI attributes does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our assurance report of the select BRSR and GRI attributes, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the select BRSR and GRI attributes, our knowledge obtained in the assurance, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information that we obtained prior to the date of this reasonable assurance report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Intended use or purpose

The ISI and our limited assurance report are intended for users who have reasonable knowledge of the BRSR and GRI attributes, the reporting criteria and ISI and who have read the information in the ISI with reasonable diligence and understand that the ISI is prepared and assured at appropriate levels of materiality.

Our opinion is not modified in respect of this matter.

Management's responsibilities for Identified Sustainability Information (ISI)

The management of the Company are responsible for:

- designing, implementing and maintaining internal control relevant to the preparation of the Identified Sustainability Information that is free from material misstatement, whether due to fraud or error;
- selecting or developing suitable criteria for preparing the Identified Sustainability Information and appropriately referring to or describing the criteria; and
- preparing, fairly stating and properly calculating the Identified Sustainability Information in accordance with the reporting criteria.
- ensuring the reporting criteria is available for the intended users with relevant explanation;
- establishing targets, goals and other performance measures, and implementing actions to achieve such targets, goals and performance measures;
- providing the details of the management personnel who takes ownership of the ISI disclosed in the report;
- ensuring compliance with law, regulation or applicable contracts;
- making judgements and estimates that are reasonable in the circumstances;
- identifying and describing any inherent limitations in the measurement or evaluation of ISI covered by assurance in accordance with the reporting criteria;
- preventing and detecting fraud;
- selecting the content of the ISI, including identifying and engaging with intended users to understand their information needs;
- informing us of other information that will be included with the ISI;
- supervision of other staff involved in the preparation of the ISI

Those charged with governance are responsible for overseeing the reporting process for the Company's ISI.

Inherent limitations

The preparation of the Company's sustainability information requires the management to establish or interpret the criteria, make determinations about the relevancy of information to be included, and make estimates and assumptions that affect the reported information.

Measurement of certain amounts with respect to BRSR and GRI attributes, some of which are estimates, is subject to substantial inherent measurement uncertainty, for example GHG footprint, water footprint, energy footprint. Obtaining sufficient appropriate evidence to support our opinion/conclusion does not reduce the uncertainty in the amounts and metrics.

Our responsibilities

We are responsible for:

- planning and performing the engagement to obtain a limited assurance about whether the ISI is free from material misstatement, whether due to fraud or error;
- forming an independent conclusion, based on the procedures we have performed and the evidence we have obtained; and
- reporting our conclusion to the Board of Directors of TCS.

Summary of the work we performed as the basis for our conclusion

We exercised professional judgement and maintained professional skepticism throughout the engagement. We designed and performed our procedures to obtain evidence that is sufficient and appropriate to provide a basis for limited assurance conclusion.

Our procedures selected depended on our understanding of the ISI covered by limited assurance and other engagement circumstances, and our consideration of areas where material misstatements are likely to arise. In carrying out our engagement, we:

- assessed the suitability of the criteria used by the Company in preparing the ISI covered by limited assurance;
- interviewed senior management and relevant staff at corporate and selected locations concerning policies for occupational health and safety, and the implementation of these across the business;
- through inquiries, obtained an understanding of TCS's control environment, processes and information systems relevant to the preparation of the ISI covered by limited assurance, but did not evaluate the design of particular control activities, obtain evidence about their implementation or test their operating effectiveness;
- made inquiries of relevant staff at corporate and selected locations responsible for the preparation of the ISI covered by limited assurance;
- applied analytical procedures, as appropriate;
- recalculated the ISI covered by limited assurance based on the criteria; and
- evaluated the overall presentation of the ISI covered by limited assurance to determine whether it is consistent with the criteria and in line with our overall knowledge of, and experience with, the Company.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Exclusions:

Our assurance scope excludes the following and therefore we will not express a conclusion on the same:

- Any form of review of the commercial merits, technical feasibility, accuracy, compliance with applicable legislation for the project, and accordingly we will express no opinion thereon. We will also not be required to verify any of the judgments and commercial risks associated with the project, nor comment upon the possibility of the financial projections being achieved. The Company's statements that describe the strategy, progress on goals (other than those listed under the scope of assurance), expression of opinion, claims, belief, aspiration, expectation, aim to future intention provided by the Company, and assertions related to Intellectual Property Rights and other competitive issues.

- Operations of the Company other than those mentioned in the "Scope of Assurance".
- Aspects of the BRSR and GRI attributes and the data/information (qualitative or quantitative) other than the ISI.
- Data and information outside the defined reporting period i.e., 1 April 2024 to 31 March 2025.

For KPMG Assurance and Consulting Services LLP

Shivananda Shetty
Partner
Date: 27 May 2025
Place: Gurugram

Annexure – I

GRI Indicator	BRSR Linkage	Type of Assurance
303-1 Interactions with water as a shared resource	No direct Linkage	Limited
303-2 Management of water discharge-related impacts	No direct Linkage	Limited
303-3-b-(i-iv), 303-4-a-(i-ii) Water withdrawal	**P6 L3**- Water withdrawal, consumption, and discharge in areas of water stress (in kiloliters)	Limited
303-1-(a), 303-2-(a), 303-4 303-3-b-(i-iv), 303-4-a-(i-iv) Water discharge	**P6 L3**- Water withdrawal, consumption, and discharge in areas of water stress (in kiloliters)	Limited
303-5 (a), 303-3-b-(i-iv), 303-4-a-(i-ii) Water consumption	**P6 L3**- Water withdrawal, consumption, and discharge in areas of water stress (in kiloliters)	Limited
304, 413-1-(a-ii), 303-1- (a), 303-1- (c) Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	**P6 E11**- If the entity has operations/offices in/around ecologically sensitive areas where environmental approvals / clearances are required, please specify the location and type of operations and if the conditions of environmental approval / clearance are being complied with?	Limited
304-2, 304-2-a-(i-vi), 304-2-b-(i-iv), 304-3-(a) Significant impacts of activities, products and services on biodiversity	**P6 L5-** With respect to the ecologically sensitive areas, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.	Limited
304-3 Habitats protected or restored	No direct Linkage	Limited
305-3, 305-3- (a, b) Other indirect (Scope 3) GHG emissions	**P6 L2 –** Provide details of total Scope 3 emissions	Limited
305-4- (a), (b, (c), (d) GHG emissions intensity	**P6 L2** – Provide details of total Scope 3 emissions intensity	Limited
305-5-(a), (b), (c), (d) Reduction of GHG emission	**P6 E7 –** Projects related to reduction of Green House Gas emissions	Limited
306-2 Management of significant waste-related impacts	No direct Linkage	Limited
308-1, 308-1 (a) New suppliers that were screened using environmental criteria	**P6 L7-** Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts	Limited
308-2, 308-2 (a) Negative environmental impacts in the supply chain and actions taken		
401-1 (b) New employee hires and employee turnover	**Section A 22**- Turnover rate for permanent employees and workers	Limited

401-2, 201-3-b-(i-iii), 201-3-c, 201-3-d, 201-3-e Benefits provided to full-time employees that are not provided to temporary or part-time employees	**P3 E2**- Details of retirement benefits, for Current Financial Year	Limited
401-3 Parental leave	**P3 E5**-Return to work and Retention rates of permanent employees that took parental leave	Limited
402-1 Minimum notice periods regarding operational changes	No direct Linkage	Limited
403-1 (a), (b) Occupational health and safety management system	**P3 E10**-Health and safety management system Limited	Limited
403-2 (a), (b), (c), 403-4 (a), 403-6 (a) Hazard identification, risk assessment, and incident investigation		Limited
403-5 (a), 404-1 (a-i), 404-2 (a) Worker training on occupational health and safety	**P3 E8**-Details of training given to employees and workers	Limited
403-6, 3-3-(d-i-iii), 403-2-(a-i-ii), 403-9-(c-iii), 403-9-(d), 403-10-(c-iii) Promotion of worker health	**P3 E12**-Describe the measures taken by the entity to ensure a safe and healthy workplace	Limited
404-1, 403-5-(a), 404-1-(a-i), 404-2-(a), 2-24-(a-iv), 205-2-(e), 403-5-(a), 404-1-(a-i-ii), 410-1-a Average hours of training per year per employee	**P3 E8**-Details of training given to employees and workers **P5 E1**-Employees and workers who have been provided training on human rights issues and policy(ies) of the entity	Limited
404-3 (a) Details of performance and career development reviews of employees	**P3 E9**-Details of performance and career development reviews of employees	Limited
405-1 Diversity of governance bodies and employees	**Section A 21**- Participation/Inclusion/Representation of women	Limited
405-2, 2-19-(a-i-v), 2-21-(a) Ratio of basic salary and remuneration of women to men	**P5 E3**-Details of remuneration/salary/wages	Limited
2-25-(e), 406-1-(a) Incidents of discrimination and corrective actions taken	**P5 E6-** Number of Complaints made by employees on sexual harassment, discrimination at the workplace, child and forced labour, wages and other human rights related issues	Limited
304-1-(a-i-v), 413-1-(a-i-iii), 203-1, 3-3, 2-25-(b), 413-1-(a-viii), 2-12-(b), 2-13- (a, b), 2-29-(a), 2-29-(a-i-iii), 3-3-(d-i-ii), 413-1-(a-iv), 203-1 Operations with local community engagement, impact assessments, and development programs	**P8 E1**- Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year **P8 E3**-Describe the mechanisms to receive and redress grievances of the community **P8 L1**-Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments **P4 L1**-Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board. **P4 L3**-Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.	Limited
414-2 (a) Negative social impacts in the supply chain and actions taken	**P3 L5**- Details on assessment of value chain partners.	Limited
2-7-(a), 2-7-(b-i & ii), 405-1-(b-iii) Employees	**General Disclosures 20 a**- Employees and workers (including differently abled):	Limited
2-8 (a) Workers who are not employees		Limited

NOTES

NOTES

Stakeholder Engagement

Vendor Partners

TCS at the AWS re:Invent 2024

Government

Belgium Economic Mission visits TCS centre

Customer

Building greater futures together

Local Community

Go Innovate Together (goIT)

International Forum Partners

Farnborough International Airshow 2024

Employee

Wholesome Associate Wellbeing Engagement (WAWE)

TCS Safe Harbor Clause

Certain statements in this release concerning our future prospects are forward-looking statements. Forward-looking statements by their nature involve a number of risks and uncertainties that could cause actual results to differ materially from market expectations. These risks and uncertainties include, but are not limited to, our ability to manage growth, intense competition among global IT services companies, various factors which may affect our profitability, such as wage increases or an appreciating Rupee, our ability to attract and retain highly skilled professionals, time and cost overruns on fixed-price, fixed-time frame contracts, client concentration, restrictions on cross-border movement of skilled personnel, our ability to manage our international operations, reduced demand for technology in our key focus areas, disruptions in telecommunication networks, our ability to successfully complete and integrate potential acquisitions, liability for damages on our service contracts, the success of the companies in which TCS has made strategic investments, withdrawal of governmental fiscal incentives, political instability, legal restrictions on raising capital or acquiring companies outside India, unauthorized use of our intellectual property, cyber attacks or security breaches, pandemics, natural disasters and general economic conditions affecting our industry. TCS may, from time to time, make additional written and oral forward-looking statements, including our reports to shareholders. These forward-looking statements represent only the Company's current intentions, beliefs or expectations, and any forward-looking statement speaks only as of the date on which it was made. The Company assumes no obligation to revise or update any forward-looking statements.

IT Services
Business Solutions
Consulting

Tata Consultancy Services Limited
9th Floor, Nirmal Building, Nariman Point, Mumbai 400 021
www.tcs.com
CIN - L22210MH1995PLC084781